

# Colgate Palmolive (India) Ltd. (COLPAL)

*Conference call transcripts, oldest-first. 6 call(s). Generated 2026-06-08.*

## Call: May 2023

May 17, 2023

The Secretary

BSE Limited

P.J. Towers, 25th floor

Dalal Street Scrip Code: 500830

Mumbai-400001

The Manager – Listing Department

National Stock Exchange of India Limited Symbol: COLPAL

Exchange Plaza, C-1, Block – G Series: EQ

Bandra – Kurla Complex

Bandra (East), Mumbai 400 051

Dear Sir(s),

Sub: Analyst Conference Call- Transcript

This is further to our letter dated May 12, 2023, regarding an Analyst Conference Call, please find enclosed herewith the transcript of Analyst Conference Call held on May 12, 2023.

The aforesaid transcript is also available on the website of the Company at the link mentioned below:

Link- <https://www.colgateinvestors.co.in/pdf/conference-call-transcript-12-05-2023.pdf>

Kindly take the same on record.

Thanking you,

Yours Sincerely,

For Colgate-Palmolive (India) Limited

Surender Sharma

Whole-time Director – Legal &

Company Secretary

DIN: 02731373

Encl:a/a

" Colgate - Palmolive

( India )

Limited "

May12,

2023

Management

:

Ms.

Prabha

Narasimhan

–

Managing

Director

and

Chief

Executive

Officer

Mr .

M.S

Jacob

–Whole-Time

Director

&

Chief

Financial

Officer

Mr .

Ruchir

Bhatnagar

–Vice

President,

Customer

Development

Mr .

Balaji

Sreenivasan

–

Executive

V ice-President,  
Human  
Resources  
Mr .  
Surender  
Sharma

—  
Whole  
-T ime  
Director  
Legal  
&  
Company  
Secretary  
Ms.  
Swati  
Agarwal—  
V ice  
President

—  
India  
of  
Global  
T echnology  
Center  
Page  
1  
of  
21

C o l g a t e - P a l m o l i v e  
( I n d i a )  
L i m i t e d  
M a y  
1 2 ,  
2 0 2 3

Moderator:  
Good  
evening,  
everyone,  
and  
welcome

to  
the  
Colgate-Palmolive  
(India)  
Limited  
Analyst  
Conference  
Call  
for  
the  
Financial  
Y ear  
2022-2023.

Please  
note  
that  
the  
conference  
call  
will  
include  
forward-looking  
statements.  
These  
statements

are  
made  
on  
the  
basis  
of  
the  
company's  
views  
and  
assumptions  
as  
of  
this  
time  
and  
are  
not  
guarantees  
of  
future  
performance.

As  
a  
reminder ,  
all  
participant  
lines  
will  
be  
in  
the  
listen-only  
mode.

And  
there  
will  
be  
an  
opportunity  
for  
you  
to  
ask  
questions  
after  
the  
presentation  
concludes.

At  
that  
time,  
participants  
on  
webcast  
may  
click  
on  
the  
live  
interaction  
button  
which  
will  
be  
enabled

below  
the  
media  
player .  
Alternatively ,  
you  
may  
send  
your  
questions  
to  
us  
through  
the  
text  
box  
on  
your  
screen.  
Participants  
connected  
via  
telephone  
may  
enter  
"71\*"on  
your  
touchtone  
phone  
to  
ask  
a  
question.  
Today's  
session  
will  
begin  
with  
a  
brief  
presentation  
by  
the  
management  
of  
the  
company ,  
sharing  
their  
views  
on  
the  
overall  
company's  
performance  
and  
strategy .  
This  
will  
be  
followed  
by  
a  
Q&A  
session.  
I

now  
hand  
over  
the  
proceedings  
to  
Ms.  
Prabha  
Narasimhan,  
Managing  
Director  
and  
CEO  
of  
Colgate-Palmolive  
(India)  
Limited.  
Thank  
you  
and  
over  
to  
you,  
Ms.  
Narasimhan.  
Prabha  
Narasimhan:  
Thank  
you  
very  
much,  
and  
good  
evening,  
everybody ,  
and  
thank  
you  
for  
joining  
us  
on  
this  
Friday  
evening  
as  
we  
take  
you  
through  
the  
plans  
and  
the  
thinking  
that  
we  
have  
on  
the  
company  
as  
well  
as  
our  
results

for  
both  
the  
financial  
year  
and  
the  
quarter  
that's  
just  
gone  
by .  
I  
want  
to  
start,  
as  
always,  
with  
the  
safe  
harbor  
statement,  
which  
I'm  
sure  
all  
of  
you  
are  
fully  
familiar  
with.  
Let  
me  
also  
take  
this  
opportunity  
to  
introduce  
the  
Colgate  
leadership  
team.  
Most  
of  
the  
faces  
on  
this  
chart,  
I'm  
sure,  
are  
extremely  
familiar  
to  
you.  
We  
do  
have  
one  
new  
addition,  
who

has  
joined  
us  
just  
over  
the  
last  
few  
months.  
He  
is  
unfortunately  
not  
here  
today ,  
but  
Gunjit  
Jain  
has  
taken  
over  
as  
the  
Marketing  
Head  
of  
Colgate-Palmolive  
India  
as  
of  
February  
2023,  
replacing  
Arvind  
Chintamani,  
who  
has  
moved  
to  
Canada.  
We  
also  
have  
one  
change  
in  
the  
role  
that  
Sarala  
Menon  
plays.  
She  
is  
now  
responsible  
for  
the  
entire  
end-to-end  
supply  
chain  
of  
this  
organization.  
So



I  
want  
to  
start  
actually  
with  
our  
headline  
thought  
of  
what  
we're  
trying  
to  
do  
with  
this  
organization,  
and  
it  
can  
be  
summarized  
in  
really  
three  
simple  
words,  
which  
is  
Grow ,  
Strengthen  
and  
Simplify .  
We  
do  
believe  
and  
we  
have  
the  
opportunity  
to  
show  
to  
you  
the  
potential  
that  
this  
organization  
has  
for  
growth.  
We  
have  
some  
tremendous  
strengths,  
which  
we  
think  
we  
can  
get  
even

better  
at.  
And  
of  
course,  
there  
is  
always  
an  
opportunity  
to  
make  
business  
easier ,  
faster ,  
more  
agile  
and  
more  
simple,  
and  
we'll  
talk  
you  
through  
our  
thinking  
there  
as  
well.  
So  
starting  
first  
with  
the  
idea  
of  
growth.  
And  
we've  
said  
this  
before  
but  
let  
me  
start  
with  
the  
macro  
picture  
of  
the  
toothpaste  
category .  
There  
is  
a  
huge  
opportunity  
to  
grow .  
Firstly ,  
we  
are  
the

market  
leader ,  
and  
it  
is,  
therefore,  
incumbent  
upon  
us  
to  
grow  
this  
category .  
Secondly ,  
Page  
2  
of  
21

Colgate - Palmolive  
(India)  
Limited  
May  
12 ,  
2023  
when  
we  
compare  
the  
per  
capita  
consumption  
of  
toothpaste,  
even  
to  
a  
country  
like  
Philippines,  
we  
do  
see  
that  
we  
are  
at  
roughly  
about,  
maybe  
half  
of  
their  
consumption  
in  
total.  
And  
if  
we  
were  
to  
get  
to  
the  
toothpaste  
consumption  
level

of  
the  
Philippines,  
which,  
by  
the  
way ,  
is  
not  
obviously  
the  
highest  
in  
the  
world,  
we  
will  
have  
a  
toothpaste  
market  
that  
is  
double  
the  
size  
of  
its  
current  
size.  
And  
to  
get  
to  
this,  
what  
we  
need  
to  
do  
is  
really  
to  
move  
the  
daily  
brushing  
habit  
of  
rural  
households  
where  
55%  
of  
households  
don't  
brush  
every  
day  
and  
to  
get  
urban  
households  
to  
brush

twice  
a  
day .  
Neither  
of  
these  
are  
particularly  
easy  
tasks.  
But  
as  
Colgate-Palmolive,  
we  
are  
both  
committed  
to  
it,  
both  
from  
a  
business  
perspective  
because  
this  
is  
critical  
to  
us  
and  
from  
a  
perspective  
of  
moving  
the  
oral  
health  
agenda  
of  
this  
country .  
The  
second  
leg,  
of  
course,  
is  
to  
take  
a  
look  
at  
toothbrush  
and  
a  
similar  
opportunity  
stares  
at  
us  
over  
here.  
Dentists  
would

have  
you  
believe  
that  
you  
should  
replace  
your  
toothbrush  
once  
every  
three  
months  
to  
four  
months  
and  
that  
a  
new  
toothbrush  
actually  
cleans  
90%  
better  
than  
an  
old  
toothbrush.  
As  
you  
can  
see,  
the  
levels  
of  
replacement  
currently  
are  
much  
lower  
than  
that  
and  
getting  
consumers  
to  
realize  
the  
cleaning  
power  
of  
a  
new  
toothbrush  
and  
therefore,  
replacing  
their  
toothbrush  
more  
often  
becomes  
another  
agenda  
item

for  
us.  
And  
then  
when  
we  
shift  
our  
attention  
to  
value,  
there  
is  
a  
whole  
lot  
of  
opportunity  
sitting  
here  
as  
well.  
Within  
the  
toothpaste  
category ,  
about  
65%  
of  
the  
category  
sits  
within  
this  
90  
to  
1 10  
index,  
giving  
us  
significant  
--  
and  
if  
you  
see  
above  
the  
1 10  
index,  
you  
see  
only  
about  
14%,  
15%  
of  
the  
category .  
Significant  
opportunity  
for  
us  
to  
provide  
value-added

benefits  
that  
allow  
a  
premium  
to  
be  
charged  
and  
consumers  
to  
see  
value  
in  
paying  
that  
premium.  
If  
you  
compare  
toothpaste  
to  
a  
comparable  
category  
like  
toilet  
soaps  
and  
starting  
with  
the  
poorest  
consumers,  
which  
is  
SEC  
D&E,  
you  
will  
see  
that  
spends  
on  
toilet  
soaps  
is  
70%  
higher  
than  
spends  
on  
toothpaste.  
And  
then  
if  
you  
take  
a  
look  
at  
it  
at  
the  
other  
end



of  
the  
spectrum,  
which  
is  
the  
most  
premium  
consumers  
at  
SEC  
A,  
you  
will  
see  
that  
an  
SEC  
A  
consumer  
spends  
only  
2x  
the  
money  
on  
toothpaste  
that  
an  
SEC  
DE  
consumer  
spends.  
Whereas  
on  
toilet  
soaps,  
that  
number  
becomes  
2.6x,  
4.4x  
of  
actual  
toothpaste.  
And  
therefore,  
significant  
headroom  
for  
us  
to  
grow  
value  
in  
this  
category .  
And  
if  
we  
look  
at  
it  
from  
a  
toothbrush

lens,  
actually  
even  
simpler ,  
 $\frac{2}{3}$   
of  
the  
market  
roughly  
or  
a  
little  
under  
 $\frac{2}{3}$   
of  
the  
market  
sits  
in  
a  
brush  
handle  
under  
Rs.30  
and  
the  
average  
price  
per  
handle  
in  
this  
country  
actually  
is  
closer  
to  
Rs.20  
than  
Rs.30.  
But  
as  
you  
move  
up,  
you  
start  
seeing  
that  
there  
is  
opportunity  
to  
sell  
toothbrushes  
that  
are  
priced  
above  
Rs.40.  
And  
if  
you  
see  
the  
growth,

that's  
exactly  
where  
the  
market  
is  
moving.  
The  
numbers  
on  
the  
top  
of  
0%,  
minus  
3%  
and  
15%  
at  
the  
Rs.40-plus  
segment.  
These  
are  
2022  
numbers.  
But  
as  
you  
take  
a  
look  
at  
the  
numbers  
for  
the  
first  
quarter  
of  
2023,  
you  
actually  
see  
that  
this  
Rs.40-plus  
toothbrush  
segment  
is  
actually  
growing  
5x  
as  
fast  
as  
the  
sub-  
Rs.30  
market  
or  
actually  
the  
sub-  
Rs.40  
market.

And  
Colgate  
is  
really  
well  
placed  
because  
we  
have  
a  
portfolio  
Page  
3  
of  
21

Colgate - Palmolive  
(India)  
Limited  
May  
12,  
2023

of  
both  
price  
points  
and  
benefits  
ahead  
of  
this  
Rs.40  
segment  
and  
making  
them  
visibly  
available  
to  
consumers  
represents  
a  
real  
opportunity  
to  
drive  
growth.  
And  
therefore,  
with  
this  
tremendous  
headroom  
opportunity  
for  
growth,  
I  
want  
to  
come  
to  
what  
are  
our  
plans  
to  
get

to  
this  
growth.  
Our  
first  
action  
is  
to  
announce,  
and  
I'm  
really  
happy  
to  
do  
this,  
is  
to  
announce  
the  
re-launch  
of  
our  
flagship  
brand,  
Colgate  
Strong  
T eeth.  
Colgate  
Strong  
T eeth  
is  
the  
volume  
and  
value  
leader  
in  
the  
toothpaste  
market  
in  
this  
country .  
It  
is  
available  
in  
more  
households  
than  
any  
other  
brand  
in  
this  
country  
and  
more  
stores  
than  
any  
other  
brand  
in  
this

country .  
Toothpaste  
brand.  
And  
we  
have  
just  
re-launched  
this  
with  
patented  
Arginine  
technology  
backed  
with  
a  
stronger  
consumer -preferred  
flavor .  
What  
this  
technology  
of  
arginine  
does  
is  
to  
work  
with  
the  
naturally  
present  
arginine  
in  
your  
mouth  
and  
aid  
remineralization  
of  
teeth.  
And  
what  
remineralization  
does  
is  
really  
to  
give  
you  
stronger  
teeth.  
And  
this  
is  
Colgate-Palmolive's  
best-in-class  
technology  
for  
cavity  
protection  
and  
strong  
teeth.  
And  
it's

a  
testament  
to  
our  
commitment  
to  
the  
oral  
health  
of  
this  
country  
that  
this  
technology  
sits  
in  
our  
most  
affordable  
toothpaste.  
The  
brand  
also  
has  
tremendous  
potential  
in  
rural.  
It  
is  
1.2x  
the  
penetration  
of  
the  
next  
brand  
and  
our  
opportunity  
really  
to  
get  
rural  
consumers  
to  
brush  
more  
as  
we  
spoke  
about  
earlier .  
And  
what  
we  
want  
to  
do  
with  
this  
relaunch  
is  
really  
to

reframe  
the  
category .  
If  
you  
thought  
that  
toothpaste  
was  
just  
about  
cleaning,  
then  
it's  
time  
to  
rethink  
that  
because  
it's  
not  
just  
about  
cleaning,  
it's  
about  
nourishing.  
We  
spend  
a  
lot  
of  
effort  
nourishing  
our  
hair ,  
our  
skin,  
our  
bones,  
but  
we  
don't  
consider  
that  
healthy  
hair  
and  
skin  
without  
great  
teeth  
is  
perhaps  
not  
as  
valuable.  
And  
therefore,  
this  
brand  
is  
now  
moving  
the  
entire



position  
of  
the  
category  
to  
talk  
about  
not  
just  
cleaning  
but  
nourishing,  
built  
on  
the  
fact  
that  
our  
patented  
fluoride  
plus  
arginine  
technology  
actually  
delivers  
teeth  
that  
are  
2x  
stronger .  
And  
how  
are  
we  
going  
to  
communicate  
this  
to  
consumers?  
Let's  
take  
a  
look  
at  
the  
advertisement.  
[Audio-Video  
Presentation]  
Prabha  
Narasimhan:  
So  
that  
was  
a  
sneak-peak  
to  
our  
advertising.  
The  
advertising  
goes  
live  
on  
Sunday ,  
and

we  
are  
looking  
to  
significantly  
invest  
behind  
this  
mix.  
We  
are  
doubling  
our  
media  
investment  
on  
this  
brand.  
And  
it  
is  
being  
supported  
by  
an  
unprecedented  
level  
of  
sampling  
with  
35  
million  
samples  
of  
this  
new  
winning  
formula  
going  
to  
consumers  
along  
with  
it.  
And  
this,  
of  
course,  
also  
represents  
our  
biggest  
opportunity  
to  
drive  
rural  
growth,  
and  
we  
are,  
therefore,  
spending  
incremental  
money  
driving  
reach

in  
rural  
India  
across  
various  
mediums.  
I  
come  
from  
our  
largest  
equity  
to  
our  
second  
largest  
equity ,  
which  
is  
MaxFresh  
and  
which  
has  
actually  
been  
having  
a  
really  
good  
run  
over  
the  
last  
few  
years.  
And  
why?  
Because  
it  
is  
a  
superior  
product  
versus  
competition,  
delivering  
a  
fabulous  
in-mouth  
feel.  
In  
the  
last  
year ,  
this  
brand  
has  
added  
21  
million  
consumer  
homes  
and  
a  
penetration  
increase

of  
580  
basis  
points.  
It  
grows  
5x  
faster  
than  
the  
market.  
We've  
also  
added  
a  
charcoal  
variant,  
if  
you  
had  
seen  
the  
Page  
4  
of  
21

Colgate-Palmolive  
(India)  
Limited  
May  
12,  
2023  
advertising  
ahead  
of  
this  
conversation,  
you  
would  
have  
seen  
the  
advertising  
for  
MaxFresh  
Charcoal.  
That's  
a  
variant  
that's  
been  
added.  
And  
what  
we  
are  
intending  
to  
do  
here  
is  
to  
take  
a  
winning  
mix

and  
double  
down  
on  
our  
commercial  
investment  
behind  
it.  
And  
with  
a  
view  
to  
saying  
that  
we  
will  
talk  
to  
our  
core  
audience,  
and  
we  
will  
also  
talk  
to  
a  
new  
age,  
younger  
audience  
and  
look  
at  
how  
we  
can  
create  
communication  
that  
talks  
to  
this.  
And  
let  
me  
show  
you  
one  
example  
of  
what  
we've  
done  
over  
the  
last  
little  
while.  
[Audio-V ideo  
Presentation]  
I  
then

turn  
my  
attention  
to  
the  
natural  
segment,  
which  
we  
had  
referenced  
last  
time  
as  
well  
as  
plateauing.  
And  
it  
continues  
to  
plateau  
and  
has  
even  
started  
to  
decline  
a  
little  
bit.  
A  
segment  
which  
got  
a  
little  
bit  
of  
a  
fillip  
due  
to  
COVID  
has  
now  
gone  
back  
to  
levels  
that  
are  
about  
three  
years  
earlier .  
And  
as  
we've  
said  
before,  
we  
firmly  
believe  
that  
consumers

buy  
benefits  
and  
are  
very ,  
very  
confident  
of  
our  
ability  
to  
deliver  
all  
benefits  
across  
the  
entire  
oral  
care  
spectrum.  
And  
with  
that,  
I  
want  
to  
come  
to  
one  
of  
our  
premium  
mixes,  
which  
is  
really  
Colgate  
Active  
Salt.  
Active  
Salt,  
which  
has  
the  
Salt  
+  
Clove  
T echnology  
uses  
natural  
ingredients,  
which  
are  
enhanced  
in  
our  
science-backed  
formula  
and  
deliver  
proven  
ef ficacy .  
This  
is  
the  
first

brand  
that  
came  
into  
the  
salt  
category  
has  
been  
a  
truly  
successful  
innovation  
for  
Colgate  
over  
the  
last  
10  
years  
and  
owns  
the  
Salt  
segment.  
And  
once  
again,  
it  
has  
best-in-class  
communication.  
I'm  
sure  
most  
of  
you  
would  
recognize  
the  
line  
with  
which  
it  
goes,  
which  
is  
"Kya  
Aapke  
Toothpaste  
Main  
Namak  
Hai"  
tested  
in  
the  
top  
25%  
of  
all  
advertising.  
And  
once  
again,  
since  
we



are  
onto  
something  
that  
works,  
our  
effort  
here  
will  
be  
to  
drive  
an  
increase  
in  
reach  
in  
the  
priority  
geographies  
for  
Colgate  
Active  
Salt  
and  
make  
sure  
that  
we  
continue  
to  
build  
this  
mix.  
We  
then  
come  
to  
the  
second  
leg  
of  
our  
strategy .  
We've  
discussed  
the  
core,  
which  
really  
consists  
of  
Strong  
Teeth,  
MaxFresh  
and  
Colgate  
Active  
Salt.  
We  
come  
to  
growing  
the  
second  
leg

of  
our  
strategy ,  
which  
is  
really  
all  
about  
driving  
premiumization.  
Last  
year ,  
we  
launched  
V isible  
White  
O2,  
and  
it  
has  
been  
one  
of  
the  
most  
successful  
launches  
ever  
in  
the  
history  
of  
CP  
India.  
This  
breakthrough  
technology  
gives  
whiter  
teeth  
in  
three  
days  
and  
has  
powered  
the  
overall  
whitening  
portfolio  
to  
a  
30%  
faster  
growth,  
albeit  
on  
a  
small  
base.  
But  
when  
you  
take  
a  
look

at  
the  
penetration  
of  
whitening  
in  
India  
and  
you  
see  
that  
it's  
just  
1.5%,  
you  
can  
see  
the  
headroom  
opportunity  
for  
growth  
just  
by  
driving  
penetration.  
The  
second  
thing  
is  
that  
this  
really  
does  
play  
to  
Colgate's  
strength.  
It  
is  
a  
science-backed  
product  
with  
great  
technology .  
It  
is  
at  
a  
premium,  
and  
it  
brings  
in  
a  
new  
benefit,  
moving  
oral  
care  
more  
into  
being  
oral  
beauty

rather  
than  
in  
the  
segment  
of  
either  
preventive  
health  
or  
therapeutics.

Colgate  
is  
also  
the  
first  
mover  
in  
this  
category ,  
and  
we  
intend  
to  
double  
down  
on  
what  
we've  
done  
so  
far .

Firstly ,  
by  
establishing  
beauty  
relevance  
and  
making  
sure  
that  
we  
are  
present  
in  
all  
occasions  
where  
beauty  
is  
a  
driver ,  
weddings,  
events,  
parties,  
you  
name  
it,  
oral  
beauty  
should  
be  
a  
part  
of  
Page

5  
of  
21

Colgate-Palmolive  
(India)  
Limited

May

12,

2023

consumers'

overall

beauty

regimen.

The

second

thing

is

for

us

to

innovate

with

devices,

and

we

have

very

recently

launched

the

Visible

Whitening

Pen.

This

is

a

do-it-yourself

at

home

overnight

whitening

treatment

that

allows

you

to

have

far

whiter

teeth

in

the

morning

than

you

had

before

you

went

to

sleep

at

night.

And

launched

in

partnership  
with,  
of  
course,  
dentists  
and  
the  
pharmacy  
channel  
as  
well  
as  
our  
dentist-first  
channel.  
Our  
intent  
in  
this  
segment  
is  
really  
to  
play  
for  
the  
long  
run,  
to  
continue  
to  
build  
this  
category  
of  
whitening  
and  
make  
sure  
that  
we're  
constantly  
innovating  
in  
a  
space  
that's  
actually  
really  
exciting.  
I  
turn  
my  
attention  
now  
from  
whitening  
to  
the  
other  
end  
of  
the  
spectrum,  
which  
is

therapeutics.

As

per

a

national

oral

health

survey

conducted

by

the

Dental

Council

of

India,

90%

of

adult

Indians

suf fer

from

gum

problems,

which

are

either

bleeding,

swelling,

bad

breath.

But

at

the

claim

level,

only

about

16%

of

consumers

claim

they

are

suf fering

from

gum

issues.

And

as

we

all

know ,

gums

are

the

foundation

for

strong

teeth.

Therefore,

this

segment

which

exists,

the

problem

exists,  
is  
really  
an  
underserved  
segment  
and  
one  
that  
we  
have  
significant  
right  
to  
win  
because  
once  
again,  
it's  
based  
on  
a  
technology  
and  
a  
product  
that  
delivers.  
And  
that's  
where  
PerioGard  
comes  
in.  
We  
always  
had  
a  
PerioGard  
mouthwash,  
which  
was  
quite  
successful  
in  
the  
professional  
channel.  
We  
have  
added  
to  
it  
earlier  
this  
year ,  
a  
PerioGard  
toothpaste,  
and  
we  
will  
shortly  
be  
adding  
a



PerioGard  
brush  
where  
the  
regimen  
then  
talks  
to  
entire  
gum  
health.  
Priced  
at  
Rs.  
450  
index  
to  
market,  
this  
is  
a  
big  
play  
for  
us  
in  
premium  
and  
something  
that  
we're  
committed  
to  
building  
over  
a  
period  
of  
time  
as  
we  
know  
that  
this  
therapeutic  
position  
takes  
time  
to  
build.  
Our  
effort  
to  
build  
this  
will  
be  
to  
drive  
advocacy  
with  
experts,  
Periodontologist,  
partner  
with  
the

dental  
profession  
and  
of  
course,  
have  
a  
leading  
profession  
as  
far  
as  
pharmacies  
are  
concerned.  
And  
we've  
been  
really  
lucky  
that  
as  
we  
have  
launched  
it,  
we've  
seen  
tremendous  
support  
from  
the  
key  
partners,  
which  
is  
the  
dentists,  
and  
we  
continue  
to  
drive  
this  
advocacy  
through  
a  
series  
of  
expert  
lecture  
meetings  
across  
the  
top  
15  
cities,  
and  
we  
are  
now  
available  
in  
4,000-plus  
pharmacies  
with

this  
reach.  
Moving  
from  
toothpaste  
to  
growing  
toothbrushes.  
As  
I  
mentioned  
earlier ,  
the  
average  
price  
that  
a  
consumer  
pays  
for  
a  
toothbrush  
is  
just  
Rs.21.  
And  
then  
that  
brush  
is  
used  
for  
longer  
than  
it  
ideally  
should  
be  
used.  
In  
Colgate,  
we  
have  
a  
really  
wide  
range  
of  
portfolio  
of  
brushes  
answering  
to  
every  
need,  
whether  
it  
is  
sustainability  
with  
the  
keep  
brush  
or  
it  
is

the  
visible  
white  
brush  
that  
works  
along  
with  
the  
visible  
white  
toothpaste  
to  
enhance  
the  
whitening  
regimen  
or  
it  
is  
the  
softer  
brushes  
like  
what  
you  
see  
on  
the  
screen  
with  
the  
Gentle  
range,  
we  
have  
a  
portfolio  
which  
ranges  
from  
Rs.20  
all  
the  
way  
up  
to  
Rs.130.  
This  
Gentle  
brush  
portfolio  
has  
actually  
been  
a  
stellar  
performer .  
It  
has  
grown  
4x  
faster  
than  
the  
category .

Market  
share  
has  
nearly  
doubled  
since  
2020.  
And  
once  
again,  
I'm  
going  
to  
sound  
a  
little  
bit  
like  
a  
stuck  
record,  
but  
we  
certainly  
have  
an  
opportunity  
to  
drive  
this  
wider  
and  
deeper  
and  
continue  
to  
drive  
growth  
in  
this  
important  
category  
for  
us.  
Turning  
our  
attention  
from  
products  
now  
to  
retail  
environments  
or  
to  
the  
channels  
in  
which  
we  
sell.  
Our  
focus  
as  
far  
as

premiumization  
is  
concerned  
is  
to  
talk  
to  
new  
commerce  
or  
modern  
Page  
6  
of  
21

Colgate-Palmolive  
(India)  
Limited

May  
12,  
2023  
trade  
plus  
e-commerce.

This  
has  
grown  
dramatically  
over  
the  
last  
four  
years  
with  
an  
18%  
CAGR,  
once  
again,  
almost  
doubling  
its  
contribution  
to  
our  
business.

But  
what  
makes  
this  
channel  
really  
exciting  
for  
us  
is  
a  
few  
things.  
Firstly,  
the  
fantastic  
partnership  
we  
have  
with

the  
players  
in  
this  
new  
commerce.  
We  
are  
truly  
category  
captains  
along  
with  
them  
in  
this  
segment.  
The  
second  
is  
that  
it  
is  
a  
channel  
that  
allows  
for  
premiumization  
because  
it  
allows  
for  
discovery .  
And  
it  
is  
already  
at  
about  
460  
bps  
higher  
premium  
contribution  
than  
the  
non-new  
commerce  
channels.  
And  
these  
three  
few  
things  
make  
it  
really  
attractive  
for  
us  
to  
continue  
to  
drive.  
We

start  
already  
with  
a  
position  
of  
strength  
because  
we  
have  
a  
market  
share  
that  
is  
ahead  
of  
our  
overall  
market  
share.  
And  
as  
this  
channel  
grows,  
this  
provides  
a  
tailwind  
to  
our  
competitiveness.  
So  
I  
move  
now  
from  
all  
the  
different  
ways  
that  
we're  
thinking  
about  
growing  
this  
organization  
to  
what  
we  
have  
that  
we  
really  
must  
strengthen.  
And  
the  
first  
thing  
that  
we  
have,  
and



I  
must  
talk  
about  
is  
actually  
our  
portfolio  
advantage.  
In  
21  
out  
of  
25  
states  
and  
about  
85%  
of  
the  
total  
market,  
Colgate  
equities  
are  
at  
least  
2  
out  
of  
the  
top  
4  
equities.  
And  
this  
is  
a  
unique  
advantage  
that  
only  
Colgate  
has  
in  
this  
country .  
And  
this  
is  
an  
opportunity  
for  
us  
to  
play  
the  
price  
piano,  
play  
the  
flavor  
map  
and  
appeal  
to

the  
widest  
range  
of  
consumers  
with  
a  
mix  
that  
is  
specifically  
crafted  
for  
them  
and  
which  
can  
be  
different  
across  
different  
geographies,  
a  
real  
advantage  
that  
we  
have  
and  
one  
that  
we  
look  
to  
strengthen  
as  
we  
go  
forward.  
The  
second  
area  
that  
we  
really  
look  
to  
strengthen  
is  
Palmolive  
equity .  
I  
know  
that  
we  
often  
get  
asked  
questions  
of  
what  
are  
we  
doing  
with  
Palmolive

and  
I  
hope  
that  
we  
are  
providing  
some  
answers  
over  
here.  
But  
I  
want  
to  
start  
with  
just  
a  
couple  
of  
facts  
about  
the  
Palmolive  
brand.  
The  
Palmolive  
brand  
has  
existed  
for  
73  
years  
in  
India.  
It  
has  
an  
awareness  
that  
is  
near  
70%,  
something  
that  
as  
you  
look  
to  
create  
new  
brands,  
I  
think,  
is  
a  
really ,  
really  
huge  
advantage.  
And  
an  
absolutely  
fantastic  
latent

equity .  
What  
we  
have  
decided  
to  
do  
over  
here  
is  
to  
really  
double  
down  
on  
focus  
on  
the  
core  
equity  
category  
of  
Palmolive,  
which  
is  
body  
wash.  
Our  
intention  
will  
be  
to  
drive  
the  
four  
focus  
areas  
that  
you  
see,  
which  
is  
assortment  
and  
distribution,  
brand  
superiority  
delivering  
superior  
mixes  
in  
the  
hands  
of  
consumers,  
driving  
mental  
availability  
and  
making  
sure  
that  
we're  
constantly  
at  
the

forefront  
of  
innovation,  
and  
we  
see  
a  
really  
strong  
growth  
runway  
for  
this.  
And  
then,  
of  
course,  
we  
look  
to  
strengthen  
our  
partnerships  
with  
the  
professionals  
in  
this  
category .  
For  
the  
85  
years  
that  
Colgate  
has  
been  
in  
existence  
in  
India  
and  
the  
over  
200  
years  
that  
the  
company  
has  
been  
in  
existence  
globally ,  
partnership  
with  
professionals  
has  
been  
at  
the  
heart  
of  
the  
organization.  
Colgate

has  
partnered  
with  
the  
Indian  
Dental  
Association  
for  
more  
than  
25  
years  
in  
India  
and  
products  
like  
Colgate  
Dental  
Cream,  
now  
Colgate  
Strong  
Teeth  
and  
Colgate  
Total  
were  
among  
the  
first  
products  
to  
receive  
the  
IDA  
seal.  
The  
first  
Bright  
Smiles,  
Bright  
Futures  
school  
program  
that  
we  
ran  
and  
oral  
health  
month  
were  
also  
done  
in  
partnership  
with  
the  
Indian  
Dental  
Association.  
And  
I  
must  
say

that  
this  
Bright  
Smiles,  
Bright  
Future  
program,  
which  
has  
now  
reached  
170  
million  
children  
has  
really  
been  
the  
flagship  
of  
what  
Colgate  
does  
in  
India.  
We  
also  
partner  
Page  
7  
of  
21

Colgate-Palmolive  
(India)  
Limited  
May  
12,  
2023  
with  
associations  
on  
more  
than  
10  
specialties  
within  
the  
world  
of  
oral  
health,  
and  
we  
are  
committed  
to  
enhancing  
this  
partnership.  
Just  
recently,  
we've  
partnered  
with  
the  
IDA

at  
their  
flagship  
event  
in  
Delhi.  
I'm  
going  
to  
play  
a  
video  
of  
this  
partnership,  
and  
then  
I'm  
going  
to  
hand  
it  
over  
to  
Jacob  
to  
talk  
through  
the  
all  
critical  
numbers  
of  
this  
business.  
[Audio-V ideo  
Presentation]  
M.S  
Jacob:  
Thank  
you,  
Prabha,  
and  
good  
evening,  
everybody .  
A  
cornerstone  
of  
our  
business  
strategy  
is  
Sustainable,  
Profitable  
Growth  
and  
we  
are  
continuously  
looking  
for  
opportunities  
to  
strengthen  
in



this  
area.  
So  
you  
would  
have  
seen  
the  
numbers  
that  
just  
came  
in  
for  
Quarter  
4.  
We  
reported  
a  
sales  
of  
Rs.1,342  
crores.  
Our  
domestic  
business  
grew  
by  
about  
5.4%,  
and  
we  
are  
very  
happy  
that  
our  
toothpaste  
business  
was  
in  
the  
high  
single  
digit  
in  
terms  
of  
growth.  
Specifically  
on  
ratios.  
Our  
gross  
mar gins  
at  
a  
very  
respectable  
66.6%.  
The  
spending  
on  
advertising  
was  
10.7%,

and  
we're  
kind  
of  
getting  
ready  
for  
a  
big  
re-launch  
in  
this  
quarter ,  
and  
Prabha  
alluded  
to  
that  
in  
the  
section  
now  
on  
Colgate  
Strong  
T eeth,  
and  
you  
will  
see  
a  
step  
up  
in  
spending  
in  
this  
quarter .  
Our  
overheads  
continue  
to  
be  
very  
closely  
controlled  
and  
our  
profit  
to  
sales  
of  
23.6%  
is  
industry  
leading.  
Going  
on  
to  
the  
full  
year .  
Our  
full  
year  
numbers,

Rs.5,188  
crores,  
gross  
mar gin  
of  
65.4%,  
advertising  
at  
12.2%  
and  
profitability  
at  
20.2%.  
So  
you  
will  
agree  
that  
despite  
all  
the  
headwinds  
we  
face  
in  
terms  
of  
commodity  
prices  
and  
currency ,  
we've  
delivered  
very  
good  
healthy  
ratios.  
Moving  
on.  
So  
if  
you  
look  
at  
the  
trend  
over  
10  
years,  
our  
mar gins  
have  
gone  
from  
60.4%  
to  
65.4%  
and  
our  
EBITDA  
has  
done  
even  
better  
from  
18.7%

to  
29.8%.  
So  
these  
are  
the  
two  
pillars  
of  
--  
that  
help  
us  
continuously  
deliver  
against  
this  
objective  
revenue  
growth  
management,  
which  
works  
on  
the  
revenue  
side  
and  
funding  
the  
growth  
that  
works  
on  
the  
cost  
side.  
Specifically  
on  
revenue  
growth  
management,  
we  
are  
continuously  
looking  
to  
identify  
opportunities  
to  
drive  
premiumization.  
We  
are  
doing  
cutting-edge  
analytics  
to  
drive  
the  
pricing  
strategy  
across  
channels  
and  
across

segments.  
And  
at  
the  
same  
time,  
optimizing  
spending  
on  
promotions,  
both  
in  
trade  
and  
consumer .  
On  
funding  
the  
growth  
side,  
we  
have  
dedicated  
teams  
working  
across  
the  
company  
throughout  
the  
year ,  
they  
are  
brainstorming  
and  
looking  
for  
cost  
optimization  
opportunities.  
We  
are  
continuously  
looking  
at  
opportunities  
to  
streamline  
supply  
chain  
operations,  
warehousing,  
number  
of  
warehouses  
and  
other  
ef ficiencies.  
And  
we  
are,  
at  
the  
same  
time,  
looking

to  
deliver  
superior  
products.  
So  
with  
all  
this,  
our  
EBITDA  
has  
gone  
from  
18.7%  
to  
29.8%,  
which  
is  
1,100  
bps  
up  
in  
10  
years.  
So  
a  
reflection  
of  
the  
sustainable  
profitable  
growth  
has  
--  
is  
the  
dividends  
that  
we  
pay  
every  
year .  
So  
this  
year ,  
we  
are  
happy  
to  
announce  
that  
we've  
declared  
a  
total  
dividend  
of  
Rs.39  
per  
share.  
This  
is  
a  
recognition  
that  
came

away  
a  
couple  
of  
months  
back.  
So  
we  
were  
ranked  
number  
1  
by  
business  
standard  
on  
the  
Financial  
Sustainability  
Index,  
which  
is  
a  
testimony  
to  
the  
strength  
of  
our  
cash  
flows  
and  
our  
ability  
to  
sustain  
our  
business  
under  
pressure  
of  
global  
commodity  
cycles  
or  
economic  
cycles,  
etcetera.  
So  
this  
is  
some  
--  
this  
is  
a  
recognition  
we  
are  
happy  
about.  
Page  
8  
of  
21

Colgate-Palmolive  
(India)  
Limited  
May  
12,  
2023  
Moving  
on  
to  
ESG,  
still  
under  
the  
strengthened  
bucket.  
So  
if  
you  
look  
at  
waste  
management,  
all  
our  
plants  
are  
currently  
TRUE  
Zero  
Waste  
certified.  
In  
fact,  
we  
are  
the  
brand  
that  
has  
the  
maximum  
number  
of  
TRUE  
Zero  
Waste  
certifications  
in  
the  
country .  
On  
the  
reusable  
area,  
we  
are  
looking  
to  
recycle  
100%  
by  
2025.  
We  
have  
reached  
80%.  
Under



the  
EPR  
requirement,  
we  
are  
required  
to  
dispose  
of  
100%.  
We've  
done  
over  
that.  
We're  
at  
the  
120%  
level  
right  
now .  
Water  
usage,  
our  
commitment  
is  
Net  
Zero  
water  
at  
India  
level  
by  
2025  
and  
50%  
of  
our  
factories,  
that's  
two  
out  
of  
four  
are  
already  
water  
positive  
and  
we  
expect  
to  
have  
the  
other  
two  
reach  
at  
this  
level  
by  
2025.  
Sustainable  
sourcing,  
we  
are

--  
have  
a  
target  
of  
allocating  
80%  
of  
our  
material  
spends  
in  
line  
with  
responsible  
sourcing  
guidelines  
by  
2025.  
And  
currently ,  
we  
stand  
at  
65%,  
which  
is  
good  
progress  
on  
a  
way  
to  
get  
to  
the  
80%  
goal.  
Staying  
on  
ESG,  
Bright  
Smiles,  
Bright  
Future.  
This  
is  
a  
flagship  
brand  
under  
CSR  
where  
we  
are  
doing  
an  
oral  
care  
awareness  
program.  
We've  
currently  
already  
covered  
170

million  
children,  
and  
we're  
looking  
to  
further  
engage  
with  
another  
10  
million  
by  
2030.  
Increasing  
female  
representation  
in  
management.  
Our  
objective  
is  
to  
get  
to  
27%  
by  
2025.  
We  
are  
currently  
at  
25%.  
On  
the  
water  
augmentation  
program,  
we  
look  
to  
cover  
about  
100  
villages  
by  
2025,  
and  
we  
are  
already  
very  
close  
to  
it.  
We  
have  
covered  
96  
by  
this  
financial  
year .  
Empowering  
rural  
women

with  
digital  
and  
financial  
literacy ,  
our  
objective  
is  
to  
get  
to  
100,000  
women  
by  
2030,  
and  
we're  
making  
good  
progress  
here.  
We  
have  
got  
to  
30,000  
by  
2022-23.  
Smiles  
for  
Life,  
this  
is  
the  
cleft  
program  
we're  
running.  
We've  
already  
done  
about  
1,346  
children,  
and  
we  
look  
to  
cover  
about  
3,000  
children  
by  
2025.  
So  
all-in-all,  
we  
are  
very  
proud  
of  
the  
strides  
we  
are  
making

in  
this  
area.  
You've  
seen  
the  
ESG  
report  
that  
we  
released  
for  
the  
first  
time  
last  
year .  
And  
the  
second  
addition  
will  
be  
coming  
out  
along  
with  
the  
annual  
report  
in  
June.  
So  
I  
would  
leave  
you  
with  
a  
video  
that  
shows  
our  
flagship  
BSBF  
program  
on  
oral  
awareness.  
And  
post  
that,  
I'll  
handover  
to  
Bala,  
who  
will  
take  
us  
on  
the  
human  
resources  
piece.  
[Audio-Video]

Presentation]  
Balaji  
Sreenivasan:  
Thank  
you,  
Jacob.  
A  
critical  
component  
of  
the  
strengthened  
bucket  
that  
Prabha  
talked  
about  
is  
strengthening  
our  
organizational  
people  
capability .  
And  
to  
do  
that,  
I  
wanted  
to  
just  
take  
you  
through  
the  
broad  
framework  
through  
which  
we  
are  
intending  
to  
strengthen  
our  
organization's  
people  
capability .  
The  
ESG  
report  
that  
Jacob  
talked  
about  
already  
captures  
a  
lot  
of  
the  
people's  
practices  
that  
we  
have

in  
the  
or ganization.  
And  
I've  
covered  
a  
few  
of  
those  
in  
my  
last  
call  
as  
well.  
So  
here,  
what  
I  
want  
to  
do  
is  
just  
take  
a  
couple  
of  
minutes  
to  
walk  
you  
through  
the  
broad  
framework  
through  
which  
we  
are  
intending  
to  
strengthen  
our  
or ganization's  
people  
capability .  
So  
we  
look  
at  
it  
from  
the  
lens  
of  
structure,  
culture,  
processes  
and  
people.  
In  
terms  
of  
the

structure,  
we  
want  
to  
be  
a  
Digital,  
Agile  
And  
Right-Layered  
Or ganization  
that  
leverages  
the  
strength  
of  
our  
global  
or ganization,  
the  
global  
Page  
9  
of  
21

Colgate - Palmolive  
(India)  
Limited  
May  
12,  
2023  
expertise  
that  
we  
have  
but  
also  
has  
a  
local  
empowerment  
and  
allows  
us  
to  
be  
nimble  
and  
competitive  
and  
quick  
to  
be  
able  
to  
capitalize  
on  
the  
local  
growth  
opportunities.  
Over  
the  
last  
couple  
of



years,  
we  
have  
repurposed  
almost  
10%  
of  
our  
organization  
white-collared  
positions  
to  
positions  
that  
are  
more  
meaningful,  
more  
growth  
oriented  
and  
value-adding  
in  
order  
to  
be  
able  
to  
drive  
growth.  
Structure  
has  
to  
be  
supported  
by  
the  
right  
culture.  
And  
I  
mentioned  
some  
of  
the  
efforts  
we  
are  
doing  
for  
this  
in  
the  
last  
call.  
I'm  
happy  
to  
say  
that  
in  
terms  
of  
driving  
a  
culture

that  
is  
results-oriented,  
empowered  
and  
experimental  
that  
harnesses  
the  
power  
of  
diversity .  
We  
have  
made  
some  
good  
progress  
over  
the  
last  
couple  
of  
years.  
We  
are  
seeing  
--  
we  
do  
regular  
dipstick  
surveys,  
and  
we  
are  
seeing  
our  
employees  
reflect  
the  
fact  
that  
they  
are  
experiencing  
a  
more  
empowered  
and  
agile  
culture  
in  
the  
organization.  
And  
of  
course,  
we  
have  
made  
considerable  
progress  
on  
D&I,  
which

again,  
you  
can  
see  
a  
little  
more  
in  
our  
ESG  
report.  
We  
also  
did  
some  
recent  
diagnostic  
work  
and  
realized  
that  
some  
of  
our  
processes  
unfortunately  
have  
not  
kept  
pace  
with  
our  
expectations  
in  
terms  
of  
agility  
and  
speed.  
And  
therefore,  
what  
we  
are  
trying  
to  
do  
this  
time  
is  
as  
a  
critical  
priority  
for  
the  
year .  
Look  
at  
how  
to  
integrate  
all  
our  
systems  
from

an  
end-to-end  
perspective,  
that  
will  
support  
seamless  
processes  
and  
facilitate  
intelligent  
data  
flow .  
So  
we  
want  
all  
of  
these  
systems  
to  
talk  
to  
each  
other  
and  
leverage  
AI  
and  
ML  
to  
help  
us  
make  
better  
decisions,  
thereby  
helping  
to  
reduce  
manual  
intervention  
and  
taking  
the  
workload  
off  
people  
to  
be  
able  
to  
focus  
on  
growth.  
And  
last,  
but  
most  
importantly ,  
are  
the  
people.  
We  
are  
incredibly

proud  
of  
the  
talent  
that  
we  
have  
in  
the  
organization.  
But  
as  
I  
mentioned  
last  
time,  
we  
do  
bring  
in  
from  
time-to-time,  
external  
talent  
that  
have  
got  
special  
skills  
that  
will  
help  
us  
drive  
the  
organization  
towards  
growth.  
And  
to  
do  
that,  
employer  
branding  
is  
a  
critical  
priority  
for  
us.  
We  
have  
traditionally  
been  
shy ,  
a  
little  
bit  
shy ,  
I  
would  
say ,  
in  
terms  
of  
this.

And  
a  
critical  
priority  
for  
us  
is  
to  
get  
a  
little  
bit  
more  
out  
and  
upfront  
on  
this  
employee  
branding  
piece.  
And  
I'm  
happy  
to  
say  
that  
to  
that  
point,  
endpoint,  
we've  
been  
recognized  
externally .  
There  
are  
some  
good  
awards  
that  
we've  
recently  
received,  
and  
that's  
helping  
us  
become  
a  
better  
employer  
brand,  
which  
will  
help  
us  
attract  
better  
talent  
as  
we  
go  
along.  
So  
in

summary ,  
we  
are  
constantly  
looking  
to  
strengthen  
our  
or ganization  
internally  
and  
our  
or ganization  
image  
externally .  
And  
this  
will  
help  
us  
remain  
fit  
for  
future  
delivery  
of  
the  
growth  
objectives  
that  
we  
have.  
W ith  
that,  
I  
hand  
over  
to  
Ruchir ,  
who  
will  
talk  
to  
us  
a  
little  
bit  
about  
our  
simplification  
ef forts.  
Ruchir?  
Ruchir  
Bhatnagar:  
Thank  
you,  
Bala.  
I'm  
going  
to  
talk  
to  
you  
about  
simplification  
and

how  
we  
use  
simplification  
at  
the  
heart  
of  
our  
--  
all  
set  
of  
processes  
and  
help  
it  
drive  
growth?

We  
spoke  
last  
time  
about  
Smile  
Stores  
which  
is  
our  
machine  
learning  
program  
that  
customizes  
the  
assortment  
that  
our  
salesmen  
sell  
to  
the  
1.6  
million  
outlets  
that  
we  
covered.

Very  
happy  
to  
share  
that,  
that  
program  
Page  
10  
of  
21

Colgate-Palmolive  
(India)  
Limited  
May  
12,  
2023  
is



going  
from  
strength-to-strength.

The  
last  
year  
2022  
saw  
a  
17%  
increase  
in  
our  
total  
distribution  
points  
enabled  
by  
Smile  
Stores.

T otal  
distribution  
point,  
which  
really  
measures  
the  
strength  
of  
our  
distribution,  
the  
breadth  
and  
the  
depth  
of  
our  
distribution,  
has  
become  
even  
more  
stronger  
in  
March  
with  
a  
30%  
increase.  
Using  
this  
program,  
we've  
been  
able  
to  
take  
away  
the  
manual  
ef fort  
that  
the  
salesman  
does

on  
the  
ground  
and  
support  
it  
with  
digitization  
and  
machine  
learning  
knowledge.  
We  
have  
taken  
digitization  
into  
the  
stores  
as  
well.  
Prabha  
talked  
to  
you  
about  
how  
modern  
trade  
and  
new  
retail  
is  
growing  
really  
well,  
and  
we've  
applied  
digitization  
into  
these  
modern  
trade  
outlets.  
We've  
brought  
in  
AmaZing,  
which  
is  
our  
image  
recognition  
technology ,  
which  
allows  
us  
to  
capture  
images  
inside  
the  
store  
and  
analyze

them  
real  
time  
to  
provide  
insights  
to  
our  
merchandisers,  
making  
them  
enabled  
with  
change  
topics  
that  
they  
can  
execute  
straight  
inside  
the  
store.  
One  
clear  
measure  
of  
success  
that  
has  
come  
out  
of  
this  
is  
on-shelf  
availability .  
This  
program  
that  
was  
launched  
exit  
2022  
has  
already  
given  
us  
results.  
And  
what  
you  
can  
see  
here  
on  
the  
screen  
is  
that  
there  
has  
been  
as  
high  
as

40%  
increase  
on  
on-shelf  
availability  
and  
products  
that  
are  
available  
on  
shelf  
sell  
faster .  
So  
clearly ,  
we  
are  
using  
digitization  
at  
the  
heart  
of  
our  
growth  
story .  
W e've  
taken  
simplification  
to  
our  
network  
as  
well  
and  
applied  
it  
across  
our  
plants  
as  
well  
as  
our  
logistics  
processes.  
W e've  
used  
frugal  
innovation  
to  
introduce  
cobots  
in  
our  
Sanand,  
Baddi  
and  
Goa  
plant,  
which  
is  
allowing  
us  
to

drive  
automation  
at  
these  
locations.  
We've  
used  
localization  
to  
start  
producing  
mouthwash  
at  
Baddi,  
thereby  
reducing  
logistics  
complications.  
Very  
happy  
to  
share  
that  
both  
SriCity  
and  
Sanand  
plants  
have  
started  
using  
solar  
power  
within  
the  
plants  
to  
make  
sure  
that  
the  
energy  
footprint  
reduces.  
And  
lastly ,  
we've  
reduced  
our  
logistic  
warehouses  
by  
as  
much  
as  
15%  
without  
reducing  
the  
service  
levels  
that  
we  
provide  
to  
our

distributors.  
Simplification  
has  
also  
been  
supported  
by  
data  
and  
analytics.  
We  
want  
to  
use  
data,  
analyze  
it  
and  
provide  
real  
insights  
to  
our  
teams  
on  
ground.  
This  
journey  
started  
by  
creating  
a  
data  
lake.  
We  
get  
a  
lot  
of  
data  
points  
from  
our  
primary ,  
secondary  
and  
external  
data  
sets.  
We've  
gotten  
them  
all  
together  
and  
created  
a  
single  
source  
of  
truth,  
which  
is  
used  
to  
power

all  
the  
decisions  
that  
are  
taken  
in  
the  
organization.  
One  
clear  
usage  
of  
that  
was  
converting  
this  
data  
lake  
and  
pulling  
out  
reports  
and  
dashboards,  
which  
are  
simple,  
efficient  
and  
provide  
real  
insights  
to  
our  
teams  
across  
functions  
and  
which  
allows  
them  
to  
act  
right  
away .  
This  
really  
takes  
away  
the  
time  
that  
people  
spend  
on  
going  
through  
multiple  
reports  
and  
creating  
their  
own  
and  
straightaway

gives  
them  
actionable  
insights  
that  
they  
can  
work  
on.  
We  
are  
now  
taking  
this  
one  
step  
further  
to  
predict  
the  
future.  
We  
are  
working  
on  
creating  
an  
AI-led  
demand  
forecasting  
system  
which  
understands  
our  
past  
historic  
business  
trends,  
the  
uplift  
analysis  
and  
allows  
us  
to  
do  
more  
specific  
future  
forecasts,  
making  
sure  
that  
we  
have  
the  
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right  
products  
available  
to  
service  
the  
demand  
that  
we  
need.  
So  
clearly ,  
simplification  
is  
one  
of  
the  
key  
parameters  
that  
we  
live  
by ,  
and  
we're  
using  
that  
to  
drive  
growth  
in  
every  
possible  
way .  
I  
will  
now  
hand  
it  
back  
to  
Prabha  
to  
take  
us  
through  
the  
growth  
pillars  
once  
again.  
Prabha  
Narasimhan:  
Thank  
you,  
Ruchir .  
So  
I  
want  
to  
summarize  
actually  
with  
what  
we've  
said

in  
the  
past  
and  
what  
we  
are  
actually  
reiterating  
as  
we  
go  
forward,  
which  
is  
our  
4-pronged  
strategy .  
Our  
first  
pillar ,  
we  
are  
an  
oral  
care  
company ,  
we  
lead  
the  
toothpaste  
category .  
We  
drive  
the  
toothpaste  
category's  
growth,  
and  
our  
effort  
will  
be  
to  
drive  
the  
volume  
growth  
of  
the  
category  
by  
building  
good  
oral  
care  
habits  
in  
the  
country  
and  
making  
sure  
that  
we  
grow

our  
core  
brands  
of  
strong  
T eeth,  
MaxFresh  
and  
Colgate  
Active  
Salt.  
W e  
also  
have  
a  
significant  
opportunity  
on  
our  
next  
rung  
to  
really  
premiumize  
through  
driving  
science-based  
superior  
innovation.  
And  
all  
of  
the  
words  
on  
that  
strategy  
are  
actually  
important,premiumize  
because  
we  
do  
want  
to  
provide  
more  
value  
to  
consumers  
and  
therefore,  
get  
more  
value  
from  
them.  
Science-based  
because  
that  
is  
really  
the  
heart  
of  
our

or ganization.

We

have

a

huge

number

of

scientists

working

with

the

highest

number

of

patents

of

any

oral

care

company

in

the

world,

and

we

bring

that

to

bear

on

the

products

that

we

bring

to

our

consumers,

and

it

must

be

superior

innovation

in

the

hands

of

the

consumer .

And

that's

really

our

second

pillar .

The

third

one

is

for

us

to

make

sure

that

we  
drive  
category  
growth  
in  
toothbrushes.  
We  
already  
discussed  
the  
fact  
that  
there's  
potential  
in  
terms  
of  
premiumization  
and  
driving  
the  
over  
Rs.40  
brushes.  
And  
there  
is  
significant  
opportunity  
in  
devices  
where  
the  
newly  
launched  
whitening  
pen  
is  
our  
first  
foray  
into  
an  
innovative  
device  
play ,  
and  
you  
will  
see  
more  
of  
that  
as  
we  
go  
forward.  
And  
the  
fourth  
one,  
of  
course,  
is  
we  
have

an underserved equity in our portfolio, which is Palmolive, we will use that to build and drive personal care. Underpinning all of our strategic pillars is really our key enablers. The first one, and I repeat the superior science-backed products because it is the heart of this organization, driving financial efficiency, that is something that this organization has been recognized for, as Jacob mentioned, it is

something  
that  
we  
are  
quite  
good  
at,  
and  
it  
is  
something  
that  
we  
are  
committed  
to  
continuing.  
Digital  
at  
the  
core.  
This  
has  
been  
a  
journey .  
We've  
made  
some  
progress.  
We  
do  
see  
that  
we  
have  
some  
more  
paths  
to  
traverse  
like  
every  
organization  
does.  
And  
once  
again,  
we  
are  
committed  
to  
travelling  
that  
path  
to  
make  
sure  
that  
we  
are  
truly  
an  
organization  
that  
is

being  
digital  
rather  
than  
doing  
digital.  
Or ganization  
and  
people  
capabilities.  
Bala  
talked  
about  
it,  
this  
is  
what  
powers  
our  
or ganization,  
the  
quality  
of  
people  
and  
how  
we  
provide  
an  
environment  
that  
allows  
them  
to  
unleash  
their  
true  
potential  
and  
bring  
everything  
to  
work,  
and  
the  
work  
that's  
being  
done  
in  
that  
space.  
And  
of  
course,  
we  
started  
the  
journey  
on  
an  
ESG  
report  
last  
year ,  
but



as  
an  
or ganization  
has  
been  
committed  
to  
the  
idea  
of  
ESG  
for  
longer  
than  
that,  
and  
that  
commitment  
continues  
to  
stay .  
So  
that's  
really  
our  
strategy  
in  
action.  
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And  
with  
that,  
I'm  
going  
to  
turn  
it  
over  
to  
the  
section  
on  
Q&A.  
Thank  
you  
very  
much  
for  
your  
attention.  
Moderator:  
Thank  
you  
very  
much  
Ma'am.  
We

will  
take  
the  
first  
question  
from  
Mr .  
Abneesh  
Roy  
of  
Nuvama.  
Abneesh  
Roy:  
Okay .  
So  
my  
first  
question  
is  
the  
plateau  
seen  
in  
naturals.  
What  
are  
the  
reasons?  
And  
do  
you  
see  
this  
as  
a  
near -term  
trend  
in  
the  
sector  
or  
because  
it  
is  
now  
30%  
of  
the  
sector .  
It's  
a  
very  
lar ge  
number .  
For  
the  
next  
two  
years,  
three  
years,  
non-natural  
will  
grow  
faster .  
So

what  
would  
be  
your  
view  
on  
this?  
Prabha  
Narasimhan:  
Okay .  
So  
firstly ,  
Abneesh,  
thank  
you  
for  
the  
question.  
I  
think  
our  
belief  
actually  
is  
that  
there  
is  
no  
segment  
called  
naturals  
and  
non-natural,  
what  
consumers  
tend  
to  
buy  
is  
a  
benefit.  
What  
they  
want  
is  
stronger  
teeth,  
fresher  
breath,  
whiter  
teeth,  
gum  
care,  
protection  
from  
sensitivity  
and  
so  
on  
and  
so  
forth.  
And  
that  
benefit  
can

be  
delivered  
naturally ,  
it  
can  
be  
delivered  
through  
science.  
And  
the  
question  
is  
that  
the  
consumer  
will  
buy  
the  
benefit,  
the  
brand  
that  
delivers  
the  
benefit  
best.  
And  
therefore,  
I  
think  
the  
way  
we  
see  
it  
is  
that  
the  
natural  
segment  
plateaus  
because  
the  
brands  
that  
use  
that  
as  
the  
reason  
to  
believe  
are  
now  
perhaps  
being  
perceived  
as  
not  
offering  
something  
that's  
good  
enough  
to

deliver  
that  
benefit.  
And  
maybe  
there  
is  
an  
opportunity  
for  
brands  
that  
offer  
it  
in  
a  
different  
way  
through  
science  
to  
be  
perceived  
as  
offering  
that  
benefit.  
So  
that  
was  
really  
where  
we  
would  
come  
at  
it  
from  
saying  
that  
it's  
the  
benefit  
that  
takes  
primacy  
and  
then  
the  
reason  
to  
believe  
whether  
it  
comes  
from  
nature  
or  
science  
really  
is  
a  
secondary  
thing.  
So  
I

don't  
want  
to  
hazard  
a  
guess  
in  
terms  
of  
what  
will  
happen  
to  
the  
segment  
as  
it  
goes  
forward.  
But  
I  
do  
want  
to  
tell  
you  
that  
our  
understanding  
of  
consumers  
is  
that  
benefit  
delivery  
is  
paramount,  
and  
there  
is  
great  
belief  
in  
science  
in  
oral  
care.  
Abneesh  
Roy:  
At  
your  
own  
natural  
segment,  
say ,  
V edshakti,  
etc,  
have  
you  
seen  
plateau  
there  
also?  
Or  
because  
you

have  
been  
a  
bit  
late  
at  
trend,  
you  
are  
seeing  
faster  
growth  
than  
overall  
naturals?  
Prabha  
Narasimhan:  
So  
I  
think,  
from  
our  
overall  
naturals  
play  
in  
which  
we  
include  
the  
active  
naturals  
that  
we  
have  
of  
Colgate  
Active  
Salt,  
Charcoal,  
V edshakti,  
we  
are  
not  
actually  
seeing  
a  
plateauing.  
These  
brands  
continue  
to  
grow  
as  
a  
collective,  
and  
they  
continue  
to  
do  
well.  
So  
like  
I  
said,

I'm  
not  
sure  
that  
the  
way  
to  
look  
at  
this  
is  
necessarily  
naturals  
and  
non-naturals.  
But  
the  
portfolio  
of  
active  
naturals  
that  
we  
have  
continues  
to  
grow .  
Abneesh  
Roy:  
Sure.  
My  
second  
question  
is  
on  
the  
brushing  
twice  
a  
day .  
Y ou  
said  
Urban  
India,  
it's  
around  
20%.  
So  
in  
this,  
how  
many  
cities  
are  
you  
considering?  
So  
it  
seems  
slightly  
on  
the  
higher  
side  
to  
me.



And  
similarly ,  
in  
rural  
India,  
do  
you  
track  
this  
data?  
Prabha  
Narasimhan:  
So  
I'm  
going  
to  
let  
Swati  
build  
on  
the  
brushing  
twice  
a  
day  
comment  
in  
just  
a  
moment.  
But  
just  
to  
the  
thing  
on  
the  
numbers,  
the  
20%  
number  
that  
we  
quote  
is  
actually  
all  
Urban  
India.  
It's  
a  
derived  
number  
from  
panel  
and  
per  
capita  
consumption.  
So  
it  
could  
wobble  
here  
and  
there

a  
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little  
bit.

If  
you  
ask  
consumers  
claimed  
brushing  
twice

a  
day ,  
the  
number  
will  
be  
significantly  
higher  
than  
the  
20%  
that  
we  
have  
on  
the  
chart.

But  
whichever  
way  
it  
is,  
whether  
the  
number  
is

15%  
or  
the  
number  
is  
20%,  
the  
bottom  
line

is  
that,  
that  
number  
is

really  
low .  
And  
like  
I  
said,

I'll  
let  
Swati  
maybe  
articulate  
the  
benefits  
of  
brushing  
twice  
a  
day  
and  
go  
to  
your  
point  
on  
rural.  
We  
don't  
measure  
brushing  
twice  
a  
day  
in  
rural  
areas  
because  
actually  
55%  
of  
consumers  
don't  
brush  
every  
day .  
And  
really ,  
our  
first  
port  
of  
call  
is  
to  
get  
them  
to  
brush  
every  
day  
before  
we  
then  
transition  
to  
a  
brush  
twice  
a  
day  
message.  
Swati,  
do

you  
want  
to  
talk  
about  
this?  
Swati  
Agarwal:  
Y es.  
Sure.  
Thanks  
a  
lot,  
Prabha.  
I  
think  
it  
is  
a  
great  
point  
when  
we  
say ,  
see  
the  
numbers,  
but  
the  
claimed  
numbers  
would  
be  
much  
higher  
because  
consumers  
do  
believe,  
I  
mean,  
we  
all  
believe  
that  
brushing  
twice  
does  
help.  
As  
a  
mother ,  
they  
always  
want  
their  
children  
to  
brush  
twice  
because  
we  
do  
see  
benefits.  
But

at  
the  
same  
time,  
what  
happened  
is  
that  
it's  
a  
habit  
which  
needs  
to  
be  
built  
in.  
So  
that's  
where  
probably  
you  
see  
the  
difference  
in  
the  
numbers  
now  
coming  
on  
the  
benefit  
piece,  
what  
truly  
brushing  
twice  
daily  
can  
help.  
If  
you  
look  
at,  
we  
consume  
food  
on  
a  
--  
during  
the  
day .  
And  
when  
we  
consume  
food,  
our  
lifestyle  
actually  
adds  
a  
lot  
of

carbohydrates.

And  
then  
our  
saliva  
breaks  
down  
that  
food  
into  
sugars  
and  
then  
it  
leads  
to  
the  
acid  
attack  
on  
our  
teeth  
enamel.

And  
what  
happens  
when  
you're  
not  
brushing  
at  
the  
night  
time,  
you're  
actually  
more  
susceptible  
to  
bacterial  
attack  
because  
nothing  
is  
happening  
in  
the  
mouth.

We  
are  
sleeping  
at  
that  
time,  
even  
though  
saliva's  
generation  
is  
not  
that  
much,  
which  
is  
a  
natural

defense  
mechanism  
to  
maintain  
the  
pH  
of  
the  
mouth.  
So  
all  
in  
all,  
during  
the  
day  
also,  
we  
are  
under  
attack  
with  
the  
--  
because  
we  
are  
consuming  
food.  
But  
after  
dinner ,  
let's  
say ,  
if  
we  
are  
not  
brushing,  
it  
is  
more  
susceptible  
to  
tooth  
decay ,  
gum  
problems  
and  
a  
lot  
of  
other  
oral  
health  
issues.  
So  
that's  
where  
I  
think  
it's  
extremely  
important  
for  
better

oral  
health  
to  
continue  
promoting  
brushing  
twice  
a  
day ,  
which  
will  
improve  
the  
overall  
oral  
health  
of  
our  
country .  
Abneesh

Roy:  
Sure.  
My  
next  
question  
is  
on  
the  
overall  
dentist  
focus.

So  
we  
have  
seen  
in  
the  
past  
few  
quarters,  
higher  
focus  
in  
terms  
of  
B2B  
towards  
dentists  
and  
B2C  
also.

So  
I  
wanted  
to  
understand  
how  
the  
performance  
has  
been,  
especially  
the  
B2B  
part,  
which



was  
not,  
I  
think,  
two  
quarters  
back.  
And  
on  
the  
overall  
dentist  
usage  
in  
India,  
that's  
quite  
low .  
So  
what  
is  
Colgate  
doing  
to  
really  
increase  
that  
because  
if  
you  
do  
a  
lot  
of  
activities  
with  
dentists  
and  
the  
customer  
doesn't  
really  
use  
too  
much  
of  
dentists  
in  
India,  
then  
you  
may  
not  
get  
that  
commensurate  
benefit.  
So  
what  
is  
Colgate  
doing  
on  
that  
part?  
Prabha

Narasimhan:  
So  
firstly ,  
to  
answer  
the  
first  
part  
of  
your  
question,  
we,  
as  
Colgate,  
I  
think,  
cover  
the  
maximum  
number  
of  
dentists  
of  
any  
oral  
care  
brand  
in  
the  
country .  
We  
cover  
approximately  
75,000  
dentists.  
Of  
those  
75,000  
dentists,  
we've  
seen  
a  
really  
positive  
response  
to  
the  
B2B  
side  
of  
dentists  
first.  
We  
have  
about  
20,000  
registrations  
of  
dentists  
on  
that  
site.  
It  
is  
a  
site

that's  
meant  
only  
for  
dentists.  
And  
you  
will  
recall  
that  
it  
was  
launched  
only  
about  
three  
months  
ago.  
So  
we  
are  
very  
encouraged  
with  
the  
progress  
of  
what  
is  
happening  
with  
that  
dentist's  
first  
site.  
T o  
the  
second  
comment  
that  
you  
made  
on  
people  
going  
to  
dentists  
less  
often.  
That  
is  
absolutely  
true.  
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2023  
And  
our  
effort

is  
actually  
three-pronged  
really .  
Firstly ,  
we  
partner  
with  
the  
IDA  
to  
make  
sure  
that  
there  
are  
workshops  
and  
there  
is  
information  
out  
there  
on  
the  
importance  
of  
going  
to  
the  
dentist,  
and  
that's  
something  
that  
we  
share  
across  
various  
platforms.  
The  
second  
is,  
of  
course,  
our  
flagship  
Bright  
Smiles,  
Bright  
Future  
program,  
which  
talks  
about  
healthy  
habits  
brushing  
twice  
a  
day ,  
regular  
visits  
to  
the  
dentists

and  
dentist  
checkups  
and  
that  
has  
tremendous  
reach.  
We  
have  
a  
plan  
like  
we  
showed  
for  
about  
10  
million.  
And  
then  
the  
third  
one,  
of  
course,  
is  
for  
us  
to  
have  
this  
partnership  
with  
dentists  
where  
we  
continue  
to  
disseminate  
oral  
health  
education.  
So  
with  
all  
of  
this,  
we  
do  
expect  
that  
as  
the  
country  
evolves  
and  
access  
to  
dentists  
improve,  
this  
is  
something  
that  
will

continue  
to  
get  
better  
and  
better .  
Abneesh  
Roy:  
And  
last  
quick  
question.  
So  
we  
have  
seen  
under  
your  
leadership,  
a  
lot  
of  
steps  
being  
taken  
in  
terms  
of  
scaling  
up  
in  
terms  
of  
growth.  
This  
quarter ,  
in  
fact,  
the  
toothpaste  
part  
of  
the  
business  
has  
done  
reasonably  
well.  
So  
FY  
'24,  
would  
you  
be  
expecting  
a  
high  
single-digit  
kind  
of  
a  
volume-led  
sales  
growth.  
Overall  
sales

growth  
of,  
say ,  
high  
single  
digit  
in  
at  
least  
the  
toothpaste  
part  
of  
the  
business.  
Prabha  
Narasimhan:

I  
always  
leave  
these  
kind  
of  
questions  
to  
Jacob,  
so  
I'm  
going  
to  
look  
at  
him  
for  
this  
one.

M.S  
Jacob:  
Y es.

I  
mean,  
our  
endeavour  
would  
be  
to  
grow  
ahead  
of  
the  
market.

So  
remember ,  
in  
the  
strategic  
pillars,  
Prabha  
called  
out,  
growing  
the  
category  
is  
a  
priority

and  
within  
that  
growing  
shares  
is  
a  
category .  
So  
a  
lot  
would  
depend  
on  
how  
the  
category  
was  
because  
these  
things  
do  
take  
time.  
But  
assuming  
normal  
levels  
of  
category ,  
we  
would  
definitely  
be  
looking  
at  
that  
level  
of  
sales  
growth.  
Abneesh  
Roy:  
So  
just  
one  
follow-up  
question  
here.  
Y ou  
must  
have  
seen  
the  
results  
of  
other  
companies  
in  
Q4.  
So  
when  
you  
compare  
that  
versus



oral  
care,  
on  
paper ,  
oral  
care  
always  
looks  
very  
exciting  
with  
a  
low  
per  
capita,  
55%  
of  
the  
rural  
are  
not  
brushing  
every  
day .  
When  
you  
match  
up  
both  
the  
things,  
where  
would  
you  
see  
the  
issues  
in  
toothpaste  
in  
terms  
of  
growth  
because  
it  
looks  
good  
on  
paper ,  
but  
then  
we  
see  
a  
lot  
of  
other  
FMCG  
categories  
growing  
faster .  
So  
where  
is  
the  
issue?

Category  
creation  
is  
the  
issue,  
or  
because  
in  
India,  
there  
are  
other  
forms  
of  
oral  
cleaning  
that  
remains  
a  
very  
dif ficult  
habit  
to  
change?  
M.S  
Jacob:  
Y es.  
I  
mean  
the  
trigger  
for  
growth  
has  
to  
be  
rural  
consumption.  
And  
we  
haven't  
seen  
that  
take  
of f.  
And  
we  
are  
seeing  
other  
categories  
like  
food  
are  
doing  
much  
better .  
So  
we  
do  
have  
a  
job  
to  
do  
there

in  
terms  
of  
getting  
more  
and  
more  
people  
to  
brush  
every  
day  
as  
you  
saw  
only  
55%  
brush  
every  
day .  
So  
there  
is  
work  
for  
us  
to  
do  
also  
to  
drive  
more  
regular  
use  
and  
make  
it  
a  
habit  
for  
the  
rural  
households.

Moderator:

We  
will  
now  
take  
the  
next  
question  
that's  
from  
the  
line  
of  
Percy  
Panthaki  
from  
IIFL.

Percy  
Panthaki:

Okay .

So  
Yes,  
my

question  
is  
basically  
the  
non-oral  
care  
portfolio.  
If  
you  
can  
give  
some  
idea  
as  
to  
what  
percentage  
of  
revenue  
is  
coming  
from  
the  
non-oral  
care?  
And  
how  
that  
has  
evolved  
over ,  
let's  
say ,  
the  
last  
decade,  
has  
it  
materially  
shifted?  
And  
what's  
your  
view  
in  
the  
future?  
Do  
you  
expect  
that  
contribution  
to  
sort  
of  
go  
up  
materially?  
And  
if  
so,  
what  
will  
drive  
it.  
If

I

--

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correct

me

if

I'm

wrong,

but

I

believe

it

has

not

materially

changed

over

the

last

10

years

or

so.

So

what

--

if

you

want

to

increase

it,

what

do

you

plan

to

do,

which

will

be

different?

Prabha

Narasimhan:

So

firstly ,

Percy ,

it's

always

nice

to

hear

you,

even

if

we

can

see  
you.  
I  
want  
to  
take  
the  
second  
part  
of  
your  
question  
first,  
and  
then  
I'll  
let  
Jacob  
build  
on  
the  
numbers  
part  
of  
it.  
I  
think  
what  
we  
have  
with  
Palmolive  
really  
is  
underserved  
equity ,  
if  
we  
are  
honest.  
For  
a  
brand  
to  
exist  
for  
73  
years,  
have  
60-plus  
percent  
awareness  
in  
such  
a  
fragmented  
market  
of  
the  
world  
of  
personal  
care  
is  
really  
unusual.

And  
therefore,  
the  
onus  
is  
on  
us  
to  
translate  
this  
very  
high  
level  
of  
latent  
equity  
into  
actual  
sales.  
And  
our  
effort  
in  
this  
area  
is  
really  
going  
to  
be,  
like  
I  
mentioned,  
to  
double  
down  
on  
what  
we  
believe  
is  
the  
heartland  
category  
of  
Palmolive,  
which  
is  
the  
body  
care  
between  
bodywash  
and  
hand  
wash.  
And  
what  
you  
will  
see,  
if  
you  
haven't  
seen  
already ,

is  
the  
effect  
that  
goes  
into  
building  
that  
category .  
And  
body  
wash  
per  
se  
is  
a  
relatively  
small  
category  
with  
relatively  
low  
penetration  
and  
very ,  
very  
high  
headroom  
to  
grow .  
And  
Palmolive  
will  
be  
one  
of  
the  
few  
brands  
that  
actually  
plays  
in  
body  
wash,  
not  
in  
soap,  
giving  
us  
the  
opportunity ,  
hopefully ,  
to  
make  
the  
transition  
from  
soap  
to  
body  
wash  
that  
much  
faster  
amongst



premium  
consumers.

M.S

Jacob:

Y es.

In  
terms  
of

share  
of  
the  
total  
business,  
you're  
right,  
it's  
stayed

at  
the  
low  
single  
digits  
over  
time,  
and  
it's  
not  
more  
material.

But

as

Prabha

said,

we

do

see

a

big

opportunity

in

Palmolive

as

the

country

gets

af fluent,

gets

more

urbanized

categories

like

shower

gel

have

a

big

headroom

to

grow .

And

we're

going

to

step

up

investment.

There's  
going  
to  
be  
more  
innovation  
here.  
We're  
going  
to  
leverage  
our  
distribution  
muscle.  
So  
you'll  
hear  
a  
lot  
about  
this.  
And  
we  
do  
expect  
in  
years  
to  
come  
this  
growth  
will  
inch  
up  
the  
share  
of  
business  
of  
Personal  
Care  
to  
the  
company's  
total  
business.  
Per cy  
Panthaki:  
Right.  
Second  
question  
is  
on  
the  
mar gins.  
This  
quarter ,  
you've  
done  
fairly  
high  
mar gins  
of  
33%  
plus.  
So

is  
there  
any  
phasing  
issue  
here?  
Or  
do  
you  
believe  
that  
with  
the  
benign  
input  
cost,  
these  
mar gins  
are  
sort  
of  
sustainable?  
How  
should  
I  
look  
at  
the  
mar gins  
for  
the  
full  
year  
FY  
'24?  
M.S  
Jacob:  
Y es.  
I  
would  
just  
ask  
you  
to  
pay  
attention  
to  
gross  
mar gins  
at  
this  
stage,  
which  
was  
66.6%,  
which  
is  
back  
to  
the  
levels  
we  
were  
a  
year  
earlier .

So  
we  
should  
see  
sequential  
improvement,  
although  
it  
would  
be  
moderate,  
not  
a  
very  
sharp  
increase  
based  
on  
what  
we  
are  
seeing  
right  
now .  
The  
EBITDA,  
of  
course,  
is  
influenced  
by  
the  
low  
spend  
on  
advertising  
at  
10.7%.  
And  
so  
we  
kind  
of  
kept  
the  
powder  
dry .  
As  
we  
get  
into  
this  
quarter ,  
we  
have  
the  
biggest  
relaunch  
we  
have  
in  
the  
year  
of  
Colgate  
Strong

T eeth.  
And  
you  
saw  
the  
new  
campaign  
we're  
going  
to  
run.  
And  
so  
it's  
going  
to  
be  
a  
stepped-up  
investment  
and  
you  
would  
see  
much  
higher  
levels  
of  
spending  
in  
the  
first  
quarter  
which  
will  
af fect  
EBITDA.  
But  
for  
us,  
the  
gross  
mar gin  
is  
the  
one  
monitorable  
on  
a  
quarter -on-quarter  
basis.  
On  
a  
full  
year  
basis,  
the  
EBITDA  
is  
a  
more  
relevant  
one.  
Per cy  
Panthaki:  
So

on  
a  
full  
year  
basis,  
FY  
'24  
versus  
FY  
'23,  
it  
would  
be  
a  
fair  
assumption  
to  
build-in  
some  
EBITDA  
margin  
expansion,  
right?  
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M.S

Jacob:

At  
this  
stage,  
we  
would  
believe,  
yes,  
there  
is

opportunity  
given  
commodity  
prices  
are  
turned  
benign.  
And  
there  
is  
some  
pricing  
still  
happening.

So

I  
would  
say  
it's

a  
fair  
assumption.

But  
we  
will  
continue  
to  
calibrate  
with  
the  
media  
investment  
required.  
If  
there  
are  
opportunities  
in,  
say ,  
spending  
a  
bit  
more  
in  
the  
shower  
with  
good  
return  
on  
investment,  
we  
would  
definitely  
not  
hesitate  
to  
go  
into  
that  
space.  
Per cy  
Panthaki:  
Got  
it.  
And  
the  
last  
question  
is  
on  
growth.  
I  
mean  
this  
quarter ,  
the  
growth  
is  
3.7%  
on  
sales.  
I  
don't  
have  
the  
number ,  
but

I would assume that volume growth would be flattish. Most companies which are reporting this quarter are showing some amount of volume growth like between 3% to 5%. I just wanted to understand in a very stable category like oral care, why should the growth be lagging other FMCG categories. And if the category has indeed grown in line with other FMCG then is it a



market  
share  
issue  
for  
us,  
or  
how  
should  
I  
be  
sort  
of  
interpreting  
this  
number?  
M.S  
Jacob:  
Y es.  
I  
mean,  
just  
first  
on  
the  
sales  
number .  
Although  
we  
reported  
3.7%,  
our  
domestic  
sales  
were  
up  
5.4%,  
and  
the  
export  
piece  
is  
kind  
of  
a  
bit  
soft.  
And  
within  
that,  
toothpaste  
grew  
high  
single  
digit,  
as  
I  
mentioned  
in  
my  
presentation.  
So  
Percy ,  
what's  
really  
happening  
is

that  
we  
continue  
to  
see  
pressure  
on  
volume  
growth  
in  
the  
category .  
V olume  
share  
is  
actually  
up  
YTD.  
So  
what's  
happening  
is  
the  
category  
is  
still  
under  
pressure.  
And  
it's  
mainly  
coming  
from  
rural.  
W e're  
still  
seeing  
declines,  
although  
the  
level  
of  
decline  
is  
going  
down.  
So  
it's  
not  
as  
bad  
as  
it  
was  
in  
the  
prior  
quarters.  
And  
so  
we  
stay  
positive  
that  
in  
quarters

to  
come,  
this  
will  
go  
up  
with  
all  
the  
positivity  
around.  
Per cy  
Panthaki:  
And  
what's  
the  
story  
behind  
toothbrushes?  
If  
you're  
saying  
toothpaste  
has  
done  
high  
single  
digits  
then  
I'm  
assuming  
toothbrushes  
are  
in  
decline.  
So  
what's  
the  
story  
behind  
that?  
M.S  
Jacob:  
So  
toothbrushes,  
is  
also  
a  
similar  
story .  
V olume  
in  
the  
category  
is  
a  
challenge.  
And  
with  
pricing  
being  
less  
of  
an  
opportunity  
than

in  
toothpaste  
because  
like,  
Prabha  
mentioned  
the  
Rs.20,  
Rs.30  
where  
the  
market  
plays  
and  
those  
are  
kind  
of  
locked  
in  
terms  
of  
price  
point.  
We're  
not  
seeing  
a  
lot  
of  
pricing  
action  
also.  
So  
a  
combination  
of  
that,  
unlike  
toothpaste  
where  
the  
volume  
softness  
is  
more  
than  
of fset  
with  
pricing,  
we  
still  
don't  
see  
the  
impact  
here.  
And  
again,  
going  
back  
to  
the  
presentation,  
the  
premiumization

is  
a  
big  
opportunity  
for  
us  
here.  
So  
while  
we  
work  
on  
the  
consumption  
piece,  
we  
also  
would  
take  
enhanced  
steps  
to  
drive  
the  
mix  
towards  
the  
higher  
price  
brushes.  
Per cy  
Panthaki:  
Okay ,  
sir .  
That' s  
all  
from  
me.  
Thanks  
and  
all  
the  
best.  
M.S  
Jacob:  
W elcome.  
Moderator:  
Thank  
you.  
Our  
Next  
question  
is  
a  
text  
question  
from  
V arun  
Singh  
of  
ICICI  
Securities.  
His  
question  
is,  
four -year

revenue  
CAGR  
still  
continues  
to  
be  
4%.  
How  
should  
we  
look  
at  
this  
number?  
M.S  
Jacob:  
Yes.  
As  
again,  
as  
I  
responded  
to  
Percy ,  
we  
do  
see  
signs  
of  
the  
category  
growth  
coming  
back.  
To  
add  
to  
that,  
our  
strategy  
is  
going  
to  
be  
--  
we're  
going  
to  
double  
down  
on  
driving  
category  
volume  
growth  
this  
quarter ,  
plus  
all  
the  
stuff  
we  
have  
in  
armor ,  
which

we're  
going  
to  
launch  
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like  
the  
CDC  
re-launch,  
and  
you  
will  
see  
more  
innovation  
coming  
from  
our  
side.

So  
we  
do  
expect  
our  
market  
shares  
to  
inch  
up  
also.

So  
a  
combination  
of  
category  
and  
volume  
growth  
and  
the  
share  
growth  
should  
get  
us  
to  
a  
respectable  
place  
I

would  
expect.

Moderator:

Thank  
you.  
We  
take

the  
next  
question  
from  
Richard  
from  
JM  
Financial.  
Richard:  
I  
just  
want  
to  
ask  
one  
simple  
question,  
right?  
I  
mean  
what  
I  
noticed  
in  
the  
--  
as  
far  
as  
pricing  
data  
is  
concerned,  
is  
that  
very  
recently ,  
you  
again  
upped  
prices.  
What  
I  
can  
see  
is  
that  
Strong  
Teeth  
100  
grams  
is  
up  
from  
Rs.63  
to  
Rs.69,  
which  
is  
like  
quite  
a  
reasonable  
spike.  
And  
this



is  
an  
environment  
where,  
Jacob  
said,  
that  
commodity  
costs  
are  
falling.  
And  
we've  
also  
seen  
across  
the  
board,  
a  
lot  
of  
other  
companies  
talking  
about  
price  
cuts.  
Here,  
you  
have  
a  
category  
where  
apparently  
growth  
is  
getting  
challenged.  
And  
there's  
no  
real  
need  
for  
pricing,  
but  
you  
are  
still  
choosing  
to  
do  
so  
despite  
the  
fact  
that  
growth  
has  
been  
so  
subdued.  
And  
given  
that,  
you

talked  
about  
large  
opportunity  
in  
terms  
of  
growing  
per  
capita,  
etcetera,  
and  
rural  
being  
the  
main  
problem.  
Is  
this  
kind  
of  
a  
pricing  
growth?  
I  
mean,  
was  
it  
really ,  
really  
necessary?  
I  
mean  
I  
guess  
it  
is,  
but  
just  
want  
to  
understand  
your  
perspective  
on  
why  
you  
think  
so?  
Prabha  
Narasimhan:  
Okay .  
So,  
maybe  
I'll  
go  
first  
on  
this  
one  
and  
then  
hand  
it  
over  
to

Jacob.  
I  
think  
firstly ,  
our  
pricing  
moved  
from  
Rs.63  
to  
Rs.66  
to  
Rs.69  
over  
the  
last,  
I  
think,  
seven  
months,  
if  
I'm  
not  
mistaken,  
somewhere  
in  
the  
seven  
months,  
eight  
months  
range,  
not  
Rs.63  
to  
Rs.69.  
Equally ,  
I  
think  
with  
this  
Colgate  
Strong  
T eeth  
relaunch,  
we  
are  
actually  
delivering  
a  
better  
product  
that  
has  
the  
best-in-class  
science  
with  
this  
whole  
arginine  
technology .  
And  
what  
consumers  
tend

to  
look  
at  
is  
the  
value  
of  
what  
is  
being  
delivered  
to  
them  
more  
than  
what  
is  
the  
price  
of  
what  
is  
being  
delivered  
to  
them.  
And  
I  
think  
the  
value  
that  
the  
CST  
mix  
of fers  
actually  
is  
worth  
the  
price.  
And  
this  
is  
why  
CST  
is  
the  
lar gest  
brand  
in  
this  
country .  
So  
I'm  
not  
worried  
about  
the  
pricing  
that  
we  
have  
taken  
because  
I

do  
believe  
the  
value  
that  
we're  
delivering  
is  
commensurate.

On  
the  
comment  
on  
rural,  
what  
is  
important  
to  
rural  
is  
actually  
to  
make  
sure  
that  
we  
have  
access.

And  
that  
is  
why  
we  
have  
the  
Rs.10  
and  
Rs.20  
SKUs  
for  
rural,  
both  
of  
which

--  
certainly  
the  
Rs.20  
SKU  
doing  
really  
well  
in  
helping  
us  
to  
drive  
both  
consumption  
and  
hopefully ,  
usage.  
What  
we  
have  
to

get  
right,  
like  
Jacob  
said,  
is  
the  
efforts  
to  
drive  
up  
everyday  
usage  
of  
toothpaste.  
And  
as  
you  
would  
know ,  
any  
kind  
of  
consumer  
behaviour  
change,  
particularly  
of  
the  
frequency  
nature,  
tends  
to  
be  
a  
long  
haul,  
slow  
burn  
and  
something  
that  
you  
need  
to  
stay  
committed  
to,  
and  
it  
is  
something  
that  
we  
are  
committed  
to.  
Jacob,  
do  
you  
want  
to  
add?  
M.S  
Jacob:  
Yes.

No,  
nothing  
to  
add.  
Richard:  
Got  
it.  
Thanks  
Prabha.  
Wish  
you  
all  
the  
best.  
Prabha  
Narasimhan:  
Thank  
you  
so  
much.  
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of  
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Colgate-Palmolive  
(India)  
Limited

May  
12,  
2023  
Moderator:

Thank  
you.  
We'll  
take  
the  
next  
question  
from  
Shirish  
Pardehi  
from  
Centrum  
Capital.  
Please  
go  
ahead  
with  
your  
question.  
Shirish  
Pardehi:  
Yes.  
So  
three  
questions.  
Of  
late,  
we  
have  
been  
seeing  
most  
of  
the  
leading

FMCG  
companies  
using  
Nielsen  
data,  
which  
is  
as  
fresh  
as  
trying  
to  
give  
the  
perspective  
in  
terms  
of  
urban  
rural  
consumption,  
trying  
to  
give  
the  
category  
volume  
growth  
and  
value  
growth.  
I  
see  
that  
you  
are  
not  
using  
any  
of  
those  
slides.  
I'm  
not  
sure  
why ,  
but  
if  
you  
can  
give  
some  
sense  
in  
January ,  
February ,  
March  
quarter ,  
what  
is  
the  
category  
per  
se,  
toothpaste  
and



toothbrush  
volume  
value  
growth?  
And  
maybe,  
Jacob,  
if  
you  
can  
help  
me  
for  
FY  
'23,  
what  
is  
the  
full  
year  
volume  
growth  
for  
toothpaste  
in  
India?  
M.S  
Jacob:  
Y es.  
I  
mean  
we've  
stopped  
talking  
share.  
So  
that's  
why  
we  
don't  
quote  
Nielsen  
data  
as  
much.  
But  
I  
can  
say  
the  
category  
volume  
has  
been  
down  
in  
the  
low  
single  
digits.  
So,  
and  
especially ,  
we've  
seen  
in

urban  
areas,  
urban  
is  
slightly  
positive,  
but  
rural  
is  
in  
the  
mid-single  
negative.  
So  
that's  
the  
kind  
of  
numbers  
we  
are  
looking  
at  
overall  
around  
2%  
to  
3%  
negative  
volume.  
Shirish  
Pardeshi:  
And  
FY  
'23,  
you  
were  
saying  
2%  
to  
3%  
negative  
volume,  
full  
year  
'23?  
M.S  
Jacob:  
So  
I  
was  
saying  
in  
Q1,  
that's  
the  
kind  
of  
negative  
volume  
we  
are  
seeing  
in  
the  
category .

Shirish  
Pardeshi:  
So  
for  
us  
--  
for  
a  
full  
year ,  
what  
will  
be  
the  
volume?

M.S  
Jacob:  
So  
it  
will  
be  
slightly  
better  
than  
the  
category  
decline.

Shirish  
Pardeshi:  
Okay .  
My  
second  
question  
on  
the  
toothbrush  
slide.

The  
market  
has  
always  
remained  
higher  
in  
terms  
of  
Rs.30  
and  
lower .  
And  
historically ,  
we  
have  
done  
a  
lot  
of  
work  
around  
Super  
Flexi.  
However ,  
now  
we  
are  
seeing

the  
premium  
segment,  
we  
are  
putting  
a  
lot  
of  
ener gy .  
So  
is  
that  
the  
market  
structure  
is  
unfavorable,  
and  
that's  
why  
the  
toothbrush  
decline  
is  
higher ,  
or  
generally ,  
we  
feel  
that  
we  
are  
underrepresented  
into  
the  
premium  
segment,  
and  
that's  
why  
we're  
focusing  
more  
ener gy  
on  
the  
premium  
segment?  
Prabha  
Narasimhan:  
Thank  
you  
for  
the  
question.  
I  
think  
there  
are  
two  
parts  
to  
the  
answer .  
The

first  
part  
is  
that  
actually  
for  
the  
average  
toothbrush  
price  
to  
be  
Rs.21,  
we  
think  
it  
is  
not  
commensurate  
with  
the  
value  
of  
the  
job  
that  
a  
toothbrush  
does.  
And  
I  
want  
to  
reiterate  
because  
it's  
a  
fact  
that  
I  
learned  
only  
after  
joining  
this  
organization  
that  
a  
new  
toothbrush  
cleans  
90%  
better  
than  
an  
old  
toothbrush.  
So  
we  
definitely  
think  
that  
there  
is  
an  
opportunity

for  
consumers  
to  
improve  
their  
usage  
of  
toothbrushes.  
That's  
the  
first  
thing.  
The  
second  
is  
that  
we  
are  
definitely  
seeing  
a  
trend  
towards  
softer  
brushes  
with  
softer  
bristles.  
And  
these  
brushes  
tend  
to  
be  
at  
a  
premium.  
So  
we  
are  
seeing  
a  
marked  
shift  
in  
that  
direction  
towards  
softer  
brushes  
and  
they  
are  
indeed  
better  
for  
your  
teeth,  
the  
softer  
brushes.  
And  
that's  
what's  
driving  
this

overall  
more  
premium,  
call  
it,  
Rs.40  
brush-plus.  
The  
other  
thing  
that  
we  
are  
seeing  
is  
actually  
the  
fact  
that  
there  
are  
brushes  
for  
benefits.  
So  
there  
is  
a  
whitening  
brush.  
There  
is  
a  
brush  
that's  
better  
for  
your  
gums  
and  
so  
on.  
And  
these  
brushes  
are  
also  
seeing  
tremendous  
traction.  
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So  
as  
we  
talk  
to  
consumers

and  
we  
understand  
what  
their  
needs  
are,  
we  
are  
seeing  
that  
there's  
an  
opportunity  
for  
us  
to  
move  
in  
this  
direction,  
and  
that's  
exactly  
how  
we  
are  
doing  
it.  
The  
fact  
that  
we  
are  
driving  
premiumization  
doesn't  
mean  
that  
we're  
taking  
away  
focus  
from  
Super  
Flexi  
because  
Super  
Flexi  
certainly  
has  
a  
job  
to  
do  
in  
our  
portfolio,  
and  
it  
will  
continue  
to  
do  
that  
job.



It  
is  
that  
the  
growth  
potential  
of  
premiumization  
is  
really  
staring  
us  
in  
the  
face.  
Shirish  
Pardeshi:  
It's  
coincided  
because  
now  
I  
see  
even  
Oral-B  
is  
--  
very  
aggressively  
pushed  
through  
the  
media  
spends.  
So  
I  
think  
it  
coincided.  
The  
other  
question  
I  
had  
was  
in  
terms  
of  
penetration  
on  
toothpaste.  
Will  
you  
be  
able  
to  
share  
and  
quantify  
in  
terms  
of  
absolute  
grammage,  
how  
it

has  
moved  
between  
2015  
to  
2020  
because  
in  
the  
past,  
we  
used  
to  
give  
this  
number .

I  
think  
for  
a  
long  
time,  
we  
have  
not  
shared.

So  
maybe  
that's  
why  
I'm  
pushing  
you  
if  
you  
can  
share  
that  
number .

Prabha  
Narasimhan:  
So  
penetration  
of  
the  
toothpaste  
category  
is  
now  
near  
universal.

So  
there  
is  
not  
a  
home  
in  
this  
country  
that  
doesn't  
buy  
toothpaste  
at  
least

once  
a  
year .  
And  
so  
that's  
not  
a  
number  
that  
can  
be  
moved  
much  
higher .  
And  
that's  
why  
the  
comment  
on  
actually  
average  
per  
capita  
consumption,  
which  
you  
saw  
in  
the  
first  
slide,  
which  
is  
really  
about  
all  
urban  
households  
brush  
daily ,  
20%  
of  
them  
brush  
twice  
a  
day ,  
only  
55%  
of  
rural  
households  
don't  
brush  
every  
day ,  
and  
that's  
how  
the  
volume  
of  
the  
category

actually  
adds  
up,  
and  
that's  
why  
the  
effort  
to  
drive  
consumption  
because  
there  
isn't  
headroom  
on  
penetration.  
Moderator:  
Mr .  
Pardeshi,  
sorry  
to  
interrupt.  
Maybe  
request  
you  
to  
return  
to  
the  
queue...  
Shirish  
Pardeshi:  
I  
am  
done.  
I  
just  
wanted  
to  
thank  
Prabha,  
that  
you  
have  
done  
a  
good  
job  
to  
convince  
the  
division  
to  
give  
35  
million  
samples  
for  
the  
new  
product.  
So  
all  
the  
best

to  
you.  
Prabha  
Narasimhan:  
Thank  
you  
very  
much.  
Moderator:  
Thank  
you.  
We'll  
take  
a  
last  
question  
from  
our  
audio  
participant,  
it's  
from  
Arnab  
of  
Goldman  
Sachs.  
Arnab,  
please  
go  
ahead.  
Arnab:  
Hi,  
Prabha  
and  
team.  
My  
first  
question  
was,  
you  
showed  
the  
major  
volume  
growth  
opportunity  
in  
the  
category  
seems  
to  
be  
recently  
increase  
urban  
or  
rural.  
However ,  
if  
I  
look  
at  
your  
advertising  
campaign,  
they

seem  
to  
more  
focus  
on  
the  
value  
addition  
part  
of  
value  
portfolio  
Is  
it  
because  
there  
is  
past  
experience  
in  
the  
company  
that  
advertising  
cannot  
increase  
your  
consumption,  
or  
is  
there  
any  
other  
reason  
why  
we  
don't  
see  
a  
at  
least  
in  
India  
some  
efforts  
from  
the  
market  
leaders  
price  
increase  
recently?  
Thank  
you.  
Prabha  
Narasimhan:  
So  
I  
think,  
again,  
I'm  
going  
to  
give  
you  
a

two-part  
answer  
to  
this.  
The  
first  
part  
answers  
being  
that  
consumers  
buy  
benefits  
and  
that's  
what  
actually  
makes  
them  
use  
more  
of  
a  
category .  
If  
I  
buy  
into  
the  
benefit  
that  
a  
category  
is  
giving  
me,  
I'm  
likely  
to  
adopt  
that  
category  
and  
use  
more  
of  
it.  
And  
we  
do  
believe  
that  
the  
benefit  
of  
strong  
teeth  
of  
freshness  
or  
the  
protection  
that  
Colgate  
Active  
Salt

of fers  
are  
relevant  
benefits  
to  
consumers.  
And  
that's  
why  
we're  
doubling  
down  
on  
the  
communication  
of  
that  
to  
consumers.  
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And  
we  
do  
expect  
that,  
that  
itself  
will  
move  
the  
needle  
on  
consumption  
a  
little  
bit.  
Having  
said  
that,  
there  
is  
a  
longer -term  
action  
for  
us  
to  
do  
to  
convince  
consumers  
who  
don't  
brush  
every  
day  
in



terms  
of  
the  
benefit  
of  
brushing  
your  
teeth  
every  
day .

And  
that's  
a  
piece  
of  
work  
that's  
in  
the  
pipeline.  
That's  
what  
--

as  
you  
can  
imagine,  
moving  
frequency  
is  
not  
easy .  
Moving  
penetration  
actually  
is  
relatively  
simpler .

And  
the  
work  
that  
is  
being  
done  
and  
hopefully  
just  
watch  
this  
space  
and  
we  
will  
come  
back  
with  
some  
work  
on  
Part  
2.  
Though  
I  
do  
think

that  
Part  
1  
itself  
will  
move  
the  
consumption  
needle.  
Arnab:  
Okay .  
Thanks  
a  
lot.  
And  
my  
last  
question  
was  
on  
the  
chart  
that  
you  
showed  
on  
the  
value  
of  
the  
category  
by  
55%  
of  
volume  
sitting  
in  
the  
Rs.90  
to  
Rs.1 10  
price  
index.  
It's  
also  
interesting  
to  
note  
that  
there  
is  
almost  
nothing  
between  
Rs.1 10  
and  
Rs.200.  
Is  
that  
superior  
to  
this  
category  
for  
some  
reason

because  
in  
your  
colored  
categories,  
we  
see  
quite  
a  
good  
price  
and  
it's  
for  
the  
consumer  
to  
premiumize  
in  
oral  
care  
and  
this  
is  
going  
to  
be  
a  
big  
jump  
and  
is  
that  
something  
that  
you  
are  
working  
on?  
Prabha  
Narasimhan:  
Can  
I  
say  
yes  
and  
yes,  
as  
a  
short  
answer  
to  
your  
question.  
So  
it  
is  
certainly  
unusual  
and  
it  
is  
certainly  
an  
opportunity  
for

us.  
Arnab:  
Okay .  
Thank  
you  
so  
much.  
All  
the  
best.  
Prabha  
Narasimhan:  
Thank  
you.  
Moderator:  
Thank  
you.  
I  
now  
hand  
the  
conference  
back  
to  
Ms.  
Prabha  
Narasimhan  
for  
closing  
comments.  
Over  
to  
you,  
ma'am.  
Prabha  
Narasimhan:  
Thank  
you  
very  
much,  
and  
thank  
you  
once  
again  
for  
--  
to  
all  
of  
you  
who  
have  
joined  
and  
to  
all  
of  
you  
who  
took  
the  
time  
to  
ask  
us

the  
questions.

I  
know  
we  
probably  
didn't  
manage  
to  
get  
to  
all  
of  
the  
questions.

But  
I'm  
sure  
that  
over  
a  
period  
of  
time,  
we  
will  
give  
you  
the  
answers  
to  
the  
other  
questions.

I  
want  
to  
actually  
end  
with  
two  
points.

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Colgate-Palmolive  
(India)  
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Colgate-Palmolive  
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participation.  
Goodbye.  
Disclaimer:  
This  
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any  
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21

## Call: Aug 2023

August 25, 2023

The Secretary

BSE Limited

P.J. Towers, 25th floor

Dalal Street Scrip Code: 500830

Mumbai-400001

The Manager – Listing Department

National Stock Exchange of India Limited Symbol: COLPAL

Exchange Plaza, C-1, Block – G Series: EQ

Bandra – Kurla Complex

Bandra (East), Mumbai 400 051

Dear Sir(s),

Sub: Analyst Conference Call- Transcript

This is further to our letter dated August 22, 2023, regarding an Investor/Analyst meet, please find enclosed herewith the transcript of the said investor/analyst meet held on August 22, 2023.

The aforesaid transcript is also available on the website of the Company at the link mentioned below:

Link-<https://www.colgateinvestors.co.in/presentation-to-analyst/presentation-details-2023>

Kindly take the same on record.

Thanking you,

Yours Sincerely,

For Colgate-Palmolive (India) Limited

Surender Sharma

Whole-time Director – Legal &

Company Secretary

DIN: 02731373

Encl: a/a

Colgate-Palmolive (India) Limited August 22, 2023

"Colgate-Palmolive

Brand

Days

Analyst

Meet"

August

22,

2023

Management:

Ms. Prabha Narasimhan – Managing Director & Chief Executive Officer  
Mr. M. S. Jacob – Whole-Time Director & Chief Financial Officer  
Mr. Surender Sharma – Whole-Time Director Legal & Company Secretary  
Ms. Sarala Menon – Executive Vice-President- End to End Supply Chain  
Mr. Balaji Sreenivasan – Executive Vice-President, Human Resources  
Mr. Gunjit Jain – Executive Vice-President, Marketing  
Mr. Ruchir Bhatnagar – Executive Vice-President, Customer Development  
Ms. Swati Agarwal – Executive Vice-President, IGT  
Ms. Sujata Nairi – Director, Commercial Finance & Investor Relations

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Colgate-Palmolive (India) Limited August 22, 2023

Sujata Nairi: Hello, everyone. Good morning and welcome to the Colgate-Palmolive Brand Days Analyst Meet. I, Sujata along with the entire leadership team, would like to extend a warm welcome to all of you present here physically as well as those who have joined us virtually.

Happy to meet all of you in person again, and I hope you had a lovely time in the last one and a half hour on the walk around of our products, innovations and the technology behind it. The session today will be approximately 45 minutes with a brief presentation from Prabha and Jacob post that will have a Q&A session of 20 minutes in all.

So for those participants who have joined us physically, can raise their hands and those who have joined us virtually can please put their questions in the chat box and we'll be happy to answer as much as we can. I would now request Prabha to share her views. Prabha over to you, thank you.

Prabha Narasimhan: Good morning, everybody. Let me add my welcome to Sujata's and thank all of you for having made the trip to Powai, all of you who are in the room and to welcome everybody who's online. It's absolutely the LT and my privilege to be here this morning and take you through the entire Colgate-Palmolive story as part of our brand day event. And to start with the statement that all of you know, the Safe Harbour statement. So I am not going to dwell on it too much and crack straight on.

This is really what we're going to cover in the deck today, for those of you who are wondering that, apart from the walk around, what we're going to add, what we're going to talk about is really a recap of the opportunity that we see in the spaces in which we play, our current state of our business, what are our key growth pillars, and of course, the financial results for which I will hand it over to Jacob.

Starting with the opportunity, I'm sure you've heard this downstairs already, but it's certainly worth reiterating that the headroom opportunity in oral care, despite the fact that it is a category that's been around for a very, very long time and despite the fact that it is a category that has a sneer-universal penetration on both toothpaste and toothbrush, remains immense. Only 20% of urban households brush twice a day, which is the recommended level of brushing by your dentist and 55% of rural households don't brush daily. So the simple math will tell you that if we are able to move some of these numbers



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Colgate-Palmolive(India)LimitedAugust22,2023

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Colgate-Palmolive (India) Limited August 22, 2023 And then of course, people, we are who we are and people are absolutely critical to our success. And the entire idea of how we manage talent and culture is really critical to us. And that becomes then the fourth enabler. And the last one is ESG. I hope all of you have had a chance to see the second ESG report that we just released along with our annual report this year. This is just a reaffirmation of our commitment to doing all the right things as far as environment and social impact is concerned and continuing the very, very strong work that we do on governance.

So with that, I'm going to move to talking just a little bit on a recap about our brands. Those of you who did the walk around this morning who are in this room will have heard a lot of this before, but there's never too many times that we feel we can say this or we're going to say it again, starting with Colgate Strong Teeth, the thing that is really to be noted about Colgate Strong Teeth is that it does have the best in class science on what is a market standard product. So the arginine technology is actually clinically proven best in class science for strong teeth and this is what we've put in our market standard product. And I say this because it just reaffirms our commitment to building oral health in this country. And this technology allows us to say, 2X remineralization of teeth or in consumer parlance, 2X stronger teeth. And I'm sure you saw it down stairs. Since we relaunched this product with a superior formulation, new communication, we have actually seen a tremendous uptake in this brand, which continues to grow now at double digit this year. And the great work on CDF Fundamentals has meant that we've added about 200,000 total distribution points. For those of you who don't know what a distribution point is, 1 SKU in the store is one distribution point. So 200,000 distribution points is 200,000 incremental touch points for some CTSKU into a store.

This is a new campaign. I hope you've seen it, which has very, very high reach. It has been the highest decibel level campaign that Colgate has ever done, I think, in its entire history, really well received. We have got a lot of positive feedback from both practitioner as well as consumer on the advertising which does go back to the roots of Colgate, of Colgate Strong Teeth, of being a family led brand that is warm and is really all about an elder or a mother's advice for how she builds strong teeth in her children. We have also taken this rural, 7000 plus villages, and have seen wall paintings where it's difficult for us to reach them through television. The exact same message of driving strong teeth is delivered in these wall paintings.

We then come to our second brand, which is Max Fresh, superior freshness technology. If there's one thing to remember about Max Fresh, that would be it. Our technology that delivers 10X cooling or 10X freshness has been our most successful brand over the last little while with a 470 basis point increase in household penetration.

So household penetration is measured by 100. If there are 100 households, what percentage of them use it? We've added 470 BP to that penetration. The brand grows two times as fast as the market and we're making sure that we are doubling down on the success to ensure that we get more and more money behind what is a truly winning mix.

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Colgate-Palmolive (India) Limited August 22, 2023 And then we come to the first leg of premiumization in the proactive health space, Colgate Total. It is the world's number one germ fighting toothpaste, world's number one which has actually been for quite a while, which just talks to the quality and the efficacy of this particular brand. In India, it used to be available in the advanced health and charcoal deep clean variants. We are very, very shortly, I think a week away from launching Colgate Total Sensitive as well. So that completes the portfolio of Colgate Total. It is I think our most patented awarded toothpaste with 125 patents, just as Colgate Total. This year as it did the last couple of years, growing at double digit and we are spending a lot of money behind driving Colgate Total as one of the face of our effort to premiumize.

If then come to what is a critical leg for us for a very, very long time or since its inception in this country actually, the Dentist profession and Colgate has had a symbiotic relationship. And what we are doing is to double down on this symbiotic relationship, to make sure that there is win-win. We have a portfolio that is designed specifically for dentists, for them to prescribe and for them to sell through their practices. This portfolio includes therapeutics as well as the space for oral beauty.

So within therapeutics, gum disease is actually one of the most prevalent causes of oral health issues in this country. And therefore the Perio Guard range, which is currently a mouthwash and toothpaste and will also have a toothbrush, is squarely targeted at taking on gum disease. And that's the range that was launched exclusively with dentist earlier this year. We also have a set of products for orthodontics and many of you who have children in this room, they probably have braces. I know even mine do. So you need a separate set of products for children with braces or even adults with braces. And there's a separate set of products for orthodontics. And then, of course, there is this entire world of oral beauty.

So oral beauty for us is a part of our premiumization strategy through the At Home, what we do and what we sell, which you have seen, which is the range of visible white toothpaste and Visible White O2 toothpaste. It is also an in-clinic or dentist assisted whitening, the first part of which you have seen launch, which is the Visible White overnight whitening pen.

More will come in this space as we double down on bridging the gap between our whatever 1% penetration and the U.S. is at 43% penetration. We see tremendous opportunity to drive oral beauty and we see tremendous opportunity for partnership with dentists in driving this oral beauty.

And one of the things that we have done for the very first time actually, to bring the idea of oral beauty to more dentists and to talk to them is our very first metaVERSE class for dentists. So a class that was run in the metaVERSE, I've never attended one. This was my first where a dentist takes a session on the idea of oral beauty in the metaVERSE being able for us to reach many, many more practitioners than what a room would allow us to do, really well received and something that we intend to do more of.

If then come to the pillar of devices or toothbrushes. I want to reiterate that Colgate is the number one toothbrush in this country. We are also the only company that has a portfolio that straddles the entry level brush, including kids all the way up to your orthodontic brush,

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Colgate-Palmolive (India) Limited August 22, 2023 when you have braces and everything in between. And as with toothpaste, it is this portfolio that gives us strength to say we have the right to win in toothbrushes.

And what we are doing is to make sure that we are spreading our toothbrushes and making the benefit delivery of each of these toothbrushes sharply positioned against what consumer eyes are looking for. So if you look at the middle brush, which is really our flagship brush, the Zig Zag, it is about interdental deep cleaning. That's the core benefit for which to buy the Zig Zag brush. And then the new relaunch just doubles down and calls out that benefit.

We then have a Gentle range of brushes, which, as the name suggests, and as you get more premium and want a softer brush does the job,

but in a manner that is softer and more gentle. And then we have to do as we do with toothpaste testing to make sure that our brush is on a like-for-like basis as a superior to eye ball competition. The fourth pillar is building personal care. I hope you were excited by the world of Palmolive downstairs. Truly an amazing brand, to have a brand that has 67% awareness is quite something in this country where you have so many brands and so many that are getting launched every day, sits in a category where the penetration of body wash is somewhere around the range of 3%. Our intention is to double down on our effort in the body wash and hand wash category, to grow this brand significantly faster than the rest of the company grows. And in the world we actually have a lot to choose from in terms of what we can do with this Palmolive brand. And the idea will be to bring the best of the globe into India as far as Palmolive is concerned.

In our move from the strategic pillar to just pointing out a couple of things about the enablers. We have covered it downstairs but a good idea is just to see some data against what was demonstrated. The first of course, is smile stores. Smile stores as a recap of our assortment algorithm that uses machine learning to tell us the right assortment in the right store basis where the store is, what the store does, what type of store it is, what is the surrounding environment of that store, and therefore what is the correct portfolio. We started off with an assortment of X in 2021 and we've now been able to take that in just about what, a year and a half to 1.3X and more than the 30% increase in the assortment. It's actually the quality of the assortment that goes into the store, which is what drives this algorithm and makes it so very valuable to this company. And then once you've got the right assortment in store in the stores where visible availability becomes an advantage, you need to make sure that you're visibly available in the right way, which is where the amazing app comes in. Allow us to see planogram right, you know, right SKUs on the shelf, right SKUs next to the right SKU in the right quantity, allows us to measure secondary asset compliance and allows us to measure pricing as well. So again, a tech-based solution that does something that's fairly fundamental to our business, which is the right product on the right shelf, in the right store.

If then come to doubling down on our ESG strategy, this has always been a company that has been committed to Environmental, Social and Governance long before I think the ESG framework even came in.

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Colgate-Palmolive (India) Limited August 22, 2023 But the ESG framework is a great way for us to demonstrate our commitment against this very, very important space. Just a few highlights, to call out from a DEI perspective. We are ahead of four peer FMCG companies in women representation. Our board actually has more women than men, which I think is utterly unusual for most companies. We have a true waste zero certification for all of our plants.

We are water positive already in two of our plants and working on the rest, 80% of our packaging is recyclable. And the reason why we are quite proud of that is because toothpaste tube being recyclable is actually quite difficult, and that's a tech that Colgate has created, which I'm sure you've heard already, but we are quite proud of that tech and that's been made available now to all other companies and we intend to get to 100% very quickly. We have energy efficiency and we are committed, like I said, to get to 100% recyclable tubes by the exit of 2024. So that and that's really all that I had to say. As more of a recap of what you would have heard downstairs and what you've heard us say before, I'll hand it over to Jacob to talk about the financial results. Thanks for your attention.

M.S. Jacob: Thank you, Prabha. So I'll take you through the financials. This is the latest quarter financials. I am sure you know many of you have memorized it already, so we reported 12.3% growth, which was really good. Profit continues to be on a good trend or profitability growth 30% after tax with a ratio of sales of 20.8%. Gross margins, you would remember we had two years of decline and we have started building that back again, we reported 68.2% gross margin. Advertising investment, in the past we've cued that we will be upping spending as we get the quality of our communication right, there's more news to talk about the brand. So versus last year, we saw a steep increase compared to the last quarter of the previous year and we reported 13.8% to sales and overall overheads continue to be tightly controlled.

We have been quite pleased with the trajectory of our sales. So you would see coming out of the 5.4% of the last quarter of the previous year, we reported 12.3% domestic sales growth this quarter. This is the trend on margins. Prabha mentioned that as a company, we have done an excellent job in this area of help by funding the growth program, which looks to take calls out of the system and what we call our revenue growth management program, which is a combination of pricing and promo efficiencies.

So the latest quarter margin, 68.2 you can see it's trending higher than the prior two years and we expect it'll stay at current levels. EBITDA is a bit more variable, depending on the advertising spending. We expect this to move up and down.

In terms of balance sheet, one of the best balance sheets in the industry. Our working capital at -32 days is really the best in class in industry. We continue to convert the entire profit in the P&L to cash with tight control over working capital and return on capital employed again at 84% is industry leading. So the last point there on shareholder value. If one had invested in the Colgate shares when we went public in 1978, they would have reported 23% CAGR from 1978 to current prices. That's all I had on the financials and back to Prabha.

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Colgate-Palmolive (India) Limited August 22, 2023

Prabha Narasimhan: Thank you, Jacob. And I want to end just really as a recap summary of everything that we've said so far and what we believe powers this business. At the heart of our business are three things, there is Brand, which is, what we are really, really fortunate to be the stewards of. Then there is Technology or the Science that goes into our products and our formulations where the effort is to make sure I'm sure you've heard already, but I'm going to repeat it anyway. We are the highest investors in oral care tech in the world, and this tech is brought to bear on all of our products. We are digitizing at a very, very rapid pace.

This is really the heart of our model. What this gives us is really a right to win, which allows us to invest to grow and have the confidence to invest to grow, which then makes sure that we are taking advantage of what is a huge opportunity in the oral care space, which then funnels back into, you know, increasing our right to win and so on and so forth, making that hopefully a virtuous cycle and underpinning all of this are really the four pillars of People, Sustainability, Governance and Values.

And that's really the model and that's how we look at our entire business and that's the focus of this entire team and the entire team in this building and beyond. So with that, we really come to the end of what we wanted to say. We're going to open it up for questions and I'm going to hand it over to Sujata to take us through it.

Thank You very much for your attention. Thank you for your presence either here or online.

Sujata Nairi: So, I'll request Jacob and Prabha to be on the dais. We will start with the Q&A. We will first begin with the questions in the room, and I would request the participants to raise their hand and someone in the team will pass on the mic, request you to please state your name and organization and for people who are joining virtually

, please type your questions in the chat box. I'll first give it to Abneesh, Abneesh Roy.

Abneesh Roy: Yeah, if you can stand up, it would be easier for them to locate you.

Abneesh Roy: Yeah, thanks, I have two quick questions. First is that Palmolive body wash and hand wash has a category in India, has been here for many years and Palmolive also has been present. Wanted to understand what you will be doing differently now when you said that the growth rate will be much faster than the company average, plus the global R&D also has been present. So what will be different? Will mass media come into play? Will kirana come into play? That's the first question.

Second one is on the premium part of the toothpaste. It is at 14% versus 25% for the other personal care. Again, here, what is the issue, because you come from a company which was very large, obviously India's largest personal care company and which also had oral care. So what is the issue with oral care, why the differentiation or the premiumization hasn't happened? And here again, what can't take it from 14 to 25 or 14 to 20? Thanks.

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Colgate-Palmolive (India) Limited August 22, 2023

Prabha Narasimhan: So thank you very much for both those questions. I'm going to take the oral care one first and then come to the one on Palmolive. I think what is going to be different is really the focus that we put on these segments that are premium. To give you an example, we have started investing significantly in whitening with the launch of O2 whitening and we are seeing the results of the growth that's giving us insights into how fast the whitening category is growing.

And we firmly believe that with a brand like Total or with a Periogard or with all of the other things that we are doing in the premium segment, as we do the fundamental blocks of getting the right product, building the awareness, making it available in the right channels, we will drive growth. And there, I guess the difference will be just the quantum of effort that goes behind these mixes.

Similarly, on Palmolive, you are absolutely right that the body wash category has existed for a while in India. There are some reasons for which the body wash category per se is relatively small and relatively underpenetrated in the country. But as far as Palmolive is concerned, I think we've had a little bit of a journey in terms of where we should invest and what is really the true heart of this brand.

Some recent work that's been done suggests that the heart of this brand sits in cleansing, whether it be body cleansing or hand cleansing and that's why we are doubling down on this piece and the effort that you will see, or more importantly, consumer will see, will be what makes the difference between our current growth rate and a future growth trajectory. Once again, you know, every time I talk about this, you have to assume that it is underpinned by best-in-class products.

Abneesh Roy: Soon, last very quick follow-up question on Palmolive, so when you say 67% awareness for the Palmolive brand in terms of body wash and hand wash in terms of the retail presence which India has. Currently, how much will be Palmolive in that subset only, I'm not asking about the 10 million kirana.

And second is in India because it's a value market. Powder to liquid has been pioneered by other players. Would you also need to do that or you want to be essentially in the more premium part of these segments?

Sol'm going to let Ruchi may be talk about the availability of Palmolive in just a minute, but on the second part, we see Palmolive as a premium high fragrance, high sensorial brand. And so our effort will be to stay in that space rather than in the space of making it, you know, permlcheaper.

Abneesh Roy: Thanks.

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Ruchi Bhatnagar: Yeah, and for the availability, I would just say that, you know, it's really about identifying the right set of stores and going to them with the right opportunity mix. As I explained to you earlier, we are really pushing the stores' boundaries in terms of the affluence levels in the localities, the kind of stuff that people are buying and then upgrading them slowly and steadily.

That's where Palmolive really comes into the picture. What we've realized is that a lot of these products, which are traditionally considered to be modern trade-centric products, are not really true. They have penetrated well into the general stores, medical stores and even the large kirana stores. So we are really trying to identify those stores, cross-ruff with our other categories that they buy, the kind of toothbrushes and the kind of toothpaste that they buy and the kind of neighbourhood affinity stores and then trying to push it in that direction. So certainly not going to the 1.6 million, but making rapid progress through this milestone algorithm.

Sujata Nair: Thank you Abneesh, these second questions from Vivek.

Vivek Maheshwari: Hi Good morning, this is Vivek from Jefferies. You know, when we look at the stats, firstly impressive analysts' meet, particularly what we saw down stairs. So thank you for that. When we look at, more than half of rural India doesn't brush on a regular basis, 20% or so of urban Indians don't brush twice a day. And when we look at the growth number for this industry, for you as a market leader, why is it taking so long for you, will there be an inflection point over here? Why is it that toothpaste volume growth somewhat lacks lustre, over the past few years? And what will lead to that inflection point at some point?

Prabha Narasimhan: Thanks for the question, Vivek. And I know that you follow a lot of FMCG, Sol'm going to tell you something that I'm sure you know already, but moving consumer behaviour is actually a slow and difficult process. It's not something that we're able to put out a piece of communication or take an action that then suddenly flips from being this kind of behaviour to that kind of behaviour.

The difference that we want to bring about is actually a consistent commitment to moving this behaviour and what we will do through the BSF program, which is the Bright Smiles, Bright Future program that runs in rural schools. We will do above the line communication that is targeted at both urban and rural consumer

and just watch this space for a little while and you'll see some of the actions that emerge from there.

But having said all of this, I think the understanding that we have and the one that I certainly want to communicate is that none of this is going to be a magic bullet for it to suddenly accelerate toothpaste consumption, to being really, really rapid, it will be slow, incremental progress, but it is progress that we are committed to.

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Colgate-Palmolive (India) Limited August 22, 2023

And once you start getting that progress, then you obviously keep that progress because built habits tend to stay. So that's really your commitment in that space.

Vivek Maheshwari: Okay. And just a thought, you know, when so your last slide, what you mentioned about, in a way of virtuous cycle of growth

owth and getting savings, ploughing it back in the form of investments. But, you know, that doesn't get corroborated with the kind of margin expansion that we have seen, right? So let's say, I think I recall correctly, between 2014 and 2023, what you showed there is 800 basis points on gross margin expansion and I think 1200-1300 basis points on EBITDA margins.

Do you not think Prabha that if you invest more, probably the growth accelerates rather than having, let's say, 30% plus kind of margins? If you said, maybe, 27 is the right number, 26 is the right number, I don't know.

But is there a potential to accelerate also because you are sitting on 30 days of working capital, your rights are best in class. So, I mean, ultimately margin doesn't mean anything, right? What matters is, the return on capital ultimately, right? Because telecom has brilliant EBITDA margins, but it doesn't have return on capital. What are your thoughts on that?

Prabha Narasimhan: So I am going to take one part of the question, then I'm going to hand it over to Jacob for the other part. I think I can rephrase your question of investment posture coming in the way of our growth, the answer is actually no. We are fully committed to driving growth. Growth is the fundamental of this business, and that's why everything that we talk about starts from there.

And we will put in the money that is required, whether it's in formulation terms, therefore impacting gross margin or it is in terms of the money that we spend above the line or below the line to advertise our products to drive growth. So that's a commitment and that's something that you will see as we progress down the line that any mix that we think deserves investment will get investment that is the growth driving.

On the second part, maybe I will let Jacob take that question.

M. S. Jacob: Yeah, on margin, I mean, we are extremely proud of what we accomplished in that area. And, high margins by itself is not a nuisance, as you will realize, right. We haven't taken price increases ahead of inflation or any of that stuff. We have done stuff very sensibly, we have taken costs out of the system. And as I mentioned we are just funding the growth program where we scour the world for the lower suppliers, the lower spec of packaging material, looking at formulation changes. So there are ways to get cost out of the system, which is, not visible and it's agnostic to the consumer.

So gross margin, we continue to expect that we will build on this as we go along, maybe a little bit more in a modest way than the recent few years trend. But for us, the important

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Colgate-Palmolive (India) Limited August 22, 2023 piece is, getting the right category, right products in, making sure that it is supported by the advertising levels. So those you will see continue to be something that will ramp up as we go ahead so the EBITDA may go up and down, but gross margin on its own, we expect to continue to modestly move up.

Prabha Narasimhan: And thank you for the comment on down stairs. We are very proud of our products and what we showed you.

Vivek Maheshwari: Thank you, one last question, if I may.

Sujata A Nair: We'll take it back again.

Vivek Maheshwari: Sure, thank you very much. All the best.

Sujata A Nair: The next one from Manoj.

Manoj Menon: Hi Prabha, Jacob, Sujata and team. Brilliant setup and thanks for all the insights. This is Manoj Menon, from ICICI Securities. I have a few questions, but it is building on the margin question, which Vivek asked. I look at margins by adding back royalty also. So if you actually do that, you're actually in the mid to late thirties, right? That's one.

These second aspect is that, have you done the research which actually tells you what is the price elasticity in the category?

M. S. Jacob: Yeah, I mean that's a fact. The margins are tied to royalties at a high level. But, I'll just have to repeat what I said. Gross margin on its own is not something that you should feel bad about, if you're doing well without consumer

saying that we are paying way more for toothpaste than we should, I think we have done a good job of that.

So, the thing would be to keep EBITDA up and make sure there's a good balance between growth and as we represented, India has a huge top line opportunity, and that would be the single big focus for the company going forward also. And we need to make sure the right level of investments are there to support that objective and that will be an endeavour going forward also.

Prabha Narasimhan: Just to answer your question on elasticity, I think the way we look at it is to say what is the benefit and then what is the price and therefore what's the value that's given to consumers.

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Colgate-Palmolive (India) Limited August 22, 2023 And the best way of judging that is are we growing and are more consumers buying our products? And that's really the best assessment. And we think we are in a pretty good spot.

But on the flip side of this, how does drive affordability is through the price point packs so the Rs. 10 and the Rs. 20 packs, which form a reasonable proportion of our business, stay at 10 and 20, they don't move as inflation moves, which makes sure that whatever be the benefit that we are offering is accessible even to consumer who perhaps don't have the extent of affordability that some other consumer have. So that's how we manage the two things.

Manoj Menon: Understood, thanks. When I look at the last, let's say 20 or 30 years of Colgate's performance itself, being the category leader now up to let's say 20 odd years back, you had this toothbrush bundling which kind of, propelled the growth of the category into, let's say, double digits in volume terms. Second, also by the price point rate and we should probably not date 30 or 40 years back. And these are actually affordability aspects at one level. These second is the habit aspect, right. The toothbrush bundling, I am sure it was an extra cost for the consumer. Is that intervention feasible, let's say to drive volumes, at this point? I heard about dephat change which you're working on, but are there any other interventions, let's say with a 3-5 year to process, which is feasible at this point?

Prabha Narasimhan: So I think if we were to bundle and sell or actually all we end up doing is just diluting the value of the category, because when you are asking the consumer to buy A+B, she's expecting that it will be a discount over A+B, and therefore diluting the value of the category is not, in our view, a great idea, which is why actually we are stepping out from a lot of these bundling activities that used to happen in the past.

The second thing that it does is, it devalues the toothbrush because the minute you start getting something free really often then you are thinking, Why should I ever pay for that something free? And what we want to do is to make sure, actually I've learned this over the last year, is that the toothbrush is a critical component of good oral care hygiene and allowing your toothbrush to flower or to have to be used for many, many months actually decreases its cleaning potential and decreases its efficacy.

So our effort will actually be to do the opposite, which is to build back this sense of a good toothbrush and a good toothpaste.

tearebothessentialtogoodoralhygiene,andthatwillbetheeffortintermsofansweringtowhowwebuildvolumeandbuildhabit.

Manoj Menon: Secondly, when I look at Colgate Global portfolio, it's far bigger than, let's say, what you present in the oral care and Palmolive. You kind of have aspirations and execution happening there. How are you thinking about the rest of the portfolio of the parent in terms of relevance for India, in terms of let's say, I am sure that you have the right to win because, I still remember Axion and you had those products, you know, 20 or 30 years back.

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Colgate-Palmolive (India) Limited August 22, 2023 So let's stake a 5-10 year view, how are you prioritizing knowing those aspects? Let's say including pet care, etc.?

Prabha Narasimhan: So our current focus is oral care and Palmolive. But having said that, we are always on the watch for what of the global portfolio has relevance to India and there's always work happening in terms of what of that we could bring in. Of course, I'm not at liberty to say what is specific we're reconsidering, but very much on our radar.

Sujata Nair: I'll give it to Percy.

Percy Panthaki:

Yeah. Hi, Prabha. So I'm just building a mental model of what can be the volume growth over the next decade for the toothpaste industry in general. So if you look at rural, half of the consumer are brushing daily. Supposing, as you say, it takes time to build habits. So supposing over the next ten years that number goes to 80% brushing daily. That's 3% per year for 70% of the population.

But that's about a 2.1% volume growth contribution from that. If you look at urban, the number of people brushing twice daily, when I started looking at Colgate as an analyst about 15-16 years ago, that number was 7%. Today it is 20%, so it's roughly moving at about 100 basis points per year. Suppose if you take that kind of an advancement, it goes to 30% over a ten year period on a 30% of the population. So that's about another 0.3% per year. So you get about a 2.5% volume growth from these two factors.

So is this the potential of the toothpaste

industry with about a 2.5% to 3% kind of volume growth a year for the next decade? Or am I missing something in the equation?

Prabha Narasimhan: I think you could do any amount of math on this Percy honestly and all of those numbers could be right. And I'm not sure that necessarily we do a model that says it in this kind of structure. Our effort is to do what we said, which is firstly do it because it's the right thing and I think we lose track of that sometimes in these meetings, which is that oral health is critical. It has a connection to various other types of disease, which I will not bore you with at this moment, but Swati and team would be happy to talk to you about.

And therefore it's the right thing for us to do to move this behaviour. How quickly this behaviour moves is something that we will have to wait and see as we drive this behaviour. So it could be at the rate you're saying it may be slower, it may be faster. So I'm not sure that I'm in a position to comment, actually.

Percy Panthaki: Okay. Second question for Jacob basically, Q1 number says you say have gone up to 12%, which is a very, very sharp jump from what we have done in the past few quarters. Now, this is a very mature category, relatively in the context of India, very well penetrated, mature

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Colgate-Palmolive (India) Limited August 22, 2023 category, such kind of violent swings generally we have not seen in any other category. So how should we look at this number? Is there anything company specific or is there any pipeline aspect? Or if there isn't, then is the conclusion that this is the kind of growth that we can expect over the next few quarters?

M. S. Jacob: Yeah. So there are two pieces to that. One is, how we are doing as a company and you know, with all the launch activities that have happened, a few in the last few quarters, quality of communication, etc., we've seen that build up. But I must also call out that, there is a comparative period advantage. The Q1 of last year was a soft quarter. So there is, you know, I wouldn't exactly call out how much it was, but that was also a chunk of. The reason why we reflected that kind of number

is, so there is a combination of these two. And I won't just say just purely performance that driving a part of 12%

Percy Panthaki: And is your market share stable or have you actually gained market share?

M. S. Jacob: I mean, it's stable, I would say

Percy Panthaki: Okay,

Sujata Nair: I will give it to Arnab.

Arnab: Yeah, my question was on premiumization. We saw a lot of the products, technologically superior products. In your opinion, is affordability an issue here? Because the price jump that a consumer needs to take to move from Strong Teeth to Total. Is that gap just too large where even despite communication and efforts, it's just too large a gap to bridge?

And that's where, a little bit, drill it back to the gross margin. Is there a case to be made that, you know, those gaps could be lower, it could affect gross margins, but could accelerate premiumization from a long term perspective? Any thoughts on affordability being an impediment to premiumization here?

Prabha Narasimhan: I have two parts to answer to this. One part is really, if you see the data of the consumer pyramid in India, you will see that now fully 52% of total India sits within the SECA B part of the pyramid. So that's one in every two consumer is either SECA or B, and this, according to Kantar, is both urban plus rural, and therefore in sheer number terms, that's like what, 700 million individuals and whatever 120 million households or thereabouts.

So in terms of the audience for premiumization, there is enough and more audience that has the capacity to be. So that's, I think, one piece of data. I think the second piece of data is that we deliver value to that price that we are charging, which then allows us to drive the

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Colgate-Palmolive (India) Limited August 22, 2023 premiumization.

And that's why we were showcasing the tech and what the product does, etc. Our belief is, Yes.

And then the third thing is when I look at it in comparison to other personal care categories and their 140 above index, or even if you take the 200 index, that total is, for example, the percentage contribution in those categories is significantly higher than toothpaste.

And therefore that's already a demonstration that there are enough consumers

who have both the ability and the propensity to pay. It's just up to us now to convince them that it's worth paying for.

Arnab Mitra: Just a follow on question on this. In other categories, we have seen companies use access price point to premiumize. Is it difficult in a category like Oral, given the nature of the category that people at the premium end would not want a small pack or would probably

of the family pack? And how do you solve for that lack of access point in a sense, for these premium things?

Pr abhaNar asimhan: Actually the learning over the last few decades in terms of when you introduce access in premium is when you have a certain scale. So when you've already tapped a reasonable proportion of the people who have the ability to outlay the absolute money for a mid-size pack and then you're looking to expand it beyond is when you can start looking at access packs because if you do access pack too early, then it doesn't really sit with the premiumization story and you have to build the idea of premiumization.

So our belief at the moment in the nascent stage at which we are with the 14% sitting above 140, is that it's perhaps a bit too early for access. But could we do access? Of course we could. I mean, we have a

10 CST, so you can have a

20 Total. There's no issue at all. And so it's not an inability to do access, just think it's a little bit early to do access.

Arbab Mitra: And just one last thing, like in consumption, you said it's a long haul, there's no silver bullet. Premiumization, can it be a much faster journey, in your view, with all the measures you're taking in terms of getting that number up from 14%?

Pr abhaNar asimhan: Someone answered that question, really by looking at what we've seen already as far as whitening is concerned, so as we have invested in whitening, we are seeing it grow significantly faster than triple digit actually last year. And so we do expect that as we get these mixes right and we take these mixes out to consumers,

their rate of growth will be faster than what we imagine it will be. So there's certainly an opportunity there.

Sujata Nairi: We will take the last question from Mihir.

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Colgate-Palmolive (India) Limited August 22, 2023 Mihir Shah: Hi Prabha, Thank you very much. This is Mihir Shah from Nomura. And thank you for the wonderful presentation below. You know, my question again is on premiumization. When we see, you know, the category and I mean a large part of the category is still getting consumed at the mass market pricing. We have the best in class technology Arginine into a market standard product.

Why not charge a premium given that the volume growth in the category is going to be slow and gradual? And as Percy calculated, you know, it can be very different as well. Why not have a premium premium pricing given that there is a lot of scope for affordability and affordability is not the hindrance for the category. You know, there's a perception that something is charged at a premium, it is supposed to be good, but when you're giving it the same price point, maybe the adoption is taking a back seat. Any thoughts on why not charge a premium to be best in class superior technology and charge at the market price? That's my question.

Pr abhaNar

asimhan: So I think two part answer to your question really. I think the first part is that I want to go back to what is the absolute commitment of this company, which is that we are here to improve the oral health of this country. And we believe that arginine and therefore the strong tee and the remineralization is critical to the oral health of this country.

And that's why we put that in our market standard product. And I think that philosophy is something that actually is quite critical to all of us. And therefore it is something that we don't consider is the wrong thing to do and in fact is the right thing to do.

Having said that, what we've done then is to say that if we've raised the floor and the floor technology has become this, what can we do to make sure that the premiumization technology is even better than that of the floor technology? And that's why we have the confidence that Totalasatech product is actually the best in the world.

And there are so many reasons to pay a premium for it exists completely in terms of the formulation reason to pay. Forget about the experiential reason to pay. So we do think that we can do both, which is to make sure that we are giving best in class tech for helping the oral health of this country and making sure that we have a premiumization offering that allows us to be significantly superior to the bundled net market standard price.

Mihir Shah: Thank you. And my final question is on ayurvedic toothpaste. You know, that has been absent completely in the presentation. There is not a lot about it, we are not even talking about it any longer. I know you've highlighted in the past that it is on a decline. However, the other brands that we spoke to, they are contesting that argument basically.

So what is the stand on ayurvedic toothpaste? I believe that, you know, we have already done Vedshakti and you know, with all the new innovative products that you have brought about, whether it is Visible Whitening or Gum Care or any of those, there is a strategy of chipping away, share from the ayurvedic toothpaste, which anyway is holding strong with

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Colgate-Palmolive (India) Limited August 22, 2023 the other strong ayurvedic players, and you may not have the very serious right to win that category. So the strategy that you are doing is probably chipping away shares by introducing a lot of new niche offerings. Any comment on the ayurvedic toothpaste category?

Pr abhaNar

asimhan: Okay. I have three comments actually, most of which I've said before, so forgive me for the repetition. I think firstly, consumer buy benefits. Ayurveda is a reason to believe a given benefit. So consumer buy strong teeth, no cavities, fresh breath, white teeth, you know, freedom from gum disease, etc., etc. and therefore, those benefits can be offered through whatever technology or platform that you use, whether it be ayurveda or it be science. There are different ways to get to that benefit. So that's our first belief.

So when we say that the ayurvedic and natural market is plateauing, what we're seeing is that consumer who are buying a benefit which is delivered through this mechanism is plateauing, or the number of consumer who are doing that is plateauing. And that's really what the data is showing. And we firmly believe that as we talk about the efficacy of either arginine technology or the dual zinc technology that helps us to deliver these benefits, we do believe that we can continue to gain share with our core variants. So it's not a niche strategy of chipping away. So I think that's the first comment.

I think the second comment is that while we offer the core benefits of strong teeth, freshness and so on, there is also an opportunity for us to expand our repertoire of benefits to talk to more consumer who are seeing a need for different benefits, gum disease whitening. And that then becomes the strategy for the other products that you've seen. So that's really your thinking and that's why you don't see as much of ayurveda, because our effort there is to double down on science backed, technologically superior efficacy products.

Mihir Shah: That's all for my side.

Sujata Nairi: Sorry. So in the interest of time, we'll have to conclude the meeting now. Thanks again for your interactions and thank you out

the leadership team as well as everyone in the room. Very, very happy to host all of you here, and hoping for more such interactions in the future.

Thank you once again, when you guys leave from this room there is a smile hamper which is there for each one of you and would request you to give your feedback in the memory wall which is down there. Thank you once again and goodbye.

M.S. Jacob: Thank you.

Disclaimer: This transcript has been edited or modified in any way to ensure accuracy of the content of the English language. It may contain errors or omissions while speaking.



## Call: May 2024

May 21, 2024

The Secretary  
BSE Limited  
P.J. Towers, 25th floor  
Dalal Street Scrip Code: 500830  
Mumbai-400001

The Manager – Listing Department  
National Stock Exchange of India Limited Symbol: COLPAL  
Exchange Plaza, C-1, Block – G Series: EQ  
Bandra – Kurla Complex  
Bandra (East), Mumbai 400 051

Dear Sir(s),

Sub: Analyst Conference Call- Transcript.

This is further to our letter dated May 15, 2024, regarding an Analyst Conference Call, please find enclosed herewith the transcript of Analyst Conference Call held on May 15, 2024.

The aforesaid transcript is also available on the website of the Company at the link mentioned below:

Link- <https://www.colgateinvestors.co.in/pdf/cp-analyst-transcript-15052024.pdf>

Kindly take the same on record.

Thanking you,  
Yours Sincerely,  
For Colgate-Palmolive (India) Limited

Surender Sharma  
Whole-time Director – Legal & Company Secretary  
DIN: 02731373

Encl: a/a

“Colgate -Palmolive (India) Limited Analyst Conference Q4 & FY'24 Earnings Call”

May 15, 2024

Management: Ms. Prabha Narasimhan – Managing Director and  
Chief Executive Officer, Colgate -Palmolive (India)  
Limited  
Mr. M.S. Jacob – Whole -time Director & Chief

Financial Officer, Colgate -Palmolive (India) Limited  
Ms. Sujata Nairi – Director, Commercial & Investor  
Relations, Colgate -Palmolive (India) Limited

Moderator: Ladies and Gentlemen, Good Day and welcome to the Colgate -Palmolive (India) Limited Analyst Conference Call for the Financial Year 2023 -2024.

Please note that this conference call will include forward -looking statements and these statements are made on the basis of the Company's views and assumptions as of this time and are not the guarantees of future performance.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. At that time, participants on webcast may click on the "Ask a Video Question Tab," which is enabled below the media player. Alternatively, you may also post your text questions on the "Ask A Question Tab" available on your screen. Participants connected via telephone may enter "\*" and "1" on their phone to ask a question.

Today's session will Begin with a Brief Presentation by the Management of the Company, Sharing their Views on the Overall Company's Performance and Strategy, and this will be followed by a Question -and-Answer Session.

I now hand over the proceedings to Ms. Sujata Nairi – Director, Commercial and Investor Relations at Colgate -Palmolive (India) Limited. Thank you and over to you.

Sujata Nairi: Good morning, everyone, and welcome to the Colgate Palmolive Analyst Meet for the Financial Year '23 -24. Very happy to have all of you here.

We will start this presentation with a Brief Presentation from Jacob and Prabha. This would then be followed by a Q&A Session.

Before we start, I'd just like to point out that the statements here may have some forward -looking statements and we have included the Safe Harbor about that in our presentation.

I will now hand over to Prabha for her Opening Remarks and Presentation. Thank you, Prabha and over to you.

Prabha Narasimhan: Thank you, Sujata. Good morning, everyone.

It's a pleasure to be here and thank you for joining us. It's been about I think since August of last year since we met at the brand days, Jacob and I are very excited to talk you through the results of this quarter.

This is the structure of what we're going to cover. Really, a Quick Update of our Performance. The important point of what is our view of oral care and the forward view of the category, what's our strategy to take on this category and lead it to the next level and then look at our financial performance.

So, diving straight in, the last time that we spoke, we had laid out the three principles on which we run our business, which is that our effort will be to grow our top line, strengthen the equity that we have, which is already exceedingly strong and to make that even better, and to take a simplification to the next level. As we go through this, we will talk through all three of these parameters.

Starting first with our performance, I'm very pleased to report that in the latest quarter, we have delivered a 10.7% domestic growth, a good double -digit growth in a good quarter for us, and this takes actually our full year performance to near double -digit, which is 9.5%, the highest performance that we've delivered in the last little while and really a testament to the strength of this organization. This comes along with an excellent performance on margin, EBITDA margin strengthening from the 29.8% levels of FY'23 to 33.7% margin of FY'24, and in the latest quarter we have delivered the highest margins ever at 35.9%. I know that we have a lot

of

discussion around margin in this Company and the way we look at margin is actually to see it as the ability of this Company to drive performance, which is linked to the strong equity that we have the privilege to run and linked also to the financial discipline and the rigor that we have on managing all lines of the P&L.

And starting of course, with the strong equity that I've already mentioned a couple of times in the very first few minutes of this call, this is the strength of the Colgate brand equity. The letters that you see in brackets indicate a significance over the previous time period. So, when you see the column 61% top of mind awareness in 2022, going to 64% top of mind awareness in 2023 and you see an 'A' next to it, it says that 64% is actually significantly better than the 61%, and similarly the 67% is significantly better than the 64% and the 61%.

And top of mind, of course, being the measure that is really critical to all FMCG brands, given that most FMCG purchase is a system one purchase in the moment. When you ask a consumer, when I say toothpaste, what is the first brand that comes to your mind? 67% of them say, "Colgate or a Brand of Colgate."

Commensurate with that increase in top -of-mind awareness, we also see an increase in the brand of first choice. So, the same question of what would be your first brand of choice, a little

bit more considered as the heading would suggest, a little bit more considered view of what you would buy in oral care and 61% of consumers say, that "They would buy Colgate." Again, significantly up over the previous couple of years.

And the last one, which is perhaps the most important functional measure of category performance. Oral care expertise is now at 78%, again, significantly up over the previous couple of years. And all of this culminates in a measure that we call, "North Star," it's a cumulative equity measure which measures equity on three parameters of how visible are you, how distinctive are you and what is your emotional bond and you can see that the strength of this brand is incredible, and what is really heartening to see is actually the movement even against a very, very strong start.

From a simplification lens, there have been really three areas that we focused on. One of course is the use of data to make sure that the decisions that we are taking are faster, are better, and are more in tune with what is happening in the market, and to that end, we have deployed an advanced marketing mix module that allows us to keep modifying how we spend our advertising money. Colgate is actually one of the, if not the most advertised FMCG brands in the country and making sure that we juice that expenditure to drive growth is critical to us, and this market mix modeling helps us to get better and better at doing that.

We now have an AI-led planogramming, which I've referenced before, but goes from strength-to-strength in terms of ensuring that our availability in stores, particularly self-service stores, is exactly as we believe it should be in that store in terms of share of shelf, in terms of ensuring full on shelf availability, in terms of assuring planogramming in terms of proximity of A2B, etc., And the measurement of that is really getting better and better and giving us significant insight which allows us to keep moving this forward at a rapid pace.

And, of course, simplifying supply chain is one of the reasons why we are able to continuously deliver continued margin improvement as we suck out every non-value adding cost in the system, allowing us to both invest back in product and packaging quality as well as invest back in significantly increased advertising. Advertising for the year has gone up by 20% and for the quarter has gone up by about 18%, and this is something that we're committed to doing once again linked back to the equity of this incredible brand.

Coming back to Oral Care and I want to step ba

ck for a moment and just remind you of the

context of Oral Care in India. The average toothpaste consumption in India continues to be under-indexed to any comparable country and we compare to Philippines as being the nearest perhaps to our market. And with that comparison, we are at 0.6 index on a total India level broken up as 0.7 in urban and 0.5 in rural. So, significant headroom opportunity for us even if we approach the consumption levels of Philippines.

And then if you take that to the extreme of the Brazil type consumption levels, then you're saying we are at about 0.33 index in India and so we could potentially have a toothpaste market that is 3X the volume size of the market that we have currently. And why is that? It's because of the two numbers that you see below. Only 20% of urban households brush twice a day. So, anytime you visit your dentist, they would tell you that you should minimum be brushing twice a day, and of course, 55% of rural households don't brush daily. And these two opportunities, moving them is actually a fundamental pillar of our strategy, which we'll talk about shortly.

When we take a look at the toothbrush category, two, there's one fact on the slide there, which is 78% of toothbrushes are sold below Rs.40. The other fact is that, on average, a toothbrush gets replaced every nine months whereas again, the dentist would have you believe that you need to replace your tooth brush ideally, every three months. And therefore, the opportunity to both move the frequency of replacement as well as driving up the premiumization or moving people to better quality toothbrushes, becomes a huge opportunity for the Company.

And why do we believe that we are the best placed to move all of these numbers, and why are these numbers important to us? Because of numerous set of facts. And I know that I labor the point on these facts, but these are good facts and so, I am going to labor the point on the fact that we are India's #1 oral Care Brand by far, we are the India's Most Loved Oral Care Brand again by far, we are the Most Penetrated Oral Care Brand existing in Nine out of 10 Households, we are the Most Recalled Oral Care Brand, we discussed that already and the Most Considered Oral Care Brand as well.

Also, our relative strength in the category is exceedingly high and we can look at this from three parameters: Firstly, what is our relative size versus the number two player in the category. So, in the toothpaste category, we are three times the number two player in the toothpaste category and in the toothbrush category we are 1.5X or near 1.5X the number two player.

Then, if we move our attention to a portfolio play and where does Colgate plays. The top line and the red dots really indicate that we play across every benefit segment that is important to consumers, whether it is strength of teeth, fresh breath, sensitivity, pain, gums, it really doesn't matter what the segment is. We play across all toothpaste segments, and you can link that back

to the oral care expertise that we've already looked at. And every other player in this category actually plays in one, maybe two segments.

When we then double click that into, do we play across price bands? The answer is also, yes, and we're the only Company that actually plays with our portfolio starting from a Rs.10 CST all the way up to our most premium brands, the most therapeutic brands that are available through the professional oral care channel, we play across all price points. So, this combination of starting size, a portfolio that plays across all categories and across all price points sets us up beautifully to make sure that we are driving this category forward.

So, that brings me really to our strategy and I've spent a lot of time talking about oral care and this is a strategy that I hope is very familiar, because we've now been talking about it for quite a few quarters, but I'll go through it once again

anyway. Our first critical job is to lead

toothpaste category growth. This is both our privilege and our responsibility with all of the data that we've discussed so far, to make sure that this category is growing faster and therefore 1A of our strategy is to grow toothpaste category volume.

The second within that 1B is really for us to grow to our core, within that which is the three brands of Colgate Strong Teeth, MaxFresh and Active Salt.

Our second job is to premiumize through science-based superior innovation, all the words being really important, and we'll talk about it how this comes to life through total through visible white and through thinking on therapeutics that we are now deploying.

Our third leg is to drive growth in toothbrushes and in devices. Like I said, we're about 1.5X the second player in the toothbrush category, getting ever stronger as we deploy some very exciting plans.

And the last leg, which allows us to say that, yes, we are an oral care Company and yes, we are the oral care expert, but there is opportunity for us in diversification and to leverage the great equities that we have outside of India, and of course the Palmolive equity in India.

And for a change today, I'm actually going to start by talking about personal care before I come back into the world of oral care, because we're quite excited about the work that's happening on Palmolive. A quick background on Palmolive. Before I go there, Palmolive's equity built over 73 -years in India, 60% of our target audience is aware of the brand. This is something that with the plethora of new -age brands that are coming into categories, this is the kind of awareness that would be very, very coveted, and we are very lucky to have a brand that has such latent equity. Our strategy on Palmolive is to play in cleansing, body wash and hand wash and that's really the focus of where we play. The body wash category, sub -3% penetration all India but growing rapidly as consumers look to get better and better and more premium experiences. The category grows at a CAGR of anywhere between 30% to 40%, depending on when you look at it and presents a huge opportunity for us given that we start from a relatively small position. This is a category where growth is there for the taking.

And what we have in our arsenal is really a global portfolio and technology to support superior products delivered to consumers, delivering superior experiences.

Starting with what we've done just a few weeks ago, which is the launch of three new variants on Palmolive, we exceedingly well researched variants, which deliver a supreme sensorial experience communicated or backed now with brand new communication, which we'll just talk about in one moment.

(Video -15:15 -15:46)

So, the reason to be for Palmolive is really to encourage our consumers that in the stress and the hurry and the number of to -do-lists that we have and fighting of traffic and stress and pollutants to just maybe take a moment in that shower or bathing moment to slow down and to enjoy the sensorial experience that is Palmolive.

Within, this is what we have in play currently. Like I've mentioned before, we have the opportunity of a global portfolio to choose from and as we go forward in subsequent quarters, we will see new things coming in from our global portfolio and we always remain in conversation on relevant inorganic growth opportunities.

So, with that, I want to pivot back to the oral care category and talk about leading toothpaste category growth and really the focus is going to be on first on the first part of driving category growth, where our efforts have been in the area of moving that 20% number of urban brush twice a day to being higher than that and we'll show the communication and then talk about it.

Video -(16:55 -17:24)

Launched during Diwali last year, I hope most of you, if not all of you, have had a chance to see this campaign, very, very

simple insight, which is that as Indians, we love our sweets. A lot

of sweets get eaten after dinner. Then you go to sleep having eaten sweets without brushing your teeth, which is a surefire recipe for oral health issues and therefore, the exhortation to brush at night.

Of course, just moving consumer behavior, as we've discussed, is not easy, it takes time, and

it's also not about us just putting one piece of advertising on air and assuming that it's a magic bullet. So, it is about creating awareness as we have done here, ensuring that we're contextual in the moment of purchase. So, the things that you see on the left were all the activations that were done around Diwali in and around the suite locations and continue to be done now, and then to make sure that we continue to remind topically and there's an example here from the ad.

(Video -18:22 -18:54)

So, a contextual ad for every single match with every single combination of teams that has gone out and obviously at the appropriate moment, because this does play in the second match of IPL, which is usually about the time that dessert is being thought of. And all of this above the line activity is also supported by very strong on-ground activities, which include a strong home-to-home program.

And underpinning this and I keep coming back to this because it's really critical to the Colgate Company, is our mission of making sure that we are improving the oral health of everyone in this country and the flagship program that we have under that is really our bright smiles, bright futures program, which has been running now is in its fifth decade goes to schools at grassroots level and teaches the basics of oral care, the right way of brushing, brushing twice a day, saying no to tobacco, ensuring that you replace your toothbrush and making sure that you have the right nutrition, leads to right oral health. In its 50-plus years, it has reached 176 million children and is perhaps one of the large reasons why toothpaste and toothbrush in this country have universal penetration. In the last year we have added about 5.2 million children who have been reached through this program, and through the coming year we have a commitment to reach another 10 million children. Currently, operational in eight states along with partnership from various state governments and other organizations, we are looking to expand this program to closer to 10-12 states in this financial year. A critical program which has long-standing and consistent commitment, and this is the kind of commitment that we intend to put behind brushing at night in terms of the above the line activity that you just saw.

So, I move from 1A to 1B and talk from our flagship program to our flagship brand, which is Colgate Strong Teeth. We relaunched Colgate Strong Teeth with the superior formulation last year. This is the only market standard toothpaste which has the benefit of Arginine technology. And just for me to repeat myself, Arginine technology works towards working with the bacteria in your mouth to ensure that you can get stronger teeth. So, a technology that actually has been patented by Colgate and has been used and clinically proven to deliver stronger teeth. We've now taken that superior product and put it in the packaging that highlights the existence of Arginine and the role of Arginine, and we are taking this particular communication further and deeper into the rest of India.

Our second brand, MaxFresh, has also been the most successful brand in our portfolio over the last couple of years, again underpinned by proprietary Ultrafreeze technology, which is a flavor delivery system that delivers freshness like no other toothpaste does, again has been revamped with new packaging graphics as well as more premium packaging, which includes a standup pack.

Strong commercial support behind the key SKU of Rs.20 and continuous activation, this is focused on young adults' too

thpaste and therefore needs continuous engagement and excitement to keep it relevant and active, one example of which follows here.

(Video -22:27 -24:00)

Always brings back happy memories and I moved from Colgate MaxFresh to Colgate Active Salt, which is really the third part of our core portfolio. Once again, I'm going to sound a little bit like a stuck record, but this is really about the underpinning that we have that superior technology, and superior products are the way to go in this category. So, we have relaunched Colgate Active Salt with a superior technology that actually is better at fighting painful dental problems or fighting the dental niggles that various consumers have. Once again back to buy a new communication that has tested in the top 15% of advertising and once again supported by a very strong commercial investment.

(Video -24:44 -25:16)

Salt has great belief amongst consumers in terms of the efficacy of it to solve many, many oral care problems and this is salt technology that has been incorporated into our new formulation. And all of these efforts that have been going on with these brands for a while now have led once again to consideration for every one of our sub-brands going up. You saw the numbers for the overall Colgate brand. This is now broken up by sub-brands and consideration for every one of our key sub-brands continues to rise and obviously there is opportunity for us to do even more.

I move from this to the second pillar, which is really science-led premiumization and I want to start with Colgate, globally, #1 brand, which is Colgate Total. If you talk to any Colgate employee around the world and you ask them, "Which toothpaste is, do they think is the best?" The answer will most likely be Colgate Total. This is an equity that has a lot of room in India.

It used to be a larger brand and has opportunity now to restore some of that size or at least all of that size. In this brand, what we have done so far is to make sure that we are building accessibility and driving trials. We're sampling over 9 million units a year. We have launched an access pack which is 80 grams at Rs.80, which is at roughly about 45% to 50% premium to the market standard toothpaste pricing, which is really the sweet spot where we imagine that premiumization will take off, and early results on this brand have been great. So, in the channels of the future between MT and eCom, we are seeing market shares grow quite handsomely and the portfolio from an internal growth perspective grows at three times the rate of the rest of our portfolio. So, lots of things for us to be happy about as far as Colgate Total is concerned.

The second leg of our premiumization has been whitening. This is a segment that we have created and we almost entirely own, being by far the largest player in this segment. Our lead product here is a Whitening toothpaste, Colgate Visible White, a brand new media strategy on Visible White has just been rolled out, focusing really on ensuring that we use our very strong first party data, reach of influencers, high beauty affinity consumers because this is actually a product that sits in the space between oral care and beauty, because it is oral beauty. It is one of the first whitening products in the country and again doing exceedingly well. This month or well towards the back end of this month early in June, we will also launch a first to the world Whitening Booster in the Colgate franchise. This is akin to a gel that you put on your teeth, leave for a few moments, and then wash off for whiter teeth. It is in addition to adjunct to toothpaste, not a substitute to toothpaste, and therefore allows us to play in an opportunity which is beyond just the paste category and making sure that we continue to expand the portfolio of products that are available under Visible White. So, Visible White will have a premium toothpaste. It already has a device that is availa

ble in professional oral care channels.

It now will have a whitening booster gel and has a toothbrush. So, a full portfolio of products to ensure that for those who are desiring whiter teeth, there is something on offer for everyone. And I switch from oral beauty, maybe to the other end of the spectrum, which is really the Oral Therapeutic business that which your dentist recommends. 9% of Indians go to a dentist every year. The 9% number itself is quite small, but when you multiply that into the population, obviously, it's a very, very large number of people who go to dentists. Driving the professional oral care channel has actually been a strategic business pillar for us. We're extremely fortunate that in our 87-year history in this country, we've had the most tremendous relationships with the professional channel and continue to build on those relationships. We have about two and a half million plus annual touch points of contacts with dentists. We have the First Ever E - Platform of direct -to dentist which is the dentist first and have 100 plus tie -ups with dental colleges which is far in excess of any other competitor, and this continues to be an area of focus and continues to be an opportunity for us. It grows very rapidly, but the headroom on this is way more than the size that we are currently.

I move then to the Toothbrush Category. Big actions in the toothbrush category. Toothbrushes are a slightly different category from toothpaste in that it doesn't get a lot of advertising. There are some, but it doesn't get a lot of advertising. So, the heavy lifting on this category is done by having superior products with superior packaging that calls out on shelves. And whether that shelf is a modern trade shelf or a general trade shelf, therefore ensuring that we have taken one of our largest franchises, which is Zig Zag, relaunching it to go back to its core equity of Zig Zag Bristles for interdental cleaning, has led to some very stellar results. And of course, we have an opportunity to continue to upgrade our portfolio and it is our intention to make sure that we are borrowing the regimen story of a whitening toothpaste and a whitening toothbrush, a total toothpaste, and a total toothbrush, a PerioGard Toothpaste, and a PerioGard Toothbrush and so on and so forth. So, that the regimen idea of how you use a toothpaste, and a toothbrush continues to get built.

We're exceedingly happy with the results that we are seeing on toothbrush, and I want to talk about just one geography where we were losing to our competitors over the last little while over the last 2 -3-year period and with these actions that we have taken in a very, very large geography, restored market leadership, which I think is fantastic and we will only go from strength -to-strength from here.

I move now, having already covered personal care earlier, to just a few of the enablers that we've inputted. The first one, of course, starting with Shopper. One of the things about the oral care category is making it clearer to consumers, the ladder between good, better, and best. And I think there's opportunity for us to keep driving that ladder and to that end planogramming in modern trade and ensuring that there are some visible aids to help understand what is good, better, and best is something that we have now deployed in a few stores. We're doing a pilot with Reliance. Early results have been nothing short of spectacular. We're seeing a significant increase in premiumization and a significant average selling price growth on toothpaste, and this is something that we are committed to. We will learn from this test pilot, make sure that we continue to evolve those learnings into better and better planograms. And this is one more

area where we see this as being both a privilege and responsibility because it is up to us to move how oral care looks on the shelf and how oral care is shopped in. Now we're taking some very concrete steps to make that happen.

And that was in the brick-and-mortar universe in the e-universe or the e-com universe. E-com continues to be a channel that is margin accretive, growth accretive, premiumization accretive for us. A critical channel in which we are very happy with our progress. And the work that's being done in terms of the content creation as well as the product portfolio that we sell on e-com is getting better and better and there are lots of plans for us to continue to make this even more premium and even better as we pull apart the consumers who shop on e-commerce versus those who shop in brick-and-mortar.

Of course, nothing is possible without making sure that we have organization and people's priorities absolutely in the right place. They are the engines that drive this wonderful organization. We are doing a lot of effort both with our own people in terms of making sure that we have the structures and the capabilities to win and take this entire business forward, also, bringing in talent from the external market in select positions so that we get the learnings from the outside world to marry with our very strong understanding within the Company. Lots of effort is also being made, which is a core part of the DNA of this organization to make people feel cared for and include it. These are two critical caring and inclusion being two of the key values of the Colgate system and something that we hold very, very dear.

And of course, it's the end of the year. And so, as a responsible corporate, we do release an ESG report. Our ESG report will go out with our annual report in about a month. But lots of significant progress made on the key measures of waste on recyclability, water usage as well as BSBF.

And I want to talk here particularly about recyclability. We are already mostly in recyclable packaging. We have the tech for recyclable toothpaste tubes, which we are deploying, and we are in the process of looking at circularity for those toothpaste tubes to ensure that recyclable is also recycled. And as we exit this year, we hope to have some very interesting news to share in this space.

With that, I'm going to hand it over to Jacob to talk a little bit about the financial performance.

M.S. Jacob: Thank you, Prabha, and good morning, everybody. So, financial strategy stays consistent, driving sales volumes and if you go clockwise on that driving margin expansion, which allows us to invest behind superior products and increase in advertising, optimizing overheads, investing in brands as the advertising piece and then therefore further leading to increase in sales volume and therefore delivering operating profit increase.

We are very pleased with the results for the quarter. You saw the numbers earlier, 1,481 crores for the quarter, 10.7% domestic growth, margins continue to be very healthy ~250 bps expansion during the quarter to 35.9% and profitability up 20% for the quarter.

If you look at it a little bit longer-term, you can clearly see the momentum, 9.5% for the full year '24 with toothpaste double-digit in that 9.5%, and you can see quarter-on-quarter, we are accelerating the growth. The gross margin and EBITDA trends continue to be quite increasing. This is one question we've always been asked is the Company so obsessed with driving margins? So, there are different ways to look at it. One way is of course there is a pricing piece of it, which we normally calibrate with the inflation and the increase in input cost. But we also have what we call a very robust funding the growth program, where everybody in the Company has got targets to deliver cost savings. And examples are savings from global synergies, packaging savings, optimizing plant allocations between our four plants, automation at the plants, favorable product mix, import substitution. These are some examples of how we drive margin. This is unrelated to the pricing piece and is a big

pillar on which our margin expansion rests.

But we also use some of it to invest back in the products through product superiority. Prabha talked about that. We virtually relaunched and upgraded almost 100% of our portfolio. The packaging innovations you will continue to see. On tubes next year we will be on 100% recyclable tubes, and we are transitioning as we speak and further investing to enhance the brand experience. So, the 400-bps increase that you saw during the year is a combination of this, plus, of course, our pricing.

In terms of investing behind the brands, advertising continues to be a key pillar. We've increased the advertising 20% year-on-year, 125 bps to 13.5% levels, that's 760 crores in advertising that we spent during the year. And importantly, the split of advertising, while we continue to support our brands, but we've also spent a sizable proportion of this on the brushing at night campaign that you saw earlier in the presentation. And of course, funding the strategy, strengthening core, driving premiumization, building personal care, these are the traditional areas where we continue to support.

Cash generation continues to be a very good story. So, 1,263 crores, going up to 1,567 adjusted

for the bank balances, and our return on capital employed is almost at the three -digit numbers. Value creation over time. Dividend, we saw yesterday, we announced the additional dividend of 10, what we call special dividend on top of the Rs.26, second interim dividend, that takes it to Rs.58 for the year.

And our share price continues on an upward trajectory, and I hope some of you have personally gained from this movement. We've gone up 87% over the last one year, reflecting the strength of our performance.

With that, I hand it back to Prabha.

Prabha Narasimhan: So, in conclusion, I just want to say that we had laid out a strategy about 18, 20 months ago. We do believe that is the right strategy for this Company and we have deployed and executed that strategy quite well. We see results being delivered against that strategy and are quite happy with the progress of each of those pillars, and we can also see significant headroom of what more we can do to juice each of those pillars.

And I want to end really with a two -part thought. The first part on oral care, which is that we are the leaders of the oral care category by far. And like I've said numerous times during this presentation, that's both the privilege and the responsibility for us to take this very important category forward in this country. We believe we have tremendous headroom to accelerate growth in this category, even despite the universal penetration of the core formats of toothpaste and toothbrush.

Diversification for us is currently small and therefore represents a significant headroom opportunity for growth for the Company as we look to take on some of the other categories that we believe we have a right to win.

And we continue to be committed to the three things that really guide everything that we do, which is to drive top line growth, ahead competitive top line growth, strengthen what is already a very strong Company and a very strong brand and make sure that in this process we continue to simplify to set ourselves up for future growth. Thank you again for your attention.

Moderator: Ladies and gentlemen. We will now begin the question -and-answer session. We'll take our first question from the line of Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: My first question is on personal care. So, slide #19 mentions Protex and Sanex. So, is that an indication that these two brands have been kind of shortlisted and if any timeframe? And second related question on personal care is on Palmolive. So, we have seen the three new variants being launched, we have seen mass media also. So, my specific questions are there. Are you focusing essentially on modern trade and e -commerce for Palmolive b

ecause you have

mentioned that 1.2X growth in share of mind is there in modern trade. So, is modern trade and e-commerce going to be the focus in the next two years here? Second is the category seeing huge disruption. It's a very low penetration, 3% penetration, but we are also seeing one player come with powder to liquid and they have done generally quite well in powder to liquid. So, given that disruption, focusing on premium, does it make sense? And last is your domestic sales growth was around 9.5% as a Company in FY'24. Would Palmolive have grown at least 2x, 3X of that in FY'24?

Prabha Narasimhan: So, good morning, Abneesh. It's nice to hear from you again. And I'm going to take maybe the first two questions and leave the third one to Jacob. On the Palmolive brand, our focus is not only modern trade actually and I didn't touch upon this milestones algorithm that we have which tells us what kind of assortment, in what kind of stores in general trade and that is something that we will use to make sure that Palmolive is available in the right type of stores in general trade. With the 3% category penetration, we do need to be careful as to where we place the product and so our intention will be to be modern trade, e -commerce, and judicious general trade. The reason for putting the market shares in e -commerce and modern trade is obviously because they respond faster to any action and this is an action that is only about six - odd weeks old, and we're already seeing some green shoot. And we're committed to building Palmolive across all the relevant channels in the relevant stores over the next foreseeable future and we think we have tremendous opportunity over there. The second part of your question on disruption in body wash. I think the lovely thing about having a category which is sub-3% penetration is that there is enough opportunity for everybody to grow in different spaces. So, there is an opportunity of cost at the bottom of the pyramid by offering value and there is equal if not larger opportunity at the top of the pyramid, which is convincing consumers who have money dealing with Palmolive is indeed a superior experience to what they currently experience. So, I think there's enough room and enough opportunity for everybody to grow and so less worried about what other people are doing in this segment in terms of disruption. We're also very, very confident about the technology that we have on Palmolive, and therefore the ability to deliver an end experience which is truly superior. On the first question on Protex and Sanex, I should have put on the image there, "For presentation only". We have a short form in Colgate which is called FPO and that is exactly what that is. It's not an indication of us doing Protex and/or Sanex, but I can only say that watch this space and then we will have some news in terms of what we believe is the right thing for us to borrow



from our global portfolio and into India. And to the question on growth, I'm going to leave it to Jacob.

M.S. Jacob: So, on growth, personal care is growing at a faster clip than oral care, and we continue to expect the growth to further accelerate and widen the growth difference as we go into the following quarters.

Abneesh Roy: Just one small follow up on the Palmolive mass media advertising. Would you have a benchmark in terms of what kind of share of voice, etc., you would like to target because this is an under-invested brand for almost 2-3 decades. So, upfront advertising will be needed. So, in the channels where you are focusing initially, will you have a significant kind of a number in terms of share of voice?

Prabha Narasimhan: So, I think the way we measure these kind of campaigns is really what is the reach that we wish to deliver and what is the best way to deliver that reach. So, what you see as the mass media advertising is the only the tip of the iceberg in terms of what we are spending on Pal

molive. A lot of it is actually going behind influencer marketing, digital campaigns and in store, which is really the bulk of our spends on Palmolive. So, what you see on mass media and multiply it by a few, that is the expenditure on Palmolive, and like I said, we are fully and utterly committed to driving Palmolive and the joy of having a P&L shape like the kind that we do is that we have the wherewithal to be able to do this.

Moderator: We'll take our next question from Amit Sachdeva.

Amit Sachdeva: The question obviously an analyst asks is, how to look into the future? You know it has been a great year. So, with that, I just want to ask a couple of questions there. I assumed that last year was a lot of pricing and obviously initiative of premiumization, but also simultaneously developing the market. Could you help us understand nearly double-digit full year growth, what has been the volume mix and pricing element? And as we go into the next year, right, how do you see these elements shaping up?

Prabha Narasimhan: So, I think I want to maybe break up your question into two parts in terms of do we see potential for this category to grow and for us to grow within this category and what will make that happen because that's really your question saying, how are we going to sustain this kind of 9.5% growth. And I think the answer to that actually lies in the fact that if you expand the category, the greatest gains will come to the category leader and that is really why 1A of our strategy is to focus on expanding the category, and that's one of the reasons why we are very, very optimistic that we can grow this category. And as we grow this category, we will be able to grow our volumes as well and our value as well. And of course, we haven't even begun to scratch the surface in terms of what we do on premiumization. I didn't talk about it because I've said it before, but just to remind you of some of the numbers, only 12% of this category sits above the 140 index, that number for other personal care categories is already 30% -plus, and even amongst SCCA, the penetration of a premium toothpaste and I'm calling anything above 140 index a premium toothpaste is only at 28%. So, even amongst those who have money, only one in four buy a premium toothpaste. So, the opportunity to then convince them of the superior offerings that exist in our portfolio is exceedingly high. So, very optimistic about our ability to grow this category and therefore continue to grow our volumes and our value. To the second part of your question of, "Do we want to break it up?" We tend not to break up the number just in terms of what we're looking at though is a balanced growth between price and volume as we go forward. So, price, volume, and mix, these are the three things that obviously go into it, and we'd look at roughly a balanced growth between all of them. And to the underlying question of, "Do we have the ability to take more pricing?" Actually, price is always an outcome of what is the value that you're delivering or what is the benefit that the consumer sees, and therefore, what is she willing to pay? And as long as we keep enhancing the benefit that we're delivering to consumers, I think this brand has potential to take pricing. I think actually all of the vectors, our ability to take pricing, ability to expand the market and ability to drive premiumization, I'm quite confident about all three of them.

Amit Sachdeva: Obviously without any guidance I can sort of see that where you are alluding to will make our own sense of it. Just to follow up a bit, you mentioned that there's a large space in premium, but then if you map the price curve of mostly consumer categories, there's a prestige price point and premium. Oral care has not yet the prestige part of it. I'm sure there's a consumer ready for the best-in-class and nothing can be better in the world kind of pricing as well, but no brand has a

at least in oral care, has attempted that the prestige part of oral care. Do you think about developing that market as well or it's too early for India to sort of get into that zone? So, I was just very curious.

Prabha Narasimhan: Amit, I must tell you that there is nothing about oral care that we don't think about. And so, I think from a perspective of, is there opportunity and if we were to put some numbers to where prestige which fit. So, in skin care obviously the numbers are extremely high, but if we were to say 400, 500 index even that would be considered as prestige in the toothpaste category. Yes,

there is most certainly an opportunity in this country, and there is an opportunity that exists already, and I think that we are in a position to start looking at these kind of opportunities, but the large bulk of premiumization will continue to come from 50% to 100% premium kind of range rather than us stretching it all the way out to 400, 500 because that then becomes a very small audience. So, opportunity exists. I think the larger opportunity exists at the more traditional definition of premiumization.

Moderator: We'll take our next question from Jay Doshi from Kotak Securities. Please go ahead.

Jay Doshi: I have a request and a one question. The request is I heard your response earlier, but if you could introduce either volume growth or UVG in your quarterly disclosures, and the reason for this request is first of all, all other FMCG share that metric, even Colgate Global does share that metric. So, I feel that is an important metric for investors and analysts to evaluate the progress in terms of volume growth and the results of the efforts that you are making this year. So, that's a request. And secondly, even if you don't disclose, the problem is that there is a lot of noise in the media and wrong numbers get circulated within the community. So, it creates more confusion. So, that's my request. Now my question is on Colgate Total. I think you mentioned that the brand was much larger earlier and you're hoping that it restores back to the earlier level. So, could you elaborate a little bit on it in terms of what was the size of the brand or what was its salience in overall Colgate sales earlier, what is it right now and some additional color if you can provide?

Prabha Narasimhan: Thanks, Jay. Firstly, on your request, let me just take it back and we'll come back to you, but at the moment, we tend not to provide that and so I'm going to move on from there so as to not repeat myself. On Colgate Total, this brand has existed in the country for quite a while and about a decade ago it actually used to be a double -digit share player in modern trade, albeit in a smaller modern trade category and therefore had significant salience to premium consumers. And it will be our effort to take it back into that kind of space where at least in the channels of the future and in select general trade stores, it continues to start edging towards that kind of level. So, that would really be where our planning and our thinking is. And why we believe we can do that is for me to just... since you've given me the opportunity to talk about Total to just spend a little bit of time on the technology on Total, which is this combination of Dual Zinc Plus Arginine which actually delivers best -in-class 12 -hour antibacterial protection and all of us know that actually bacteria is at the root of all oral health issues. And this particular product of ours has backed by 125 patents, which is more than I think any toothpaste in the world that any Company offers and therefore very confident about the technology that this toothpaste offers, the benefit that it offers to consumers, and why it is the flagship of our premiumization strategy.

Jay Doshi: Where is Total today in terms of salience at the end of FY'24?

M.S. Jacob: As Prabha mentioned we were double -digit in modern trade when we were big on Total

a few

years back. But since then, modern trade is low single digit. But eCom has been a big story and eCom is the fastest moving in terms of premiumization for us and their Total is a sizeable player already.

Moderator: We'll read a text question from Percy Panthaki from IIFL. Can you please break up your sales growth for Q4 into volume, mix and price same for FY'24 full year? Also, given that pricing will anniversary soon, how should we look at your sales growth over the next few quarters?

M.S. Jacob: Prabha mentioned on the volume piece, we are not splitting volume and pricing and so we won't comment on that as of now. Going forward, you're right, as inflation moderates, pricing will be an important discussion, but we do expect the category growth, consumption growth activities that we have initiated along with positive macros in rural that we're seeing, rural grew faster than urban and we continue to see green shoots there. So, combination of that along with premiumization would be key for us to continue to deliver the current level of growth.

Moderator: We'll take a video question from Mihir Shah.

Mihir Shah: Prabha, my first question is on margins actually. Apart from pricing and better mix, you mentioned there is a continuous cost -saving initiative that is improving the margins both on gross and on EBITDA level. How much more juice do you think we have that we can take out from the cost side which can keep taking these margin profiles higher? I'm sure we are quite an efficient Company and I'm sure there is a lot of zero -base budgeting that you guys will do. But for us to understand where the gross margins can really stack at somewhere from 69%, 70% levels maybe in the next few years' time, where can it really settle down only from the costing side? I understand the premiumization side, but from that side maybe you can help us understand.

Prabha Narasimhan: So, I think firstly, I don't think it is our effort to massively expand margins as we go forward.

Like I said, our focus is really on looking at our cost lines with a view to saying what is non -value adding cost and can we suck that non -value adding cost out of the system. And yes, we are an exceedingly efficient Company. But there is always room for more efficiency. Things evolve, technologies evolve, markets evolve, thinking evolve, lots of India's capability evolves,

many, many things move, which allow us every year to have new opportunities to suck out non-value adding cost. So, I think this ability to generate around 4 -5% of net sales as gross saving is something that I think we can continue into the foreseeable future given that things will keep moving. The question of how much of that becomes a margin expansion and how much of that we use to funnel back into driving better quality products, better packaging, I think that's really the key question for us and our effort will be to make sure that we are judiciously using the sources of funds into uses that allow us to drive our top line up. So, if you are looking for a perspective on our margins going to continue to expand at the rate that they have between last year and this year, the answer is most definitely not. I think that is more a one-off expansion that you're seeing. Our effort will be to be in and around the ballpark of where we are currently.

Mihir Shah: Second question, Prabha. I just want a clarification. You mentioned that 9.5% growth rate is a sustainable growth rate that we should assume on overall basis. Is that a correct understanding?

Prabha Narasimhan: I don't recall mentioning that. I do recall mentioning that I think there is tremendous growth opportunity in this category and that will be our focus, but I am certainly not giving a guidance on the numbers.

Mihir Shah: I understand you're not breaking the price and the volume, but maybe you can give some sense on the mix that we are seeing, is there a mix improvement... I'm sure

there is a mix

improvement that is a part of this. Would it be in low single digit, can that inch up to higher single digits later on, or do you think this mix improvement of low single digits of couple of percentage points will continue here, just a clarification on that also please?

Prabha Narasimhan: So, I think the way we look at it is to have a growth rate target for our premium portfolio relative to our core portfolio and at this moment, our target would be to be at least 2.5X, 3X faster with our premium portfolio than our base portfolio and at this time we're exceeding that target. And really given the plans that we have line of sight for the rest of this year, we can see that continuing to be the case. So, whether it is Colgate Total or it is Visible White with its innovations and the work that has been done on communications or it is the push into therapeutics that is gaining momentum, we do see an opportunity for this 3X growth rate at least of the rest of the portfolio to continue and that will keep adding to mix and that's really what we're focused on rather than a measure of what percentage of the mix is it.

Moderator: We'll take a last question from the line of Vishal Punmiya from YES SECURITIES. Please go ahead.

Vishal Punmiya: My only question is on rural markets. The first time that we had highlighted green shoots, so was in August last year. Now, this quarter, almost every Company is kind of calling out the improvement in rural markets. The question is, is it just because of base effect or is there any major improvement that you are seeing in consumption for your category? And with this improvement, with rural picking up, do we expect the premiumization -led growth to be slightly slower in FY'25 versus FY'24 while volume growth improves for you?

Prabha Narasimhan: So, thank you. That's a great question, Vishal, for us to end this session with. So, what we are seeing in this quarter is rural is outpacing urban growth by close to 200 basis points, which is great news for us, because there is so much opportunity to grow this category. The reasons behind that and we are I guess in the same boat as everybody else as we give this reason saying that there are macroeconomic indicators that rural is coming back, lots of categories are coming back as are we. From a more internal perspective of what we have done, we have doubled down on our execution and communication in rural. So, we have gone deeper and wider with the communication that we have and obviously this supported by the increase in product quality and packaging quality of our flagship brand, which is the largest brand in rural which is Colgate Strong Teeth really does help our rural growth. So, that's kind of what is happening as far as the rural market is concerned and obviously all of the indicators, the macro indicators that we are hearing in terms of what the monsoon will be like, a general feeling of optimism in the rural markets suggests to us that this is something that is sustainable along with the stabilization of inflation that this is a sustainable growth at least for the foreseeable future. On your second piece on, "Will the rural growth preclude the premiumization growth?" I don't think so, because these are actually quite independent, and therefore in the way that we look at it, it is more an "and thought" than an "or thought" that where we had already a premiumization engine as we discussed that was working and driving towards greater growth being driven largely by better off consumers in urban India. The rural growth will now become an "and" on top of it. So, we will see a combination of A+B which should certainly help growth going forward.

Moderator: I now have the conference back to Ms. Sujata Nairi for closing comments. Over to you.

Sujata Nairi: Thank you, Yashashri. Thank you, Prabha and Jacob for your thoughts and insights and thank you everyone for joining us. We are very excited

for the year coming by and looking forward

to hosting all of you again. Thank you once again on behalf of the entire Colgate team and let's

close the analyst call now.

Moderator: We now conclude today's Colgate -Palmolive Analyst Conference Meet and we thank you all for your participation.

Disclaimer: This transcript has been edited to remove any grammatical inaccuracies or inconsistencies of English language that might have occurred inadvertently while speaking

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Ms. Sujata Nairi: Hello, everyone. Good morning, and welcome to the Colgate-Palmolive Investor Meet for 2024. I, Sujata Nairi along with the entire Colgate leadership team, would like to extend a very warm welcome to all of you present here physically and those who have joined us virtually. This session today will be approximately 90 minutes with the presentation from Prabha and Jacob, which will be approximately 45 minutes and post that we will have a Q&A session for almost 45 minutes. For people in the room, obviously they can raise their hands and people who are joining us virtually request you to kindly put your questions in the chat box, and we will try to address as much as we can during the meeting.

Please note that today's presentation may contain some forward-looking statements. These statements are made on the basis of our company's views and assumptions at this point in time, and do not guarantee any future performance.

I would now like to invite Prabha on the stage to share her views.

Ms. Prabha Narasimhan: Good morning everyone. It's a pleasure to have all of you here in our wonderful office and to all those who have joined online, thank you for taking the time to come to this analyst's meeting. Sujata has already covered the safe harbour statement, so I'm not going to spend any time on it. I'm sure you guys see it more often than I do. What we are going to cover today is really three big things: (1) a performance update of how the company is doing (2) what's our strategy and how do we intend to take that strategy forward, and (3) what is our financial performance, which Jacob will continue.

As my team and I talked about this analyst meet and what should be our theme, we had many what we thought were exceptionally clever ideas of what should be the theme for this meet. And then we said, let's just go back to what this organization really fundamentally stands for. And this is the thing that we want to communicate in substance, today. What we want to deliver is a consistent performance that works with what are the market conditions. We want to be competitive. We want to grow ahead of the market consistently.

These two things that we have an exceptionally strong foundation driven by the Colgate brand, driven by the people capabilities that we have, driven by the science and the agenda that we have on superiority and we will talk about that as well. And of course, none of this would matter if we didn't have the fundamental, excellent execution capabilities which this company has always been known for and continue to be known for and we've talked about how tech and the advancement that we've made have actually made this entire execution even more robust.

So starting with the performance, I think it would be fair to say that we've had a decent year so far. This is now our seventh quarter of above 5% growth. The last three quarters have been at double-digit growth. Market conditions over the last little while, as we did call out at the end of last quarter, have been difficult and in the face of that, I think I'm quite pleased with this performance and the step up that you are seeing growth in our near-term. The blue bar that you see as X is the top 12 FMCG companies in India, their growth rate. In the

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2024 financial year 23-24, we are at 1.6 times the average FMCG growth of the 12 combined. And this is stepped up further to being 2.4 times in the first half of this financial year. And again, this is something that makes us quite happy because not only are we growing faster than the overall FMCG market, we are also growing faster than the listed FMCG players in the category in which we operate. And it goes back, and I want to keep going back to the fact that what we intend to do is to deliver consistent, competitive performance.

Gross margin has always been an area of strength for us, continuing to be very, very strong, in the range of the 68% to 70%. You will see that we had a significant step up in gross margin last year, and a significant step up in EBITDA margins. We do think that that is perhaps the absolute outside of the range of the EBITDA margin that we would operate at and probably likely to moderate to the level that we see and be anchored in that space. I know EBITDA and gross margin are often a topic of the questions that we get at the end of this session and therefore, good for us to just contextualize what we are thinking. We're an exceptionally strong company with an exceptionally strong P&L. And this is really the area in which we intend to continue to operate.

So what underpins this robust performance that we are feeling quite happy about? Firstly, it's our brand. The Colgate brand, as you would know, is the largest brand in oral care. It exists in nine out of ten consumer homes in the country. It is the single largest, I think, most advertised brand, if not the single largest, right up there. And what we have managed to do over the last little while is to take a strong brand and make it even



enstronger. So the number that you see there are top of mind number

s. And for those of you not fully familiar with the way this is measured, if I was to go to a consumer and ask you when I say toothpaste, what is the first brand that comes to your mind? That brand is top of mind and as a result, the sum total is 100. So out of 100 consumer snow in Q3, 70 consumer will say Colgate as the top of mind brand for them. In oral care, if you see the brand of first choice, that number is now moving up from the 56 that we were at in 2022, to 63.

The other measure that are really critical to us is oral care expertise, and expertise is something that is closely linked to what happens to your market share and what happens to purchase. And as an important measure for us, and we are feeling particularly happy with the progress that we've made on an exceptionally strong base, going from 73 to 82.

The number that you see, sorry the letter that you see next to the number, really indicates the significance over the previous period. So 75 is significantly superior to 73, and 80 is significantly superior to both 73 as well as 75. The other measure that we have of the strength of our brand is what we call the North Star. It measures three parameters of visibility, distinctiveness, and emotional bond, number in brackets indicate where we were in the previous period and where we are now in Jan to September, and again on a very high basis, all these numbers move forward. So, are reasonably happy position to be in.

It then comes to the last part of what we wanted to talk about, which is really consistent performance. Then we come to why that consistent performance gets delivered, which is the idea of robust, everyday execution. Our first pillar is superiority. And I'm not going to labour the point just there, because I am going to labour the point shortly in the deck. But superiority is really something that underpins everything that we do.

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Thesecond is for us to elevate the shopper experience, and we'll talk about why that's important in the context of expanding the category and growing it, and premiumizing it. And of course, digitization, which we spent a lot of effort, and energy on through this year.

So that really brings me to our strategy. But before I go to the strategy, just an indication of what is happening to the market. As you talk, as you saw companies talk about the Q2 performance of the financial year, you would have seen that a lot of them talked about a general market slowdown, particularly in urban India. You can see that in toothpaste as well. The blue line is the urban volume growth of the market, which was rising till about the first quarter of this year. This is rolled data and started to slow down as we get into the first calendar quarter of this year, and have started to slow down as we get into the backend, into Q2 of the financial year. Whereas when we look at rural that continues to sustain, but also plateauing not continuing to rise, and therefore the sum total you will see is not growing as fast as it was earlier. Different story in toothbrushes where both urban and rural continue to grow. And after a long time, actually, we are now seeing rural markets starting to slow you pace urban markets, even as far as toothbrush volume growth is concerned.

That brings me to the strategy for any of you. And most of you have heard me say this before, boring consistency. But that is really what execution of strategy is all about. It stays consistent. It doesn't move when we execute this strategy every single day. Our strategy has four pillars. Our first pillar is really first and foremost we must grow the oral care category. So driving oral care category growth is our first 1A of four strategy. 1B is for us to be competitive with our three core brands, which are Colgate Strong Teeth, Colgate Max Fresh and Colgate Active Salt. That's the first pillar. The second one is for us to premiumize through superior science and technology, and we will talk about the actions that have happened there, a lot of energy and excitement in that space. The third one is for us to lead growth in toothbrushes and devices. And the last one is for us to diversify or build our personal care business. And we will also today spend a little bit of time on what enables these four pillars, which is really superiority, financial efficiency, how we are driving this company to be at the cutting edge of digital, making sure that we are leveraging the fantastic capability that is this organization and its people. And of course, our continued commitment to ESG.

So going into each of the pillars, one by one and starting with leading toothpaste category growth.

Again, data that is familiar but worth reiterating. Toothpaste category growth.

Penetration in this country is now near universal. I could say actually absolutely universal. However, toothpaste consumption remains exceptionally low even when we compare it to countries that are comparable to India. So India, at 220 g per year, is among the lowest, in a similar peer set, Malaysia at 380 Thailand at 440.

And why is this? It's because only 20% of urban Indians brush twice a day, and only one out of two rural consumer

brush every day. And therefore moving these two numbers,

which is urban brushing twice a day and rural daily brushing is the key to our moving consumption

of this category and making the size of pie larger. Toothbrush consumption follows a similar pattern. We have 2 handles per capita per year in Thailand versus India at 1.2. And we'll also talk about the fact that most of these handles are

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actually very cheap handles, in India. Again, so there is an opportunity to both upsize, I mean, up-price as well as drive the replacement to toothbrush handles.

And that brings me to what a lot of this does to the general oral health in this country? Is that nine out of ten Indians, unfortunately, have an oral health issue, and later on in life only one out of ten Indians go to a dentist. And, half of those visits to a dentist lead to an extraction of a tooth. Which is a real pity, because it means that they've gone to the dentist so late that there was nothing that could be done to save the tooth. And I think our effort as a company really needs to be to reposition the dentist as an aid to preventive health, rather than the person whose solves your problem, unfortunately quite often by extracting your tooth. And that is at the core of our mission to help every single Indian improve their oral health and beauty, ideally every single day. And which brings me to what is perhaps our biggest initiative of this year, and which will be our biggest ongoing initiative, which is the Oral Health Movement. For those of you who have followed this company for a while and longer than I've been a part of this company, you will know that Colgate used to do what was called an Oral Health month. Prior to Covid, it used to be that you

we would give a missed call to a number, they would connect you to a dentist, and you would then go visit that dentist for a free checkup, where we evolved that model and we will talk about it and how we've evolved it. So what we want to do is to make dentists screening universal through an AI dental model. And we'll talk about it in a minute. And this goes to the point that I was talking about moving the dentist to be an aid to preventive health, rather than the problem solver who extracts your teeth.

The second, of course, is the Bright Smiles, Bright Future program, which is our flagship CSR and mission program that has been running now for five decades. And the third is the communication that we do on driving brushing twice a day.

So oral health in India is unfortunately not spoken of a lot. I think 2% of India's GDP gets invested in health. And if I'm not mistaken, 0.4% of that gets invested in oral health. So there's not a lot of conversation around oral health, but there is a problem in oral health, 55% of people have some form of gum disease. Only 13% actually realize that they do. Cavities, 80% of people have some kind of cavity, 10% realize it. 100% should go to the dentist twice a year. Only 9% actually go. And like I mentioned earlier, most of the time they go when the problem is so severe that the only solution is to extract the tooth.

And why is this important? This is a lot of literature coming out of the Colgate world, but you will see a lot of literature outside of the Colgate world as well, which talks about how your mouth is actually the gateway to your total health. So whether it be blood pressure, cardiovascular disease, diabetes, a lot of these have a direct link with your oral health. And oral health is actually a relatively easy way for us to make positive changes. And that's really the effort that we want to push, with consumers.

And so what makes this effort at the oral health movement different from what we've done in the past? We have in India, roughly one dentist per about 10,000, maybe 12,000 people. So reaching everybody to a dentist all the time is not easy.

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2024 However, 700 or 800 million Indians have a smartphone. So how can we marry technology, the phone and WhatsApp to give you an AI-powered dental screening in your hand. Let's see how we can do that. - Colgate eOral Health Movement AI Video And it really is that simple. To get an assessment of your oral health, scan the code, get the report, and then put in your pin code and we can direct you to the nearest dentist for your free dental screening. And here's the communication that supports it on television. - Colgate eOral Health Movement Films

So, what are we going to do with this? We're going to take this to market as a scale never seen before. 800 million packs will have the QR code, across both toothpaste and toothbrush. We will have a campaign reach of 550 million across many touchpoints. It was launched about a week ago and I hope most of you, if not all of you, have seen it already. And this covers television, outdoor, print. You name the medium, we will be on it. And 500 on-ground locations so that we are able to actually aid in this screening and teach people how to take these three photos and get them the dental report, which then hopefully they can pass on to other people. And these locations will be in our modern trade stores, in colleges, in corporate offices, and wherever else we think we can find a crowd to help us to be able to do this. There's one set up, just outside, if you would like to try it after this event. We launched this campaign two weeks ago, and this is really a pin code wise map, every dot represents a pin code from which we have received, somebody who has taken the test, sent us the photos, put in their pin code with a view to going to the dentist. This is really the map. And, and I think we are feeling really optimistic that this is so pan-India, it's not concentrated in any geography. And the early results, as I said the campaign is ten days old, have really been exceptionally positive and we are feeling quite happy about it. Eventually that's the outcome that you will get a free AI dental score, which will tell you your propensity for cavities, your current level of staining, and the potential for gum issues, along with recommendations of what you can do to make sure that this can get better. And of course, linking you to your nearest dentist.

So that's really the AI-powered dental score. But our oral health movement goes beyond just the AI-powered dental score. Our Bright Smiles, Bright Future program, like I mentioned in its fifth decade, scaling up to being an even bigger force than it was. We now have partnerships with three state governments, which represent 24% of India's population, which is UP, Goa and AP. We have an agreement for access to their schools, as well as the, putting dental health into the curriculum and teaching how dental health is really important. The scale of touching consumers with this program is moving from 5 million to 10 million this year, from 10,000 schools to 23,000 schools and the expansion to over 200 cities. And this is a program that we've been committed to for five decades. I fully trust that we will be committed to it for the next five decades. And we look for more and more partnerships as we go forward.

And then the last leg of this, which is really behaviour change through communication and nudging consumers to brush twice a day. There are ten pole moments. Our link or our insight in this is that a lot of Indians go to bed at night having eaten sweets. And if you could forgive me, newly found evangelizing on this terrible thing to do, because saliva activity in your mouth drops at night. If you have just eaten sweets before you sleep, that is perhaps the worst thing that you can do for your oral health. So in ten pole moments of sweets

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2024 eating, which is largely cantered around festivals and moments where you're rewatching things like IPL, this is where we intend to be much more active on, the brushing twice a day.

I move then from what was 1A of four pillars, which is driving category consumption to 1B, which is accelerating our core by your superiority, starting with our flagship brand, which is Colgate Strong Teeth. We have a new piece of communication, which I will show you. The insight here is that at any given moment in time, 46% of Indians are eating something. It doesn't matter what time of the day it is, one out of two people are eating something and I can see many of you smile. So I hope that this kind of fits with your sense of how we behave and this incessant snacking actually erodes your enamel. So constant eating leads to constant enamel erosion, and therefore the need for strengthening your enamel becomes even more important. And that's really the insight that the daily grind talks about. And we'll see it in a minute. We have through this year enhanced the packaging of Colgate Strong Teeth. We continue to drive this deeper and deeper into rural, particularly with new, covering now about 70,000 plus villages with wall paintings which talk about the price point pack. So we're trying to push this deeper into rural

I want to remind you that Colgate is obviously the most distributed toothpaste brand. We cover 1.7 million outlets directly, 7 million outlets through direct and indirect. And reaching mental availability into deep rural becomes a real growth opportunity for us. - Colgate Strong Teeth Films

Move from Colgate Strong Teeth to our second brand, which is Colgate Max Fresh. The freshness plays in our portfolio. This has been our fastest growing brand over the last three years, and has seen significant expansion of its distribution. And we are lucky that we have both the red variant as well as a blue variant. And what we are doing is to take the blue variant because blue equals freshness, to many more geographies and expanding its availability. And the work that we've done across these core brands actually has led to significant increase in consideration across each of these three brands. And the format is exactly the same as what was presented.

That moves me then from the first pillar into the second pillar of science-led premiumization, and our flagship brand in the premium portfolio is Colgate Total. It's just gone into the market with a brand new packaging. We are among the first countries in the world to roll out this brand new packaging, which focuses on the science behind Colgate Total and the benefits that total offers, as the name suggests, of total protection. Our current growth and we are feeling quite happy about this since we've started this fairly recently, are 3 times the growth of the overall toothpaste category. We've done some tremendous work to drive both access and availability of this mix. The cheapest you could buy Colgate total till earlier this year was about

■ 170, you can now buy Colgate total for

■ 80, which we believe is the right access point. And we are expanding this brand into relevant benefits. We already have an advanced health sensitive charcoal variant, and we're now adding an anti-tartar variant, which is actually one of our biggest variants globally.

Again, new communication on this brand, the insight is that you when I was giving you the statistics about, you know, eight out of ten people have cavities and so many people have gum disease and so on and so forth. I'm sure many of us actually feel like we don't have a problem, but unconsciously you are making adjustments. So if you're on toothbrushing your chewing from the other side of your mouth, if something is hot, you're waiting for it to cool

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2024 down before you drink it. So you're making these small adjustments because your oral health is not as good as it should be. And that's the insight of which Colgate Total operates - Colgate Total of a Video

So that's Colgate total. The second pillar of our premiumization strategy is Whitening. I have said this before, but just to repeat the data point, whitening penetration in this country is very low, single digits, actually some 2%. This segment is 25% in other markets, like the US, for example. This presents a tremendous opportunity for growth to marry oral health and beauty. We are seeing strong double-digit growth in this portfolio. What we have done throughout this year is over the time that we have activated this mix, we have found the people who have a greater affinity for oral beauty and whitening. We are able to then narrow our focus into targeting these people at a much higher frequency

. So we've gone from a 70% reach at ten frequency to a 60% reach at 16 frequency, which is a much tighter audience and the one that we want to talk to. And we've enhanced the packaging experience of the base visible white. But what makes this category particularly interesting and exciting, because it is a beauty category, is the opportunity for innovation. And in that is the launch of Colgate Purple, which is visible white purple, which has now been in the market for two months.

Tremendous early response. It's nothing like what you imagine toothpaste to look like. And the kind of feedback that we are getting is that, if I find it easy to get my child to brush, it is so much more exciting, it just wakes me up in the morning as I look at this purple stripe, as opposed to a regular toothpaste. Lots of excitement around the product, which has underpinning it real science, because the science here is the colour technology or the colour theory, which says that purple is at the opposite end of the spectrum to yellow. So when you apply purple on top of yellow, you cancel it out and you get white. And therefore when you brush your teeth with visible white purple, you get an instant feeling of whiter teeth and the technology is working in the background to make sure that you use this continuously and it will continuously whiten your teeth. We've taken this to market in a very different way. It was actually launched by Rashmi Kamanna, before we launched it as a company, in a video that has become reasonably viral, 44 million views, 250,000 likes and close to 20,000 shares. You can see the joy of using this purple toothpaste. It's already three share one.com. Like I said, it's just been a couple of months since we've been in the market, and we are now available across most of the modern trade chains as well. And feeling quite optimistic about this mix.

Move then from science-led premiumisation

into the toothbrush category. Just reminding you quickly of the 1.2 handles per year, 78% of toothbrushes in India are sold below

■ 40, which is 50 US cents. This is perhaps among the lowest, in the country. On average, an urban consumer replaces their toothbrush every 6 to 7 months. A rural consumer replaces their toothbrush every 15 months or so. And there is enough science to say that a new toothbrush cleans nearly 100% better than an old toothbrush. So every reason why a simple change can actually lead to significantly better oral health.

What we've done in this category, we are doing really well this year. This has been our best year on toothbrushes in a long time. We are growing at 1.4 times the rate of the category

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2024 growth. Our lead equity here, which is the

■ 30 Zig-Zag, has gained market share, through this year on the back of a relaunch that some of you would recall we talked about in earlier analyst meetings. I think it was September last year, and we have now taken leadership in the super premium segment, expanding our portfolio to actually be very regime focused. So for every toothpaste of ours, there is a corresponding toothbrush that works

ksbestforthatbenefit. Soourwhiteningportfoliohasawhiteningbrush. OurPerioGardportfoliohasaPerioGardbrushdesignedtodothejobforwhichthetoothpasteiswashed. Andtherefore, asaregimeworksinconsonance. Lastly, Icometopersonalcare. Iknowdiversificationandthefactthatthiscompanycandoalotmorewiththeexecutioncapabilityandthepeoplecapabilitythatwehavecomesupasapointveryoften. Istart, ofcourse, alwayswithPalmolive. Thebrandhas60%awarenessinthe country. It'ssexistedinIndiafor, Ithink, a littleover70years. Wehave, overthelastcoupleofyears, narroweditsfocustoonlytobodywashandhandwashbecausewebelievewehavetherighttwinahighsensorialcleansingplay, whichiswhereweoperatethePalmolivebrand. Thisyearhasbeenagoodyearforus. Strongdoubledigitgrowth. We'veexpandedtheportfolio, andIthinkwhat'smoreexcitingisthatwe'vegoneonairforthefirsttime, andwehaveaninnovationpipelinethat'strulyinteresting. IthenmovefinallytosaythatbeyondPalmolive, thereareopportunitiesforus. TheglobalColgatecompanyoperatesinmanycategories thatwedonotoperateinInIndiaandthattherelevanceinIndia. Andthisissomethingwe'vementionedbeforeasbeinganareaofinterestousandcontinuestobeanareaofinteresttous, andsomethingthatwewilltakesome, wearelookingtodosomeworkinthisspace, aswell. Comingthenfromthestrategicpillarsstotheenablers, thefirstonebeingssuperiority. AndIwanttostartwithscience. Scienceunderpinseverysingleproductofours. Itdoesn'tmatterifit'samarketstandardproductorthemostpremiumproductthatwesell. Thereissciencethatdelivers thebenefitthatwearepromising. SostartingwithColgateStrongTeeth, wearetheonlymarketstandardtoothpasteinthe country thatofferscalciumplusarginine, thecombinationofwhichallowsustomake the2Xmakeandmoreimportantly, deliverthe2Xstrongerteethclaimthatwe'remakingintheadvertising. OnMaxFresh, wehavere launchedrecently, withultrafreezetechnology. Againafirstinthe globalColgateworld. It'saproprietarytechnologydevelopedintheUS. Andwearethefirstcountrytouse this technology that actually delivers higher impact and longer lasting freshness on your toothpaste. And every time we test this, we find that this technology is a winner. Colgate Total, 130 plus patents on a single toothpaste with the dual zinc plus arginine technology, 12 hour antibacterial, all round protection of teeth and gums is indeed the total package. We've relaunched Colgate Active Salt this year, with potassium nitrate. For those of you who are science inclined, potassium nitrate is one of the key actives for sensitivity prevention. And that's snow gone into our base market standard toothpaste as well. And of course, white ning has a whole host of technologies, one of which is this oxygentech. We could talk about purple. We could talk about high cleaning silica. And all of this is actually underpinned by a steadfast commitment to science. We have over 900 patentsevery year and 900 scientists who work for Colgate, all looking at oral care.

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2024 I don't think there is a company on this planet that invests more money behind oral care technology and understanding how to make better oral care products. We do a lot of clinical trials, so everything that we put out as a claim is backed by enough data and enough proof that it actually works. And then we marry this with our understanding of what consumer want, what consumer need, and how best we can deliver that using both the consumer insighting work at scale, as well as using data and predictive models to ensure that we can predict what will work in terms of, for product output.

And all of this leads to the fact that now we are at 100% of our products being either parity or superior, mostly superior to eyeball competition. 90% of our packaging portfolio has an upgrade. We've moved from the first cap. So the smaller cap to stand up caps, we've moved from stand up caps to flip top caps. The most premium range, have double walled acrylic caps. The tube artwork has been enhanced and this is supported by very high quality advertising. We test every piece of advertising before it goes on air, and 90% of our advertising is actually in the top quartile of FMCG advertising. So if you're hearing, and I hope you are, more buzz about the Colgate brand as you go out and talk to people, it is because of the quality of the advertising and product that's going behind it.

So this is what our portfolio used to look like. This is what it looks like now. You can also start seeing the good, better, best ladder that we are trying to build into the portfolio that allows us to start giving consumer cues to say what is indeed a superior toothpaste visually, and that then supports elevating the shopping experience. I personally am very proud of the work that the team has done in bringing purple to market. It is not an area that we've operated in before, this kind of high beauty space. And I think from a slightly biased point of view, I think we've done a really good job. What makes it exciting to execute in either modern trade or direct trade is the fact that it is obviously skewed, skewed to premium. And this channel for us is margin accretive, growth accretive, share accretive. And so a great place for us to invest to build premium products.

I touched briefly upon the fact that digital is at the heart of what we are doing and digitization is at the heart of what we're redoing. Oh, one kind of pinnacle of leveraging technology to get to our strategic intent.

The second, of course, is the work that's being done to make sure that our content on e-commerce, which is so critical, is actually technologically the best that it can be. So it's constantly tested to get constantly better. So we moved from what you see on the left to what you see on the right, which is 50% better. And there is already work to make that 1.5X even better. We use tech to decide what is the assortment that goes to the 1.7 million stores. So briefly, we take a look at what are the macro conditions, what is the history of the store, therefore, what is the right assortment for everyone of those 1.7 million stores, which then gets fed to the hand held of the distributor sales representative. So his job is then to just sell what is there on that hand held without having to apply thought on, should I be adding this SKU here or should I not? This has led to a 15% assortment increase. And on a base of 1.7 million stores and the assortment that we had, this is quite a substantial increase.

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2024 We use image recognition technology. The lovely thing about the toothpaste shelf is that it is quite homogenous. Lots of cartons, lots of brands with lots of benefits. We are able to very, very well take images of our shelves to then check out of stock, share of shelf, pricing, and then correlate that with the growth of the store and make adjustments and see what are the patterns emerging in terms of how we can leverage

age that. And it's not a surprise that the stores that have this tech enablement grow twice as fast as the stores that don't. In the supply chain, AI/ML demand forecasting is now a way of life for us. It was new to us about a year ago now, a way of life. We have now not only quality checks in a lot of our plants. So a lot of the stuff that was human visually enabled has now become camera visually enabled. And we have digital twins running in our plants that allow us to predict before something goes wrong, and also to take a look at what's happening in the speeds and what's happening to efficiency and just run all together as significantly tighter ship in terms of output as well as energy consumption.

And all of this, of course, underpinned by the fact that we have tremendous quality of talent. We have a very strong management training program that builds a lot of our future leaders, a lot of our leadership team actually comes from this program, learning and development, in partnership with universities like Stanford, INSEAD, etc., becomes a large part of what the HR team focuses on to make sure that we are constantly upskilling. And it is a workplace for all, which allows us to give career to different types of people in different ways. And one of the things that always surprises me is that 10% of our people go abroad and come back, to, to work in Colgate India which is really great because they learn and they come back and they contribute both in India, and outside.

And then environment at our core, I want to talk about one thing that's really important to us, which is recyclability. Some of you will recall that I had mentioned that we, Colgate, had pioneered the technology for recyclable toothpaste tubes way back in 2019 or not so way back actually in this world. We started in India in 2022 with a journey towards moving to recyclable tubes between 22 and the exit of FY25. So in the first calendar quarter of next year, we will be the first and only toothpaste company in this country to have 100% of our tubes in recyclable format. And the lovely thing about this is that the tech has been open sourced, and we hope that everybody else will use this tech so that our 2 billion plus how ever many toothpaste tubes that they sell can all become recyclable and start getting recycled.

With that, I'm going to hand it over to Jacob to take you through the financial performance. Thank you for your attention.

Mr. M.S. Jacob: Thank you Prabha. Good morning everybody.

So, delivering sustainable financial, profitable growth has been a cornerstone of strategy. And we continue on this path. You've seen a margin trend. We've gone to an exceptional level of, margins on the, more recent years. We've seen sharp spikes. So what we are looking to do is leverage that, along with the efficiencies from areas like overheads to invest behind our brand. And really, the focus is going to be how do we leverage the strength of our P&L to

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2024 accelerate our top line growth. And that's what you've been seeing in the last little while. And this will continue to be the model we will follow going forward. You've seen these results. We have had an excellent first half, top line growing 11.4%, gross margin EBITDA margin, both heading in the right direction.

Advertising, we've seen this increase as we continue to fund programs like our consumption building program, the oral health movement, and we will continue to invest behind the innovation that we are bringing to the market. Profit growth at 24% - Of course, this includes some one-time items. But even without this, it's no doubt a very healthy performance in the first half. Strong margin - So we've seen our margins have gone up sharply. And it's a tribute to all the work that we do in the organization to find efficiencies on costs, on pricing and at the same time, how we are looking to deploy our investments in the right places as we drive mix.

Revenue growth management is a process that is well embedded in the organization. And this is about growing the topline. And how do we do that? Driving volume growth, identifying the levers that will accelerate volume growth momentum. Strategic pricing, so that means not just pure price increases, but also having a clear strategy on the pricing between different SKUs, between different subbrands and, looking at the overall portfolio and seeing how you ladder it so that you optimize your realization. Accelerating premiumization is one of the strategic pillars as we accelerate our effort to move people into subbrands like Total, Visible White, etc.

And then last and not the least, competitive promotional spending. This spending we've upped over the last few years and we are deploying a lot of tools to collect data from the 1.7 million, distributor stores we cover and also from direct trade, e-com, etc to make sure we are spending in the right places at the right level and we are getting the right returns. And returns may not always be profit, it is what we call return on our objectives which could be share growth, top line growth, etc. and as a result of the strong revenue growth management process in the company. We've grown our ASP by 13% over the last two years, which is ahead of the MRP changes we've done.

The other area that we really do well as a company is on driving efficiency and effectiveness. We have this program called the Funding the Growth Program. This is a program that is considered best in class in India and has been cascaded to the rest of the Colgate world. For example, in the calendar year 24, we are looking to generate about 5.8% of the topline in terms of efficiencies in the P&L. But what this also enables us to do is reinvest, you saw all the superiority stuff that Prabha mentioned. More than 90% of our portfolio now has enhanced formulations, better packaging, etc. So, it's about \$11 million we've spent in just the last two years on improving the profile, efficacy, aesthetics of the products. And on the left side, if you see, those are some of the areas we tackle such as continuously looking for procurement efficiencies, localization of material which was otherwise imported, including finished goods. For example, over the last couple of years, we moved all or most of our personal care products from import to locally sourced. We also moved products like mouthwash to India. So that is a continuous endeavour. As we build scale for some of these products, we continue to look for opportunities to bring it in-house. Automation initiatives

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2024 at the plant is another area which we are investing in. And of course, continuing to look for design and manufacturing efficiencies. So in terms of investment, we believe, the quality of advertising and the level of advertising is critical for us to drive topline. And we've done a lot of stuff in the area of enhancing the products, packaging, etc., and we need to make sure people are aware of what's out there. The kind of innovation we are bringing to the market populace, and excellent innovation.

And similarly, the other new products that we are bringing to the market. So this is an area we will continue to support. So, consumption

tion building ,which you saw in the oral health movement, the brushing twice a day campaign and the BSBF program. So we will continue to drive consumption. We believe as the leader, we owe it to build consumption in this category. And also at the same time, you saw some of the information on how the state of oral health is linked directly to the level of your health. So that's something we plan to continue to spend behind accelerating the core, strong teeth advertising, premiumization which will continue to be a big focus, mainly through visible white, total and there will be more coming. And, of course building a second pillar in the form of personal care, Palmolive.

Operating profits- while gross margins have been at this level, EBITDA also continues to trend well. We think we are at very good levels of margin. This is a great opportunity for us to leverage this and invest to drive the topline, which will be a continuing focus going forward.

The hygiene in the system is another area that receives a lot of focus in the company. So distributor inventory is at healthy levels and we've actually bought it down a notch below where we were a couple of years ago as we look to improve their return on investment. It enables us to push products through the system faster and this is an area we continue to monitor very closely, but I would say that it's at very healthy levels and will continue to be a focus going forward.

And enhancing shareholder value- The net result of all we are doing is to deliver shareholder value. Soon cash gen, we've always been very efficient in converting all the profits we generated into cash. And, last year was no different. We generated almost 1,600 crore in cash gen ahead of our profit numbers.

Return on capital employed among the highest. It's close to 100%. EPS

49 paise and last year we paid a dividend of 58, including a

10 one time dividend. So, our strategy has been to generate cash and be efficient while we push our working capital from the current negative levels to further improve it. And, if we don't have big requirements in the terms of CapEx or any other programs, we return cash back to shareholders because we believe they know how to make a better use of this cash than we can. We are quite conservative in terms of our surplus fund investments.

So to end, lead category consumption

will continue to be a focus going forward. We will strive towards driving consistent growth despite some macro challenges, continuing emphasis on innovation and brand investments. As I mentioned, purple is a good one. The work we are doing on Colgate Total different variants coming to the market, we will continue

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2024 on this path to help our premiumization agenda. And underpinning all this is the strong governance, the quality of all levels of governance here is quite high. It's an area that is non-negotiable. And we will continue to maintain it at that level while we work on the value creation.

So to summarize, consistent performance, strong foundation and robust execution would be the theme for us going forward.

Thank you. And with that, I hand it over to Sujata to take up the Q&A.

Ms. Sujata Nairi: Thank you Jacob. We will now start with the Q&A. Request Prabha and Jacob, to just come on the dias.

So we will begin with the Q&A in the room presently. So, request people who want to ask questions to raise your hand. And, we will have someone from our team to come and give them mic. For the people who have joined us virtually, request you to kindly please type your questions in the chat box and we will give you a chance, request the people who are raising their hand to please stand up to ask the question, and then give your name and organization name.

I know Vivek your hand is up, but we have Abneesh here, so we'll just give it to him and then we can start. Abneesh.

Mr. Abnish Roy, Nuvama: Thanks for the presentation. My first question will be on the dental screening program. How exactly does this benefit, Colgate? Because when an Indian customer gets anything for free, he's very happy to take that. When he goes to the dentist, the dentist will sell his different kind of business making opportunities. So do you see this as a P2P equipment sale to the dentist? Do we see this as a marketing campaign for Colgate, or do we see this eventually replacing cost for Colgate from a physical event led activation cost towards more Al enabled? And second related question is near term 500 events on ground for this, obviously dentist in India don't come free when you are aligned with them for 50,000 dental. Obviously there could be some cost. So initially, could there be a cost shock in the quarterly results? That is the first question.

Ms. Prabha Narasimhan: So I think firstly good morning and it's nice to see you. Abneesh, please have a seat. Thank you for your question. I think underpinning the oral health movement and the dental screening that we are doing is firstly your mission. It is our job to move oral health in this country. And to that extent, moving oral health is the first step of making you aware of what your oral health is and what we want to do to stop that in the hands of consumer

so say, you can now assess what your oral health is. After that, there is an opportunity for you to do what we are recommending, which is to go to our dentist partners and get a checkup and get an assessment of what else you need to do or at least get your teeth cleaned and scan and that would be the advice. So, that's the first level which is the link to our mission.

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2024 These second level is that we firmly believe that as awareness increases of the fact that you need to do more for your oral health, we will get the behaviours that we want, brushing twice a day, use of adjunct products, replacing your toothbrush. This kind of thing which will lead to a knock on effect of the market size growing. And that is the first part of the pillar of our strategy. So that's really an answer to why we are doing the oral health movement equal parts mission and equal part desire to grow the overall oral care category. To your question on cost, there is no cost to us sending people to the dentist because of two reasons. One, we are very lucky over the 87 years that we've existed in this country to have a very strong relationship with dentists and the Indian Dental Association. So the dentists have been kind enough to offer these

heckups free. And these second, of course, allied to that, because nothing is ever utterly altruistic. This is market development for the dentist. So if I get more people to come to me for a checkup, there will be people who will come back to me when they have a problem and there will also be people who need something then in there, which will lead to business. So they do see the business avenue of that. So there is no cost attached to that for Colgate, we see this as win-win for the consumer because they hopefully will get better overall health outcomes, win for the dentist because it allows them a bigger catchment area and win for us because it allows us to deliver more substantially on our mission.

Mr. Abneesh Roy: And on the 500 on-ground events?

Ms. Prabha Narasimhan: The 500 on-ground event, we do a lot of on-ground events as a company and, you know, 14% at our scale, invested behind a single brand is a lot of money. So a part of that money will get channelised into these on-ground events so I can specifically answer that. There will not be a cost shock to those 500 events.

Mr. Abneesh Roy: My second question is on the pricing architecture. In the Colgate Total ad, you mentioned that pricing has been reduced 23% to 0.77x. Just wanted to understand how you arrived at that number. Could there be some more price correction in any of the premium brands? Second, we have seen competitive intensity in toothpaste increases suddenly in the last few months. Is that because there is a rural slowdown? So the good growth of all three companies is a bit more temporary measure at least in the urban, if you could comment on that. And in terms of, last year strategy, you had said balance growth will be the mantra going ahead. Now, will it be largely volume-led growth going ahead? Is that, right understanding?

Ms. Prabha Narasimhan: So let me answer the last question first maybe. Balanced growth continues to be our mantra. A mix between price, volume and mix, is what we strive to get and what we will continue to strive to get for the foreseeable future. To your question on the pricing, our understanding is that the sweet spot of driving rapid premiumization in this country is anywhere between 140 to 170 kind of index pricing. And that's what leads to faster adoption. And we look at it in other categories, like for example, the other categories, which have a larger share of premium products tend to have work in that range. And so our effort is really to bring our

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2024 products into that range over the market standard. And that's show we arrived at the pricing. But this is dynamic, for the moment, it's working well for us. We've seen the growth that we are delivering on premium. So for the moment it is working well for us. But this is dynamic and always open to more interpretation. Let me put it that way. As we go forward. I'm sorry I missed your middle point.

Mr. Abneesh Roy: Competitive scenario increase.

Ms. Prabha Narasimhan: Yeah. I'm not sure that there's necessarily a competitive scenario increase. I mean, the players that exist have always wanted to win. And as you go to multiple analysts meet, I'm sure you hear everybody saying we want to deliver competitive growth. Obviously that's a 100% game. And some people will win and some will lose. So I'm not sure that necessarily we are seeing a tremendous difference from what we've seen in the past.

Ms. Sujata Nairi: We'll take the next question from Vivek. Vivek if you could just raise your hands and thank you.

Mr. Vivek Maheshwari, Jefferies: Thank you very much for a very impressive presentation. I must say, you have built upon what you articulated last year. I would say a couple of things. First, on the consumption or per capita consumption. You know, you mentioned about 1 in 2 rural, rural folks do not brush on a daily basis. 20% of urban Indians brush twice a day. Do you think Prabha, at some point of time there can be an inflection because supply creates demand. And in this case, while you are fully penetrated, but just sheerly by communicating, bringing more awareness. I think the number of times you have used the word night brushing is, I think all the analysts put together today, what you have done is like 10X more than ever, all put together. So how do you think about if awareness goes up, does this lead to an inflection at some point?

Ms. Prabha Narasimhan: So firstly good morning Vivek. It's very nice to have you here. I think, you know, I would love to believe that by saying night brushing repeatedly that we would move consumer behaviour. I would say all the time, if that was the case, I think the thing is that moving consumer behaviour, we realize, is something that is slow and will take significant investment at many different touchpoints. So if you were to take, for example, this dental screening, the AI-powered dental screening, night brushing would be one of the things that we recommend going into the outcome of that report. So our belief is that if we keep at it, we are already seeing movement. We are seeing volume growths come back in the toothpaste category. I don't want to attribute it to the fact that we've done this campaign and we started talking about it, but we do believe that staying at it, being consistent, doing it over the long term is really the only way to do it. And if I may use the parallel of penetration, I don't think it would be too much of a stretch to say. The reason why India has 100% penetration of oral care is partly awareness and a large amount of the work that Colgate has done at grassroot level in schools to teach people brush and paste, and the habit that goes with brushing toothpaste. So we want to replicate

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2024 that's something over the next coming year on consumption.

But I don't expect that it will move dramatically overnight. So steady state consistent increase is really what we are aiming to drive.

Mr. Vivek Maheshwari: Got it. Beyond oral two parts to these second question. The first is on Palmolive. You mentioned 60% awareness, if I recall correctly, but, and doubled digit growth. But Prabha, do you think, you know, in the world where, let's say, quick commerce, entry barriers, all of those things are, you know, changing dramatically, do you think there is a case to go much more aggressively on the positive side? That's the first part. And the second part is you just hinted about, you know, white portfolio to choose from the parent stable without mentioning divulging anything. So can you just answer both the parts? Thank you.

Ms. Prabha Narasimhan: So I think the first part of the answer is yes. For once I have a short answer to your long question. Can we be more aggressive? Yes, we can. But I think the trick is for us to make sure that we are seeing results from the investment and the effort that we are putting in, and then we can double down on it. So, absolutely Yes. Expect that we will be more aggressive on Palmolive as we go forward and hop

efully aswedobetter, that aggression will continue.

On the piece and diversification, the only thing I want to add is that we are committed to doing it, the when and where of it unfortunately, I am not obligatory to share at this moment.

Ms. Sujata Nairi: We'll ask people to raise, Mihir from Nomura. Can we get someone to get the mic?

Mr. Mihir Shah, Nomura: Good morning, thank you very much for giving me this opportunity. Maybe we can talk on the volume growth because, you know, that was absent. You know, over the past 2 to 3 years, you know, in FY23 volume growths were largely in a decline phase of 2 to 3%. Then 24 we had, except for one quarter volume growths were flattish. You know, Q1 was 6% growth. And then in the first half, you've done a very sharp, you know, growth of 7 to 8% volumes. What has really changed out there? I understand all the activities that you've spoken about the promotion, maybe rural is coming back, maybe just coincidentally, night brushing. But maybe if you can, you know, point out what has really changed, in, you know, volume growth, and, how should we think about it going forward? Can this be a new normal, at least for the near term, near to medium term, maybe about 6 to 12 months? So that's my first question.

Mr. M. S. Jacob: Yeah. So we've seen FY growth has been predominantly volume growth as you probably inferred from the number and the interactions we've had. So the multiple pieces to this one is the category itself. And, we've been trying to build the category into the volume, but we're not attributing it yet. We've started on this path a year before. So there is a bit of that happening. So, the category itself is driven by volume. There's also pricing that has been a

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2024 bit more benign in the last year or so. That could be another factor. So, some of it we are kind of speculating. But going forward, we would most likely be seeing more balanced growth between volume and pricing. I don't see we will be seeing predominantly volume led topline growth going forward and we look to see more balances. As you know, we've seen inflation creep up, some commodity prices have been going up and the category needs to keep growing at the healthy levels. So we do see more balance going forward.

Mr. Mihir Shah: Second question maybe on, I was wanting to check on your pricing strategy. You know, if you, you know, you've taken about mid-single-digit pricing in FY23, you know, RM, raw material costs were quite benign. Oh sorry, that point of time they were inflationary. And later in 24 when they were quite benign. You continue to take high single digit pricing. And that is at least what we saw in the numbers. How should one and now there is an anniversary of pricing that is happening. And I understand that your ASPs have improved by 13% while your price increases have been lower. What ladder of changes have you done in your portfolio, which is driving higher ASP and how is the pricing strategy? You know, turning about basically?

Mr. M. S. Jacob: I would talk about the revenue growth management process that we have in place which is about driving average selling price per ton. And there are multiple levers we work on. In this one is the peer pricing as we said, we are continuously looking for positive to take price increases depending on actual commodity scenario, the superiority of the product, the communication, and a lot of other stuff. But also, there is opportunity premiumization. We are growing Total by 3X, for example, or a visible white is at least 1.5x, in terms of pricing versus the rest of the category so, that's one lever we have. Also, within SKUs, you can move them to the next level, which is move 20, moving to 100, etc. could also be ASP accretive. So those are some of the levers we have. The new products we are launching are all at higher price levels. You saw visible white purple launch and more of the action you will see the innovation space will also be in that area. So, there are a lot of levers to drive prices.

It's not just taking the price up for 100g,

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72. So we are looking at it very holistically. One thing we are clear about is that the ASP of this category needs to grow up. It is among the lowest ASP in the world. In the ASP per ton of toothpaste and mix of premiumization and the mix piece, the pure price increase piece would need to do the work for us.

ation and the mix piece, the pure price increase piece would need to do the work for us.

Ms. Sujata Nairi: Thank you. So while we have people raising questions, this is just one from the chats so, Prabha this is for you. What would be the top three priorities of the management for the next three years?

Ms. Prabha Narasimhan: Aml allowed four because they were there and, on the chart, and I'm only going to repeat myself. There are four priorities that remain driving our four strategic pillars. Since I love to repeat myself, I am going to repeat myself, which is the first will be to lead category growth. The second one will be to drive premiumization through science, to win in

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2024 toothbrushes will be the third, and the last one will be to ensure that we see through the opportunity of diversification starting with Palmolive.

Ms. Sujata Nairi: Thank you. We can see Percy raising the hand, and then we'll give someone out there as well.

Mr. Percy Panthaki, IIFL: Hi. Good morning Prabha, Percy here from IIFL. My question is on how you look at your market share, among the different subsegments. So while, at an overall country level, you're definitely the largest by far. But, if I look at the natural segment, that segment is about, I think somewhere in the 25 to 30% of the overall volume of toothpaste. And here I'm talking about the red or brown colour ayurvedic tasting kind of segment, and you're significantly under-indexed in market share there. So isn't there some way, this is a preference of the consumer that he wants this kind of taste. He wants this kind of a colour and I don't even know why we should try and change that preference. Isn't there some way we can offer all the benefits of science of our products, but also give the sensorial to the consumer in terms of the taste and colour that he prefers to use, and therefore increase our market share in this segment.



Ms. Prabha Narasimhan: So I think, firstly, Percy, you don't need any introduction and it's nice to see you. Good morning. I think my answer to this is two parts that I've said both of them before. But I'll say it again. Consumer sbuy benefits. They want their child to be cavity free. They want to have fresh breath. They want to be free from sensitivity. They don't want to have gum problems. They want white teeth. Whatever it is, they buy benefits. So my first thought as I go out there is which brand is going to offer me the best solution for the benefit that I'm seeking? Under that comes what is the reason to believe that benefit? Is that benefit coming because it has arginine? Is that benefit coming because it has some other system of delivering that benefit, but that is secondary. So our strong belief is that if we are able to convince consumer sthat the science that we offer leads to better delivery against the benefit that they are looking for, we will win. And that's an unshakable and a foundational belief. I think the second part is that sensorial, there is no consumer who is a consumer of a single toothpaste in this country. So there is no consumer who buys the same toothpaste again and again for, you know, 12 months in the year. And by no, I mean a very small number. I hope some of you in this room buy only Colgate total. But, it is a repeat category and therefore I look for sensorial in different ways. So for example, if I go to a Mexican restaurant, I want good Mexican food. I don't want that restaurant necessarily serve me the best dosa. So what we need to do is to make sure that what we are offering in it is sensorial is superior to what competition is offering. And that's where all the effort on product development and taste and flavour and all of that effort that's gone behind developing superior sensorial in the family in which we operate and not moving to a family that other people operate. So that's really your principle. And so far, the principle seems to work for us.

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2024 Mr. Percy Panthaki: just to take this point forward since, you're largely present only in one category, wouldn't it be restricting your self too much to say that even within this category, we will sort of operate in so-and-so family? Why not just broaden the horizons and try and win in all the subcategories of oral care?

Ms. Prabha Narasimhan: Because I don't think that there is a subcategory called natural. There is a subcategory called family health, which is the reason for which a lot of toothpastes are bought. And in that subcategory, we are still the market leader with enough headroom to grow. So it's a difference in perspective of how you label these segments. Which leads to the response that we give. We label these segments on the basis of the benefit that the consumer is seeking.

Mr. Percy Panthaki: All right. Just one question for Jacob. This 13%, ASP growth, would you be able to tell me how much is the pure pricing into that?

Mr. M. S. Jacob: No, I won't be able to split it down for you. But I can say in the last one year it's mainly been driven by the mix and less MRP changes.

Ms. Sujata Nairi: Thank you Percy, I will take a question from the room. If you can just say your name and organization.

Mr. Priyank Chheda, Vallum: Yeah. Hi, this is Priyank from Vallum Capital. My question is on the premium portfolio when it comes to FMCG as a category, the size and the opportunity in the premium, premium side, beats, skincare or other categories is very large, when it comes to oral care category. What is the size of opportunity available? We would be somewhere around 13-14% of this category as a revenue share. Where can it go? And on the other side, there are many such other different categories within this in the global portfolio, be it therapeutics, be it sensitivities, whitening is one of the categories. So there are many more. How many of them are the categories where Colgate India is not present? While our parent has such a large bouquet of categories within the premium share.

Ms. Prabha Narasimhan: So I think to your first question, if we take above 140 index to market as the premium range, 12-13% of total oral care sits in that space. Comparable categories, which is shampoo, personal wash, those kind of other personal care products, anywhere between 25 to 30% of the category sits in that space. So straight we have an opportunity to take this 12-13% to the 25-30%. And I think that's really the headroom opportunity that we see. And therefore this three times faster growth of premium that we are seeing versus the base, is something that can sustainably continue for a while. As long as we get our act together and continue to

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2024 offers something that the consumer sees value in paying for. So that is the answer to the first question.

To answer the second question. I don't think there are a lot of segments in which Colgate India does not play. As far as oral care is concerned, it's a question of saying strategically, where do we put our money and what are the choices that we make. Just because we exist in a segment doesn't mean that we necessarily need to support that segment.

And so if I had to make the choice, and the choice that we have made is that we have three callouts for premiumization, which is total, which is overall family health or advanced premium family health. Whitening, because we see significant opportunity with the growing younger generation and the focus on being Instagram ready. And the third is gum disease because like you could see the prevalence of gum disease being undetected is very high in this country. And if we can move the needle on managing that, that would be really helpful. So that's our choice and it's more a strategic focus than not having the portfolio.

Ms. Sujata Nairi: Thank you. We'll give it to Fatima, if you can just.

Ms. Fatema Pacha, Mahindra Mutual Fund: Ma'am, just taking on from where Percy left on the natural segments, like pre-2000, pre-COVID. Rather, it was a very strong segment

and it was doing very well. And Colgate was having their struggles. But are you seeing that that segment

is the leading player in that segment has lost market share or that entire category has dwindled along with the rural not doing well, and that is why the top three players in the country have actually had a very good ride in the oral care? That's the first question.

These second question on the toothbrush side, we see the other competitor, which is Oral B struggling. Is there something that we have done that we have taken back that market share from the toothbrush side? And third, on quick commerce, ma'am, a lot of companies are hav

ing this DT-MT versus quick commerce inventory issues and stuff like that. Are you facing anything on that? And when a customer is asking for a product on a Blinkit or Zepto, do you have any data on whether that person just types toothpaste or whether that person types Colgate? Because, I'm just trying to figure out that it is how easy it is now to create a brand on quick commerce that people want to buy something in minutes. Are they, like if they put a toothpaste, then you can put the whole list. If they type Colgate then automatically there is no option. So just wanting to get your thoughts on these three questions.

Ms. Prabha Narasimhan: Okay, so I think starting with your question on naturals. The good thing about this category, like I keep saying, is that a lot of the market is actually listed players, and you can see the relative growth of the listed players. So maybe I will leave you out to draw your own conclusion on the relative rate of growth. But I do want to reiterate that we continuously make a mistake by calling naturals a segment. There are very few consumer segments. There are some, but there are very few consumer segments who go out there and say, 'I'm going to buy a natural toothpaste.' And then I will think about what is the benefit. Consumer stuff is flip, and if you think to yourself in terms of how you shop, you will shop for a benefit followed by what is the reason to

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2024 believe in that benefit, and you will buy the benefit of whatever in your consideration set you believe delivers that benefit the best. So I want to just keep reiterating that, because sometimes we get confused between these two. And it could lead us to do very different things, which perhaps is not playing to our strengths and certainly not playing to what the consumer wants.

On the piece on the toothbrush, actually your toothbrush story and our toothpaste stories have very similar patterns. And I've said this before, that FMCG is a relatively simple business. It is about making sure that you give superior products at the right price in the place that the consumer wants to buy it. And if in the case of a toothbrush, there is no advertising, but otherwise making her aware of it becomes the fourth lever.

What we have done well, I think in toothbrushes is to get these three right, price point to price point, we have benchmarked to make sure that our toothbrush in its physicality and its delivery is better than or equal to competition. We've made sure it's at the right price for both trade and consumer, and we've expanded availability.

And we are lucky that as a company, because of the portfolio that we have, we play across the entire spectrum of price segments. So as consumer moves up trade, we have a full portfolio, in case they are feeling pressure and they move down trade, we have a full portfolio and that helps us as well. To the last question on quick commerce, I've said this before, I'll say it again. We are actually finding quick commerce is growth accretive, margin accretive, share accretive for us. It grows eight times as fast as the rest of four businesses at the moment. And the reason why it does that is quick commerce by definition is advantage to incumbents, because the assortment tends to be limited. They can't in their dark stores keep a plethora of assortment and hope that it sells. They need to sell whatever has the highest velocity and they tend to keep what has the highest velocity. And then when you are the market leader, you get an advantage there. The second thing is our understanding of what sells by geography in oral care, in terms of the benefit segments, in terms of the price points, tends to be quite good. Therefore, we are able to partner in terms of making the right assortment available in the right place. And therefore whether you search, we would love for people to search for Colgate. But the consumer answer is they search for Colgate to search for toothpaste. But either way your share of what appears above the fold or within two scrolls tends to be very, very good. Which is why the outcome of share accretive, growth accretive, margin accretive.

Ms. Sujata Nairi: Thank you, Prabha. The next question from Latika.

Ms. Latika Chopra, JPMorgan: Hi Prabha and Jacob, my first question was actually on near term. You know, I saw the chart on urban and rural, and I think I've heard you saying that rural is plateauing. Could you comment on what you are sensing? Because most of the other FMCG companies are talking about growth revival. So what are you noticing on rural? And a lot of, you know, discussion today was on, you know, premiumization, of course. And you know, what is happening with

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2024 this oral health, you know, mission in the urban areas. But I wanted to, you know, get some more colour on, what are the critical steps you're taking to drive this rural, frequency of consumption? You know, if you could elaborate a little bit on that, that's the first question. And the second is on market shares. I understand you don't want to share the aggregate market shares, but some flavour on general trade market shares, for some of your larger brands, you know, how are they trending? And I'm just saying general trade, because we all know that on-commerce and quick commerce and modern trade, you're growing well. Thank you.

Ms. Prabha Narasimhan: You want to take the question Jacob?

Mr. M.S. Jacob: The first one on the rural one, where we are seeing rural has been growing a head of urban in the last few quarters at least. And we are finding it's still growing, but you know the acceleration of growth is kind of tapering off. So, we're not seeing that trajectory further going up. Urban continues to be challenged as you saw, so that is something that's worrying near-term at least. And that's something we are keeping an eye on. So, in short, urban has been a concern, rural still growing well, but not at the increasing levels it was growing in the past.

Ms. Prabha Narasimhan: I think to your second question Latika, and they are perhaps linked because the focus on competitive growth and the fabulous thing about this category is that everybody is listed. So you're able to see, relatively speaking, how competitive performance plays out. And it's very rare that competitive performance plays out massively differently in one category versus another category. Because consumer is omnichannel shopper. Rare again is the consumer who only and only shops in one channel, at all. So if you're doing well in one channel, you tend to be doing well in the other channels as well, with degrees of difference. But you tend to be doing well, particularly for a company like ours that has a reasonable reach across all of the channels. And it's not that availability is constrained anywhere. I think we are doing reasonably well competitively across all channels as well, and overall growth anyway you guys are better at computing than I am.

Ms. Sujata Nairi: I know there are a lot of questions. So we'll take the last one from Arnab. And the rest we will try to answer later.

Mr. Arnab Mitra, Goldman Sachs: Hi, Arnab from Goldman Sachs. Actually, one question related to market share. I mean, you've done so much work on brand, advertising, innovation, and it's showing in the brand metrics distribution. Why is it not showing up in a similar pace in market share? Is there any other impediment in terms of pricing or anything else which would need to change for much stronger market share gains, which you are seeing in toothbrush, for example. But in toothpaste, it seems it's a bit more flatish, is my understanding. So any comments on what you think needs to happen more on that?

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2024 Ms. Prabha Narasimhan: Actually, if I can maybe take the question away from market share to relative market performance. I just want to reiterate, maybe what I said earlier is that if we take a look at the results that we can see of the players and we can see our results, we can see that we are growing competitively and that really remains our focus. So this year, I can tell you that we are quite happy with our relative performance, relative to competition without getting into the market share piece, because we tend not to comment on it. And then it's easy to comment when it goes up and then not when it goes down. I'd rather not comment at all on market shares.

Mr. Arnab Mitra: Sure and one last question again on the new segment on the brands that Colgate globally has. So what is the reason for the caution in bringing some of these brands in India? Is it to do with the P&L constraints that you do not want to incur a certain amount of loss, which may be required in some of these categories? Or is it something to do with the fact that India's market is not ready for some of these brands? What would be the main reasons why you're cautious?

Ms. Prabha Narasimhan: Actually, I must confess from where I sit, it doesn't seem like caution, but prudence. But, I think our priority really over the last couple of years has been that we were coming off a fairly difficult phase. Our first job was to steady and grow our core business, which I think we are now in a very good place and we've done a reasonable job. It just gives us that much more confidence and ability to do new things. So, I think you will see an accelerated pace of change as we go forward on this. But, having taken the time over the last couple of years to get to where we are is perhaps the right approach, or at least we feel it's the right approach, so that's one.

Thesecondsituation does take time to do new things because you have to get in there and find a point of difference. There's no point in coming in and doing something in a category that already exists, and doing something that is metoo in that category. To find that point of difference and to be able to, to a certain extent, disrupt that category is important. And that's really where a lot of our effort goes into as we think about this.

Ms. Sujata Nairi: Thank you Prabha. We will close the Q&A with this one. Prabha, if you have any last comments.

Ms. Prabha Narasimhan: Yes. So I want to once again, thank you all for coming and just maybe reiterate the three points that we made, which I'm sure all of you remember, which is all about us making sure that we keep our fundamental

together to deliver consistent performance and do it with a high level of governance and execution.

Thank you again for your time and thank you Sujata and thank you team.

Ms. Sujata Nairi:

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2024 Thank you Jacob, Prabha and the entire team. And thank you to all of you for coming here and taking time out. Thank you to the people who have joined us virtually. Request you to please pick up your smile hamper as you move out of the office. There's also an OHM kiosk out there where you can actually do your AI screening, the one which Prabha spoke about and request you to please do that.

Thank you once again.

Call: May 2025

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Moder ator:

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Thank

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Neethi

Nair:

Thank you, Michelle. Good morning , everyone. And welcome to the Colg ate-Palmoliv e analy sts

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Prabha

Narasimhan:

Good morning , and thank you everyone for joining us this Thur sday morning. Wha t we are going

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in

the

country,

83%

of

the

people

return

Colgate

as

an

answer.

This financial year has also been a year where we have stepped up the amount of launches that

we

have

done.

And  
most  
of  
these  
launches  
sit  
in  
the  
premium  
category  
or  
in  
personal  
care,  
two  
very  
critical  
pillars  
of  
our  
strategic  
growth  
impetus.

Starting with Whitening , we launched Purple which has been a runaway success. It is actually

our  
most  
successful  
innovation  
in  
the  
last  
decade.  
We

have  
also  
premiumiz ed  
freshness,  
adding  
a  
second  
tier  
to  
a  
bene fit  
that  
is  
hugely  
sough t  
after  
in  
the  
category,  
with  
both  
the  
Max  
Fresh  
Sensorials  
range  
as  
well  
as  
the  
revamped  
Lemon  
Fresh.

Colgate

Total

brand

has

got

an

uplift

and

a

full

relaunch

and

recently

a

new

variant,

which

we

will

talk

about

shortly .

And

the

toothbrush

portfolio

continues

to

drive

into

the

premium

and



super

premium

categories.

And

we

are

seeing

movemen t

both

in

the

average

price

paid

per

handle

as

well

as

in

the

replacemen t

rate

of

toothbrushes.

And

our

Palmoliv e

brand

in

personal

care

continues

to

innovate

in

body

washes.

But the big news last year and the big change that we made doubling down on our mission to

improve

the

oral

health

of

everybody

in

this

country

was

really

the

oral

health

movement.

Launched

in

November

of

last

year,

this

went

out

across

the

whole  
country.  
And  
in  
terms  
of  
results,  
which  
we  
will  
start  
with  
and  
then  
look  
at  
the  
input  
that  
went  
into  
those  
results,  
has  
led  
to  
4.5  
million  
consumer s  
screening  
their  
dental  
health,

either

through

the

AI-po wered

app

or

through

an

oral

care

ques tionnair e.

With

this

4.5

million

data

poin ts,

we

actually

have

the

largest

reposit ory

of

oral

care

under standing

in

this

country.

Let's take a quick look at wha t all happened through the oral health movemen t. Colgat e Oral Health

Movemen t

video.

We are indeed just getting started. And what's important is what have we learnt so far? I think

the

first

thing

that

we

have

learnt

is

that

India

has

an

oral

care

score

of

2.5

out

of

5.

I

am

sure

a

lot

of

you

on

the

call

are

parents

and

if

your

child

returned

a

score

of

50%

in

their

exams

you

would

be

concerned

as

we

are

with

this

oral

health

score.

And

why

is

this

score

at

2.5

and

what  
is  
the  
dispersion  
of  
this  
score?

24% of India's population actually has a score of 1 out of 5 which suggests that they have fairly

severe  
oral  
health  
issues.

A  
full  
third  
or  
almost  
30%  
of  
the  
population  
actually  
has  
the  
warning  
signs  
of  
oral  
health  
issues.  
And  
then

it  
gets  
progressiv ely  
better  
from  
there.  
In  
terms  
of  
wha t  
are  
the  
issues  
-  
46%  
have  
gum  
issues,  
42%  
have  
the  
existence  
or  
the  
risk  
of  
cavities  
and  
17%  
have  
the  
risk  
or



have

stains.

But what does it take on the flip end to actually have a good oral health score? And as we

have

been

suggesting

and

as

dentists

have

been

telling

us

for

many,

many

years,

there

are

a

couple

of

key

habits

that

truly

help

you

to

have

a

good

oral

health

score

and

man y

of

you

would

now

have

read

the

link

betwee

n

oral

health

and

systemic

health

making

this

much

larger

than

just

having

nice

teeth

and

a

nice

smile.

The two big indic ators that we are finding is:



First,  
the  
propensity  
to  
brush  
twice  
a  
day.



The  
second  
is  
to  
avoid  
all  
tobacco  
and  
tobacco-related  
products.

Page  
3  
of  
17  
Colgate-Palmolive  
(India)  
Limited  
May  
22,  
2025

The combination of these two coupled with the idea of replacing your toothbrush every  
three  
months  
which  
we

did  
not  
put  
into  
the  
scorecard,  
but  
we  
know  
also  
help s  
for  
better  
cleaning  
is  
really  
the  
answer  
to  
getting  
people  
to  
5  
on  
5.  
And  
our  
commitmen t,  
as  
it  
has  
always  
been,

is  
to  
continue  
to  
drive  
this  
score  
upwards.

Moving now from what's happening to the oral health movement to what's happening to category

growth  
and  
coming  
closer  
to  
the  
business.

What  
we  
are  
seeing  
is  
a  
significant  
softening  
of  
category  
growth  
in  
urban  
India.  
And  
even

within

urban

India,

there

is

a

two

part

story

where

premiumization

continues

and

continues

at

great

speed,

whereas

the

rest

of

the

category

has

seen

a

significant

slowdown.

Rural

continues

to

be

resilient

and  
we  
are  
seeing  
that  
our  
rural  
growth  
continues  
now  
for  
the  
3rd  
Quarter  
in  
a  
row  
to  
outpace  
urban  
growth.

Coming to the Q4 Results, Rs. 1,452 crores represents a minus 1.9% growth over year-on-year.

Margins  
continue  
to  
be  
resilient,  
not  
because  
of  
price  
increase,  
but

actually  
because  
of  
extensiv e  
and  
very  
sharp  
cost  
manag emen t.  
And  
this  
gross  
margin  
increase  
comes  
on  
the  
back  
of  
signific ant  
investmen t  
that  
we  
have  
made  
into  
formula tion  
and  
product  
quality ,  
which  
we  
will



talk

about

in

just

a

second.

Advertising

continues

to

be

about

7%

higher

than

last

year,

actually

reinforcing

our

faith

in

the

strength

of

this

brand

and

the

need

for

this

brand

to

actually

drive

growth

and

communicate

the

message

of

science-backed

superiority.

Moving to our Strategy, this is a slide that I am sure is familiar to all of you, but I am going to spend

30

seconds

to

just

go

over

it

once

again.

We

have

a

four-pronged

strategy.

The

first

one

is

our

largest

pillar,

which

is

really

our

job

to

lead

toothpaste

category

growth

and

drive

volume

and

actions

like

brushing

at

night

and

the

oral

health

movement

all

sit

under

this

pillar .

We

then

have

three

exceptionally

strong

core

brands,

which

are

Colgate

Strong

Teeth,

Max

Fresh,

and

Colgate

Active

Salt,

and

driving

their

growth

is

the

first

pillar .

The

second

one

is

premiumization

through

science-based

superior

innovation.

The

third  
one,  
to  
continue  
for  
us  
to  
win  
in  
toothbrushes  
and  
devices.  
And  
of  
course,  
we  
have  
a  
relatively  
small  
personal  
care  
business,  
which  
represents  
a  
tremendous  
opportunity  
to  
grow  
with  
the  
Palmolive

brand.

Starting with the first one, what we have done in the 1st Quarter of the calendar year, Q4 of the

financial

year,

is

to

relaunch

Colgate

Strong

Teeth.

This

is

our

flagship

brand.

It

has

a

technology

that

is

best-in-class,

which

includes

arginine

that

works

along

with

the

formula tion

to

impr ove

and  
strengthen  
your  
teeth.  
We  
have  
relaunched  
this  
now  
with  
a  
product  
that  
is  
superior  
to  
competition  
and  
superior  
to  
ourselves.  
And  
really  
the  
advertising  
then  
talking  
about  
the  
fact  
that  
it  
also

has  
a  
fresher  
and  
more  
refreshing  
taste  
that  
is  
preferred  
by  
consumers.

And this brand obviously has a very significant rural footprint, and as such, for us to drive rural

reach  
and  
reach  
the  
consumers  
who  
are  
not  
reachable  
e  
through  
television  
becomes  
really  
important.

And  
we  
have  
doubled  
down



on  
the  
actions  
to  
get  
to  
2x  
the  
number  
of  
villag es  
that  
we  
got  
to  
last  
year.

From the early results that we have, we relaunched this in Februar y, sending it into mark et,  
and

we  
have  
done  
some  
early  
testing  
in  
the  
mon ths  
of  
April  
and  
May  
from

consumer s

who

have

bough t

the

product

versus

the

ones

who

were

buying

the

earlier

CST.

And

we

are

very,

very

heart ened

to

see

that

at

a

signific ant

level

on

whe ther

it's

overall

or

its

taste

or

its

Page

4

of

17

Colgate-Palmolive

(India)

Limited

May

22,

2025

freshness, which are the key measures of in-mouth impact of the product, we are seeing significant

superiority ,

both

in

urban

as

well

as

in

rural.

Colgate

Strong

Teeth

Film.

I move from Colgate Strong Teeth to our second biggest franchise, which is the Colgate Max Fresh

franchise.

You

will

recall  
that  
in  
the  
past  
we  
have  
talked  
about  
how  
this  
is  
the  
franchise  
that  
has  
been  
driving  
growth  
over  
the  
last  
couple  
of  
years.  
It  
is  
our  
fastest  
growing  
brand,  
and  
continues

to  
be  
a  
sour ce  
of  
tremendous  
focus  
for  
us.  
Again,  
on  
the  
vectors  
of  
creating  
and  
driving  
a  
superior  
mix.  
And  
its  
compe titive  
growth  
continues  
in  
Q4  
of  
this  
year  
as  
well.  
Wha t

we

have

also

realiz ed

is

that

we

have

a

jewel,

an

under

leveraged

perhap s

jewel

in

the

crown,

which

is

Max

Fresh

Blue.

Blue

instinctiv ely

very,

very

close

to

the

freshness

category.

And

in  
internal  
testing,  
we  
find  
that  
our  
red  
is  
superior  
to  
competition  
red  
gels,  
and  
the  
blue  
is  
superior  
to  
red.  
And  
therefore,  
a  
significant  
opportunity  
for  
us  
to  
drive  
blue,  
which  
is

exactly

wha t

we

have

done.

Colgat e

Maxfresh

Film.

Starting from the South, we are seeing a lot of growth that is coming to us incremen tally on the

back

of

Max

Fresh

Blue.

And

if

we

take

a

look

at

wha t

happens

to

the

sub-br and

equities,

we

can

see,

as

with



master  
brand,  
and  
of  
course,  
the  
master  
brand  
is  
an  
agglomer ation  
of  
the  
sub-br ands,  
we  
can  
see  
that  
consider ation  
for  
all  
our  
core  
sub-br ands  
continues  
to  
be  
on  
the  
increase.

Moving now to our second pillar , which is driving science-led premiumiz ation. This, as  
always,

is  
driven

by  
us  
premiumizing  
across  
all  
bene fit  
segmen ts.  
I  
will  
start  
with  
wha t's  
the  
newest  
buzz  
in  
town,  
which  
is  
Max  
Fresh  
Sensorials.  
For  
the  
first  
time,  
we  
have  
taken  
a  
premium  
position  
on

the  
freshness  
platform.  
These  
are  
two  
new  
variants,  
Watermelon  
and  
Rainbow,  
they  
are  
interesting,  
they  
are  
different,  
they  
are  
very  
Gen  
Z.  
And  
it's  
not  
something  
that  
you  
have  
seen  
in  
the  
toothpaste

category.

Currently

launched

in

e-commerce,

we

are

seeing

great

results.

And

these

two

brands

come

at

a

40%

premium

versus

the

Max

Fresh

base,

which

itself

is

at

a

premium

to

the

overall

freshness

category.

So

a

tremendous

opportunity

for

us

to

continue

to

drive

people

up

the

price

ladder .

I move from Max Fresh to a more familiar slide on premiumization, which is Colgate Total.  
This

is

our

flagship

product

to

drive

premiumization.

It

is

the

family

health

product

that

we

expect

most

consumers

to

move

to

because

it

is

simply

superior.

We

are

seeing

tremendous

growth

in

Colgate

Total.

It

grows

at

about

over

4x

market

growth.

And

we

are

committed

to

driving

both

access

and

availability .

In

Q4

of

the

calendar

year

last

year,

so

in

November

last

year,

we

had

corrected

the

pricing

of

Colgate

Total

relative

to

the

base

of

the

market,

reducing

its

price

to

make

it

much

more

accessible

and

much

more

affordable.

And

that

action

is

giving

us

tremendous

results

as

we

see

volume

growth

far

ahead

of

this

4x

category

value



growth

that

we

are

driving.

We

also

have

a

large

consis tent

direct-to-home

or

direct

contact

program

that's

leading

to

signific ant

conversions

and

a

signific ant

increase

in

overall

household

pene tration

in

this

brand.

And the big news that came again in Q4 of last year which I briefly referenced is Colgate Visible

White

Purple.

We

have

talked

about

the

Whitening

segment

in

India.

We

have

talked

about

the

fact

that

the

whitening

segment

in

India

has

very

low

penetration,

sub-2%

penetration,

a

rapidly

growing

segment.

In

other

countries

of

the

world

the

contribution

of

whitening

to

the

category

tends

to

be

in

excess

of

20%,

so

we

have

a

huge

headroom

opportunity

for

this

brand

to

grow.

We  
had  
an  
exceptionally  
strong  
Visible  
Whit e  
portf olio  
that  
was  
growing  
in  
strong  
double-digits.

To  
that  
portf olio,  
we  
have  
added  
Visible  
Whit e

Page  
5  
of  
17  
Colgate-Palmolive  
(India)  
Limited  
May  
22,  
2025

Purple. Simple, simple premise of color theor y that says a purple toothpas te when used

cancels  
the  
yellow,  
giving  
you  
teeth  
that  
appear  
whit er  
and  
brigh ter.  
Again,  
we  
have  
seen  
tremendous  
traction  
on  
this  
from  
both  
modern  
trade  
and  
e-commer ce.  
It's  
adding  
almos t  
about  
25%,  
30%  
delta  
to

our

existing

Visible

Whit e

business.

Continues

to

have

very,

very

strong

digit al

investmen t

through

to

this

time.

And

this

year,

our

intention

is

to

take

it

much

larger,

much

wider

and

put

purple

actually

on

TV.

Colgate

Visible

White

Purple

Film.

So that's Visible White Purple. We are very excited by both Visible White Purple as well as Max

Fresh

Sensorials

because

I

am

sure,

as

you

can

see,

they

are

fundamentally

different

from

what

you

know

and

understand

of

the

toothpaste

category.

And  
the  
feedback  
that  
we  
are  
getting,  
particularly  
from  
Gen  
Z  
consumer s,  
is  
that  
they  
are  
excited  
by  
this,  
this  
is  
fun,  
and  
this  
mak es  
oral  
care  
more  
interesting,  
which  
is  
great.

And at the other end of the spectrum, of course, you have seen the 2.5 out of 5 oral care



score

in

the

country.

Oral

health

in

this

country

is

not

great.

And

therefore,

making

sure

that

we

build

a

strong

problem-solution

therapeutic

credentials

portfolio

is

critical

to

us.

Our

focus

is

on

driving  
the  
entire  
gums  
portf olio.  
It  
continues  
to,  
on  
a  
very  
small  
base,  
do  
exceptionally  
well.  
And  
for  
the  
87  
years  
that  
we  
have  
been  
in  
this  
country,  
we  
have  
had  
the  
privileg e

of  
partnering  
with  
the  
dentist  
fraternity .

We continue to do that. They have been unstinting in their support and the time that they give

us,  
including  
over  
50,000  
of  
them  
offering  
their  
time  
free  
as  
part  
of  
the  
oral  
health  
movement  
to  
drive  
dental  
check ups.

And  
we  
leverage  
this

partner ship

and

relationship

that

we

have

to

ensur e

that

we

are

giving

the

right

range

of

these

therapeutic

and

problem

solution

products,

driving

them

through

our

professional

oral

health

channel.

And

of

course,

all  
of  
this  
eventually  
needs  
to  
come  
together  
in  
terms  
of  
wha t  
the  
shopper  
sees  
in  
the  
mark et.  
This  
is  
not  
an  
AI  
gener ated  
imag e,  
this  
is  
a  
real  
store  
in  
India.  
It

is  
the  
Lulu  
store  
in  
Kollam.  
And  
this  
is  
really  
the  
future  
of  
oral  
care.  
Strong  
shelves  
which  
have  
an  
entire  
range  
beautifully  
presented.  
And  
of  
course,  
aided  
by  
our  
outstanding  
promoters  
who

can  
help  
you  
to  
choose  
exactly  
wha t  
you  
need  
to  
drive  
up  
your  
oral  
health  
score.

I move now from toothpas te into the toothbrush, which is the third pillar of the category.  
You

will  
recall  
that  
when  
we  
have  
presen ted  
these  
slides  
before,  
we  
have  
said  
that  
on  
average,

people

buy

1.2

handles

per

year.

That

number

has

now

moved

to

1.3

handles

per

year.

And

you

will

recall

that

the

number

of

the

category

below

Rs.

40

was

78%.

That

has



now

moved

to

76%.

And

while

these

number s

in

and

of

themselv es

migh t

seem

small,

you

have

to

remember

that

we

are

averaging

these

over

a

very,

very

large

base.

So

wha t

we

are

definitely

seeing

is

the

increase

in

volume

growth

of

the

toothbrush

category,

our

increase

in

our

growth

in

the

toothbrush

category

as

well.

And

a

significant

and

rapid

premiumization

is

happening

as

people  
realiz e  
that  
the  
toothbrush  
is  
not  
just  
some thing  
that  
you  
use  
to  
put  
the  
toothpas te  
on  
but  
is  
actually  
critic al  
to  
your  
overall  
oral  
health.

Wha t we have done here is to do some tremendous work in modern trade, ensuring that we have

the  
full  
range  
visibly  
available

with  
the  
guidance  
of  
good,  
better,  
best  
so  
that  
the  
navigation  
of  
the  
category  
that  
other wise  
was  
a  
little  
bit  
difficult  
has  
become  
much  
easier .  
We  
have  
done  
a  
series  
of  
new  
launches

and  
relaunches.

You  
can  
see  
a  
couple  
of  
them  
on  
the  
screen.

And  
we  
are  
realizing  
that  
consumer s  
are  
now  
under standing  
the  
bene fit  
of  
a  
regime.

So  
a  
visible  
whit e  
toothpas te  
with  
a

visible

white

toothbrush.

And

therefore,

driving

on

that

learning ,

we

are

now

launching

or

have

just

launched

the

Colgate

Total

Toothbrush,

which

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will obviously sit as the regime with Colgate Total Toothpaste. Over the last year, we have now

taken  
leader ship  
in  
the  
super  
premium  
segmen t  
wher e  
we  
were  
not  
the  
leader s  
and  
driven  
that  
category  
to  
strong  
double-digit  
growth.  
The  
headr oom  
opportunity  
here  
continues  
to  
be  
really ,  
really  
large.

And I come to the last pillar , which is personal care, driven by our brand, Palmoliv e. You will recall

that  
we  
had  
said  
that  
Palmolive  
would  
focus  
on  
the  
body  
and  
hand-cleansing  
categories.  
That's  
our  
right-to-win  
category,  
and  
that's  
where  
we  
continue  
to  
play.  
We  
have,  
over  
the  
last  
year,  
launched  
a



range  
of  
new  
products  
that  
have  
done  
exceptionally  
well  
and  
added  
incremental,  
particularly  
in  
e-commerce.  
And  
we  
have  
now  
new  
channels  
which  
are  
targeting  
the  
high-in tent  
audiences,  
and  
we  
are  
finding  
that  
our

conversion

impr oves

quite

drama tically.

You have seen this slide before. Work continues apace on us getting into categories outside of

the

ones

that

we

sit

in

currently,

as

has

been

poin ted

out

man y

times

and

is

being

reiterated

here.

Our

global

compan y

has

an

enormous

portf olio

from

which

we  
can  
choose,  
and  
a  
lot  
of  
expertise  
there  
as  
well.  
We  
are  
looking  
at  
this  
portfolio  
very  
actively  
to  
see  
what  
we  
will  
bring  
into  
India,  
and  
if  
it's  
more  
a  
question

of

when.

I then hand it over now to Jacob to talk us through the financial performance.  
M.S.

Jacob:

Thank you, Prabha. And good morning , everybody .  
In terms of our financial strategy, it remains unchang ed, deliv ering sustainable, profitable growth.

The

key

objectiv e

is

driving

revenue,

sales,

and

volumes,

and

finding

the

right

level

of

investmen t

to

support

the

growth

through

leveraging

our

margin

profile

and

optimizing

our

overheads.

You saw the results, Rs. 1,452 crores top-line, 1.9% decline versus last quarter, and full year close

to

Rs.

6,000

crores,

6.3%.

Margins

continue

to

be

a

good

story,

both

at

the

quarter

level

and

the

full

year

level,

it's

up.

Advertising

at

healthy

levels,

13.7%

for

the

full

year.

And

profit

after

tax,

while

down

for

the

quarter,

full

year

is

up

a

healthy

8.5%.

In terms of margins, they continue to be very strong. Full year, we finished at 69.7%, 20 bps higher

than

the

prior

year,

and

on

a

quarter

basis,

70.4%.

And  
wha t  
was  
different  
this  
year  
was  
that  
mos t  
of  
this  
margin,  
almos t  
all  
of  
it  
was  
driven  
by  
efficiencies  
we  
found  
in  
our  
cost  
structur e,  
no  
pricing  
driven  
margin  
here.  
Part  
of

it  
was  
wha t  
we  
call  
a  
funding  
the  
growth  
program,  
which  
is  
about  
finding  
efficiencies  
in  
every  
cost  
line  
in  
the  
P&L,  
along  
with  
the  
cost  
inflation,  
which  
was  
modes t.

Wha t we have also done is, we have reinvested a big chunk of it back into deliv ering superior products.

Over



the  
last  
little  
while,  
we  
have  
upgr aded  
virtually  
our  
entire  
portf olio.  
And  
you  
hear d  
about  
Strong  
Teeth  
just  
now  
and  
you  
have  
hear d  
about  
Max  
Fresh  
in  
the  
past,  
and  
we  
continue  
to

enhance

the

efficacy

of

our

products.

What we have also done is increased our trade and consumer spends to be more competitive

with

what's

happening

in

the

market.

And

all

this

has

been

funded

through

our

cost

savings.

So,

while

we

have

done

is

this,

we

have

also

deliv ered  
the  
impr ovemen t  
in  
the  
margins.

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In terms of investmen t behind brands, advertising continues to be at very health y levels. We have

taken

it

up

to

Rs.

822

crores

as

a

13.8%

increase

and

wha t

are

we

spending

behind?

A

good

chunk

goes

into

driving

consump tion.

As

the

category

leader ,

we

take

responsibility

for

this

piece.

You

hear d

about

the

oral

health

movemen t,

driving

awareness

on

oral

health,

and

this

followed

the

brushing

twice

a

day,

brushing

at

nigh t

campaign

that

you

have

seen

in

the

past

and

that

continues.

This

process

of

driving

consump tion

through

driving

higher

investmen t

continues.

At the same time, we are acceler ating core, the relaunch of Strong Teeth continues to get the

right

level

of

investmen t.

On

the

right,

premiumiz ation

is

one

of

our

key

pillar s

and

we

continue

to

invest

dispr oportiona tely

behind

that.

And

personal

care

continues

to

grow

as

we

build

our

second

leg

to  
our  
business.

EBITDA margin, best-in-class in the industry, full year at 32.6% and the latest quarter at 34.3%.

While  
the  
P&L  
continues  
to  
be  
quite  
healthy,  
we  
are  
definitely  
focusing  
on  
the  
balance  
sheet  
as  
well.

So,  
we  
continue  
to  
convert  
all  
our  
profits  
into  
cash.

So,  
our  
cash  
from  
oper ations  
has  
gone  
up  
from  
Rs.  
1,085  
crores  
in  
Financial  
Year  
2022  
to  
close  
to  
Rs.  
1,400  
crores,  
and  
return  
on  
capital  
emplo yed  
is  
now  
at  
the  
121%  
levels.



In terms of enhancing shareholder value, EPS continues to go up. So we were at Rs. 40 per share

Financial

Year

'22,

we

are

at

Rs.

53

right

now.

And

we

are

kind

of

giving

it

back

in

the

form

of

dividends.

So

after

the

Rs.

58

per

share

dividend

last  
year,  
which  
included  
the  
Rs.  
10  
per  
share  
special  
dividend,  
this  
year  
we  
have  
gone  
to  
Rs.  
41.  
So  
effectively,  
we  
have  
gone  
from  
Rs.  
48  
to  
Rs.  
51  
this  
year.

In terms of ESG, in terms of plastic recyclability , our internal goal is to be at 100%. So FY '25

we  
finished  
at  
80%,  
but  
we  
are  
pleased  
to  
report  
that  
as  
of  
this  
mon th  
we  
are  
100%  
on  
recyclable  
tubes  
on  
a  
full  
portf olio  
of  
toothpas te.

Product pack aging , our goal is to be 100% reusable, recyclable, compos table pack aging by the

end  
of  
2025.

We  
are

at  
91%  
levels  
currently  
and  
we  
continue  
to  
work  
towards  
our  
goal.

Waste management, our goal is to maintain true certification for zero waste for all Colgate plants.

We  
have  
done  
that.  
On  
top  
of  
it,  
as  
part  
of  
our  
CSR  
program,  
we  
have  
disposed  
of  
134

tonnes

of

dry

waste

in

different

communities

around

the

country.

Water stewardship, our goal is to achieve net zero water at our water stress sites. So 75% of the

Colgate

plants,

that's

three

out

of

four

are

water-positive.

At

an

aggregate

level,

at

all

the

four

plants

we

exceed

100%.

And  
on  
top  
of  
this,  
as  
part  
of  
our  
CSR  
commitmen t,  
we  
have  
replenished  
430  
million  
liters  
of  
water.

And the “Brigh t Smiles, Brigh t Future”, as part of that, we targeted 10 million childr en  
additionally

between  
2020  
and  
2025.

We  
have  
already  
exceeded  
that  
number .

And  
on

top  
of  
it,  
we  
have  
now  
got  
tie-up s  
with  
the  
governmen ts  
of  
UP,  
Goa,  
AP  
and  
Assam  
to  
further  
push  
this  
program  
in  
schools  
and  
drive  
oral  
health  
awareness.

With that, I hand it over back to Prabh

a.  
Prabha

Narasimhan:

Thank you, Jacob. So in summar y, I think the messag es we would like to leave you with are -

Firstly,  
we  
believe  
that  
the  
strategy  
that  
we  
have,  
which  
is  
to  
drive  
category  
consumption,  
grow  
our  
core,  
build  
through  
science-backed  
premiumization,  
drive  
growth  
in  
the

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toothbrush category and build the Palmolive brand by way of diversification is the right strategy.

It's

working

for

us

and

we

will

continue

to

execute

against

this

strategy.

Execution

has

always

been

our

strength

and

we

will

continue

to

double

down

to

make

sure

that  
the  
in-market  
execution  
continues  
to  
be  
absolutely  
best-in-class.

Our brand equity remains strong. This is the critical part of our portfolio to ensure that the exceptionally

strong  
brand  
that  
all  
of  
us  
have  
had  
the  
privilege  
to  
inherit  
only  
goes  
from  
strength-to-strength.

We  
will  
continue  
to  
make  
it

strong  
on  
the  
pillar  
of  
making  
sure  
that  
we  
have  
adequate  
science  
behind  
our  
portfolio  
to  
make  
sure  
that  
our  
products  
truly  
deliver  
against  
the  
promise  
that  
we  
make,  
to  
ensure  
that  
we

have

innovation

that

keeps

up

with

what

consumers

are

looking

for

from

the

oral

care

category

and

often

leading

consumers

in

the

direction

that

we

think

that

they

need

to

travel.

And

making

sure

that

we

will

keep

investmen t

behind

this

brand

really

strong

so

that

we

continue

to

build

on

both

the

imag ery

measur es

as

well

as

our

top-of -mind

awareness

and

consider ation.

From a demand perspectiv e, like we have said, over the last couple of quart ers we have seen soft

demand

in  
urban  
India,  
particularly  
the  
bottom  
half  
or  
the  
bottom  
70%  
of  
urban  
India,  
while  
premiumization  
continues  
to  
be  
very  
robust  
and  
very  
strong.  
We  
do  
see  
this  
continuing  
in  
the  
near-term  
future

and

recovering

towards

the

back

half

of

this

financial

year.

And

that's

our

projection

as

we

look

to

market

and

macro-dynamics

as

we

see

it

in

oral

health.

The one big change that we have driven over last year or the big step up that we have driven over

last

year

is

to  
use  
new  
innovation  
as  
opposed  
to  
renovation  
only  
to  
drive  
growth.  
We  
have  
seen  
tremendous  
success  
with  
this.  
Like  
I  
already  
told  
you,  
Visible  
White  
is  
all  
purple,  
and  
is  
already  
about



25%  
of  
the  
overall  
Visible  
White  
franchise.  
We  
have  
seen  
a  
tremendous  
response  
to  
Max  
Fresh  
Sensorials,  
which  
currently  
is  
only  
available  
in  
e-commerce  
but  
will  
now  
travel  
across  
different  
channels.  
And  
we

have  
a  
slew  
of  
innovation  
that  
has  
already  
gone  
into  
market  
in  
the  
1st  
Quarter  
and  
first  
four  
months  
of  
this  
year.

And I want to leave you with what's been done on innovation, starting with plaque release.  
Plaque

Release  
is  
the  
gold  
standard  
variant  
of  
Colgate  
Total.

It  
is  
superior  
even  
to  
Colgate  
Total  
in  
terms  
of  
its  
delivery  
on  
reducing  
dental  
plaque,  
which  
is  
actually  
the  
original  
source  
of  
most  
of  
your  
dental  
problems.  
We  
have  
also  
diversified  
into

things

like

whitening

pens,

which

give

a

heightened

and

immediate

whitening.

This

is

done,

again,

in

partnership

with

dentists

and

the

professionals.

We see tremendous opportunity in kids. We already have two ranges of kids' products. At the

base,

we

have

Batman

and

Barbie.

We

also

have

a  
0%  
range.  
And  
now  
we  
have  
this  
inno vative  
new  
forma t,  
which  
is  
the  
kids  
squee zy  
in  
a  
couple  
of  
flavors.  
We  
see  
an  
opportunity  
for  
on-the-g o  
freshness,  
which  
Max  
Fresh  
is  
now

tapping

through

t

he

stick

forma t

mouth wash

tubes,

mouth wash

sache ts,

which

have

just

gone

into

the

mark et.

And

we

think

that

there

is

much

more

to

come,

or

at

least

we

can

see

much

more

to

come.

And that's the last that I wanted to leave you with. I am going to now hand it over to all of you

for

any

ques tions

that

you

may

have.

Thank

you

and

over

to

you.

Moder ator: Thank you very much, ma'am. Ladies and gentlemen, we will now begin the ques tion-and-ans wer

session.

We

will

take

the

first

video

ques tion

from

Abneesh.

Kindly

accep t

the

prompt  
on  
your  
screen,  
introduce  
yourself,  
unmute  
your  
audio/video ,  
and  
proceed  
with  
your  
question.

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Abneesh  
Roy:

Thank you. Good morning. My two questions. First question is on the sensitive segment. So we  
have  
seen  
another  
company,  
another



brand  
being  
the  
leader  
for  
man y  
years,  
and  
you  
said  
that  
you  
have  
become  
the  
mark et  
leader  
here.  
So  
if  
you  
could  
tell  
us,  
was  
there  
some  
promotion-led  
intensity  
which  
has  
helped?  
So

is

this

sustainable?

Second, the other leader was very strong in the chemistry channel, and they had a very strong relationship

with

the

doctors

and

the

decision

makers.

So

because

you

are

ramped

up

on

the

oral

campaign

in

terms

of

dentists,

has

that

helped?

And

last

sub-question

to

this

first  
ques tion  
is,  
because  
you  
have  
launched  
so  
man y  
products  
and  
the  
compe titor  
in  
sensitiv e  
does  
not  
have  
so  
man y  
products  
is  
that  
helping  
you  
in  
some  
way  
that  
you  
are  
able  
to

capture

the

overall

mindshare

in

terms

of

being

a

more

effective

toothpaste?

That

is

the

first

question.

Prabha

Narasimhan:

Do

you

want

to

tell

me

your

second

question

as

well,

Abneesh,

or

do

you

want

to

--?

Abneesh

Roy:

Yes,

second

ques tion,

I

think

everyone

will

be

having

that

at

the

top

of

the

mind.

Compe titive

intensity

in

toothpas te

is

very

high,

you

have

taken

the

MRP  
price  
hikes,  
but  
still  
at  
the  
net  
pricing  
that  
is  
almost  
going  
away.  
And  
we  
have  
seen  
other  
company's  
also  
comment  
in  
Q4  
call  
that  
promotional  
intensity  
is  
very  
high.  
With  
promotional

intensity  
being  
so  
high,  
the  
only  
winner  
is  
the  
customer ,  
while  
all  
our  
companies  
are  
losing  
out  
in  
terms  
of  
volumes,  
pricing ,  
and  
even  
margins.  
Who  
will  
blink  
first  
and  
when  
does  
it

happen?

You

being

the

mark et

leader

have

had

that

kind

of

a

burden

on

the

shoulder s,

so

when

do

you

see

the

promotional

intensity

coming

back

to

normal

levels?

Prabha

Narasimhan:

Okay.

Maybe



I  
will

take

the

first

one

and

I  
will

let

Jacob

handle

the

second

one.

So

on

the

first

one,

I  
think  
my

comment

was

really

in

the

space

of,

given

that

the

oral  
health  
of  
this  
country  
is  
a  
little  
bit  
challeng ed,  
there  
is  
opportunity  
for  
us  
to  
build  
a  
therapeutic  
segmen t,  
actually .  
So  
it  
was  
more  
than  
sensitivity ,  
it  
was  
more  
about  
all  
the

various  
oral  
care  
problems  
that  
people  
could  
have  
and  
the  
solutions  
that  
are  
being  
built  
for  
them.  
Our  
focus  
in  
this  
area  
is  
actually  
to  
drive  
gum  
health.  
And  
it  
goes  
back  
to

the  
fact  
that  
of  
the  
people  
who  
have  
oral  
health  
issues,  
46%  
of  
them  
are  
actually  
led  
by  
gum  
health  
issues.  
And  
our  
effort  
here  
will  
be  
to  
have  
a  
full  
portf olio  
that

is  
across  
toothpaste,  
mouth wash,  
toothbrush,  
and  
any  
other  
adjuncts  
that  
may  
be  
relevant  
at  
a  
slightly  
future  
point  
in  
time  
that  
will  
allow  
us  
to  
have  
a  
full  
portfolio  
to  
address  
this  
concern.

From a partnership with the profession perspective, we have been in this country for 87 years.

They

have

been

staunchly

our

partners

for

87

years.

I

sincerely

hope

that

it

will

continue

for

the

next

87

years.

I

think

initiatives

like

the

oral

health

movement

only

go

further  
in  
cemen ting  
that  
partner ship.  
We  
are  
exceptionally  
grateful

to  
them  
for  
giving  
their  
time  
so  
unstintingly  
across  
50,000-plus  
dentists  
to  
do  
these  
oral  
health  
check ups.

We also have a very strong partner ship with the IDA, that has been a longs tanding  
partner ship.

And  
they  
continue  
to  
partner

with

us

as

far

as

this

whole

oral

health

movemen t

and

our

compan y

is

concerned.

And

we

have

a

very

strong

professional

oral

health

team

that

actually

goes

out

into

the

mark et

every



day  
to  
ensur e  
that  
we  
once  
again  
keep  
building  
on  
this  
relationship.  
So  
my  
confidence  
in  
our  
ability  
to  
main tain,  
sustain,  
and  
build  
this  
partner ship  
actually  
is  
exceptionally  
high  
regardless  
of  
wha t  
other

brands  
and  
other  
companies  
are  
doing  
in  
the  
market.

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Abneesh  
Roy:

Yes, a very quick follow-up on what Prabha said. So in terms of the oral health campaign, this is

something  
which  
Colgate  
has  
been  
doing  
for  
many  
years,  
this

time

we

saw

a

much

more

aggressiv e

avatar

of

that.

Given

the

number s

are

muted,

how

do

we

measur e

that

it

has

worked?

Because

you

have

done

this

earlier

man y

years,

but

this

time

the

Dentist

Connect

and

QR

code,

all

those

were

there.

As

an

analy st,

how

do

we

judg e

it

has

worked?

Prabha

Narasimhan:

So, I think you need to take a look at wha t is the intent of the compan y, because we could be here

for

the

immedia te

short -term

gain

of

some

of

these  
actions  
and  
perhaps  
we  
would  
drive  
them  
differently.  
I  
think  
the  
difference  
for  
us  
is  
that  
when  
we  
say  
our  
mission  
is  
to  
improve  
the  
oral  
health  
of  
the  
country,  
we  
genuinely

mean

it.

And

that

is

for

us

a

much

long er-term,

much

more

consis tent,

and

much

more

commit ted

effort

than

the

in-be tween

a

quart er

here

or

there

kind

of

activity .

So

the

way

I

judg e  
success  
of  
this  
activity ,  
and  
I  
then  
leave  
it  
to  
you  
how  
you  
judg e  
the  
success  
of  
the  
activity ,  
is  
for  
us  
to  
see  
wha t's  
the  
level  
of  
traction  
that  
we  
are

getting  
from  
consumer s  
in  
terms  
of  
are  
they  
interested  
in  
knowing  
about  
their  
oral  
health?  
Wha t  
are  
the  
follow-up  
ques tions  
that  
we  
are  
getting?  
Wha t's  
the  
engagemen t  
that  
we  
are  
getting?  
And  
we



have  
been  
actually  
very  
positiv ely  
surprised  
by  
the  
interest.

I  
mean,  
4.5  
million  
is  
the  
number .

Behind  
that  
4.5  
million  
is  
an  
awful  
lot  
of  
interest  
that  
sits  
under  
it.

And then the second judg e is, for me, are they willing to take action to help themselv es to  
get  
to

better

oral

health?

And

again,

we

are

seeing

green

shoots

there.

Do

I

expect

that

the

oral

health

movemen t

will

move

quart erly

number s

in

the

short

run?

The

answer

is

no.

But

equally ,

is  
it  
the  
right  
thing  
for  
us  
to  
do  
to  
deliv er  
our  
mission?  
100%  
yes.  
Abneesh

Roy:

Thank s. We can move to the second ques tion in terms of promotional intensity .  
M.S. Jacob:  
Yes. So we did increase our promotional spending during the last FY. We do have specific  
objectiv es

when  
we  
increase  
our  
promotional  
spending ,  
it  
could  
be  
tied  
to  
driving  
distribution,

it  
could  
be  
sales  
gain,  
and  
that's  
net  
incremental  
net  
of  
cannibalization.

So,  
we  
do  
track  
all  
this  
closely .

We  
believe,  
temporarily,  
there  
could  
be  
a  
bit  
of  
up  
and  
down.

But  
in

the  
long er  
run,  
this  
would  
be  
about  
the  
brand.  
The  
consumer  
needs  
to  
come  
to  
a  
store,  
ask  
for  
your  
specific  
brands.  
And  
it's  
for  
us  
to  
mak e  
sure  
we  
are  
offering  
the

innovation

they

are

looking

for,

our

communication

is

superior ,

our

product

is

superior .

So

as

you

heard

in

the

last

little

while,

we

are

investing

behind

all

this

and

driving

that

brand

superiority

messaging

through

the

system.

And

as

this

builds

up,

the

trade

piece

is

going

to

be

a

tempor ary

piece,

we

would

think.

And

it

will

finally

default

to

people,

their

preference

for

the

brand,  
because  
they  
really  
like  
it  
at  
the  
right  
price  
point,  
it  
offers  
the  
efficacy  
they  
are  
looking

for.

Moderator:

Thank you. We will take the next audio question from Amit from UBS. Please go ahead.

Amit Sachdeva:

Yes. Hi. Thank you so much for taking my question. Prabha, I just wanted to ask on the competition

bit.

Clearly,

the  
premium  
side  
has  
done  
very  
well.  
The  
Colgate



relaunch

is

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growing 4x of the category growth. And sensitivity and other things have also done exceptionally

well,

which

means

that

the

mass

end

is

the

problem.

And

when

you

allude

to

competition,

can

I

sort

of  
infer  
from  
it  
that  
the  
mass  
end  
or  
Colgate  
Strong  
Teeth  
variant  
is  
where  
you  
see  
significant  
decline,  
actually ,  
in  
the  
portfolio?  
And  
that's  
where  
the  
competition  
concern  
is  
coming  
from,  
and

if  
this  
under standing  
is  
correct?  
Because  
I  
see  
other  
number s  
of  
other  
companies  
are  
not  
impr essiv e  
at  
all.  
And  
so  
when  
the  
compe tition  
is  
rising  
and  
impacting  
you,  
how  
do  
we  
sort  
of

read

this?

To

which

segment?

And

when

we

see

outlook

of

it,

how

do

you

sort

of

see

it

in

the

coming

quarters

as

well?

That's

one

bit.

Prabha

Narasimhan:

I think you are absolutely right. And maybe I can break up the India market for you into the three

parts

that  
we  
are  
seeing  
and  
how  
the  
three  
parts  
are  
beha ving  
quite  
differently.  
So  
first,  
there  
is  
of  
course  
the  
urban  
and  
rural.  
And  
I  
think  
mos t  
companies,  
us  
included,  
over  
the  
last

little

while

have

called

out

the

fact

that

there

is

buoyancy

in

rural,

it

continues

to

do

well,

it

continues

to

outpace

urban.

And

if

you

recall,

I

think

a

year,

year-and-a-half

ago

this  
was  
not  
the  
case.  
And  
so  
this  
is  
a  
chang e  
that  
has  
happened  
over  
the  
last  
little  
while,  
wher e  
rural  
continues  
to  
be  
resilien t,  
we  
see  
volume  
and  
value  
growth  
in  
rural,

and  
it  
is  
driven  
by  
our  
core  
brands,  
because  
those  
are  
really  
the  
large  
brands  
that  
play  
in  
rural  
India.  
We  
are  
also  
lucky  
to  
have  
an  
over-indexed  
competitive  
position  
in  
rural  
India



versus

urban

India.

So

there

is

an

opportunity

there

for

us

and

an

opportunity

that

we

are

leveraging.

Second, if I come to urban India, at an aggregate level, urban India is slowing. And you saw the

data

on

the

slides

in

terms

of

market

growth

and

the

trajectory

of

market

growth,

which

has

been

on

the

decline.

But

if

I

break

up

urban

India

into

two

parts,

which

is

maybe

the

top

30%

and

the

bottom

70%,

the

top

30%

continues

to

be

exceptionally

resilient

as

far

as

FMC G

is

concerned.

And

I

think

as

far

as

Colgate

is

concerned,

the

portfolio

of

premium

products

that

we

have,

whether

it

is

Colgate

Total,

whether

it

is

Visible

White,

whether

it

is

Visible

White

Purple,

or

the

newly

launched

Max

Fresh

Sensorial

or

the

therapeutic

range,

all

of

these

have

tremendous

traction

with

this

audience.

And

as

a

result

of

which,  
I  
talked  
about  
the  
growth  
of  
Colgate  
Total,  
where  
actually  
our  
entire  
premium  
portfolio  
grows  
very  
rapidly .  
And  
therefore,  
the  
traction  
that  
we  
are  
seeing  
with  
this  
top  
30%  
is  
very  
heartening ,

very

good

for

us

from

the

medium-term.

And

of

course,

very

good

for

consumers

who

are

choosing

the

right

science-backed

products

to

help

them

with

their

oral

health.

Where the problem actually sits in the last little while, and it's not a phenomenon that is unique

to

this

quarter,

has  
been  
the  
bottom  
70%  
of  
urban  
India.  
We  
are  
seeing  
that  
they  
are  
under  
pressur e.  
And  
that  
pressur e  
i  
s  
leading  
to  
an  
impact  
on  
oral  
health  
volumes  
as  
much  
as  
it  
is

leading  
to  
impact  
on  
various  
other  
category  
FMC G  
volumes.  
So,  
between  
these  
three,  
that's  
where  
our  
growth  
sits.  
Two  
of  
them  
continue  
to  
do  
very  
well.  
One  
of  
them  
has  
had  
a  
bit



of  
a  
wobble  
in  
the  
last  
little  
while.

But again, if you see structurally, and you see all of the macro indicators and the interventions

that  
are  
coming  
in,  
I  
think  
this  
is  
something  
that  
is  
quite  
temporary.

And  
so  
to  
your  
question  
of  
what  
is  
our  
perspective

of  
the  
outlook  
going  
forward,  
I  
think  
the  
outlook  
going  
forward  
is  
that  
this  
70%  
of  
urban  
will  
also  
pick  
up.  
The  
30%  
of  
urban  
anyway  
is  
resilient.  
Rural  
continues  
to  
look  
like

a  
real  
brigh t  
spot.  
So  
we  
see  
this  
getting  
sequen tially  
better,  
and  
particularly  
towards  
the  
back  
half  
of  
this  
year.

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Amit Sachde va:

Sure. That's very help ful, Prabha, for breaking this up. I just wanted to ask about the  
compe tition

bit.

I  
think  
what  
you  
alluded  
to  
is  
largely  
macro  
on  
the  
urban  
mass,  
which  
continues  
to  
be  
very  
weak.  
How  
do  
we  
sort  
of  
relate  
it  
back  
to  
the  
competition  
comment  
that  
you

made,  
that  
competition  
has  
also  
impacted  
performance  
this  
quarter?  
When  
you  
call  
it  
out  
specifically.  
And  
I  
am  
sort  
of  
curious  
at  
which  
part  
of  
the  
segment,  
and  
is  
the  
competition  
receding ,  
intensifying?

And

how

do

we

mak e

sense

of

it?

And

relating

back

to

wha t

should

be

the

outlook

for,

say,

next

two

quart ers?

You

said

the

first

half

could

be

still

weak

and

the

second

half

could

be

better.

It

would

be

great

to

have

some

guidance

around

how,

and

especially

related

back

to

margins

as

well.

Margin

this

quarter

was

very

high,

should

we

expect

this

margin

to

continue?

And/ or

just

kindly

help

us

under stand

how

investors

should

actually

look

at

these

two

dynamics

playing

out.

Prabha

Narasimhan:

I think, firstly, if I take a look at our commen t on compe titive intensity , it links to the commen ts

that

Jacob

was

making

in

terms

of

how

much



money

competition

is

spending ,

largely

driven

by

trade.

And

that's

what

we

mean

by

competitive

intensity

and

our

need

to

be

competitive.

And

that

is

actually

slightly

newer

than

the

stuff

earlier .

But

other wise,  
when  
you  
think  
about  
it,  
has  
compe titive  
intensity  
always  
been  
high?  
Yes,  
in  
terms  
of  
advertising ,  
in  
terms  
of  
the  
work  
that  
they  
do,  
that  
continues.  
We  
are  
not  
seeing  
a  
big

change  
in  
that  
kind  
of  
competitive  
intensity .  
What  
we  
are  
seeing  
or  
what  
we  
did  
see  
to  
which  
we  
have  
responded,  
which  
is  
why  
the  
comment,  
is  
the  
competitive  
intensity  
in  
trade.  
I

think  
two  
things  
will  
happen.  
One,  
everybody  
will  
titrate  
to  
a  
level  
that  
makes  
sense  
for  
their  
business  
and  
allows  
them  
to  
optimize  
obviously  
between  
being  
competitive  
and  
their  
top-line  
growth.  
And  
the

second

is,

some

of

this

will

anniversarize

very

soon.

And

therefore,

the

impact

on

the

P&L

diminishes

over

a

period

of

time.

So

between

these

two,

I

am

less

worried

about

it.

It

was  
called  
out  
because  
it  
is  
an  
aberration  
from  
the  
baseline  
progress.

I am going to make one very quick high level comment on margins and then I am going to hand

it  
over  
to  
Jacob  
to  
give  
you  
maybe  
a  
little  
bit  
more  
detail.  
We  
continue  
to  
be  
a  
very

high  
margin,  
high  
EBITDA  
company.  
We  
have  
always  
suggested  
that  
our  
range  
of  
EBITDA  
would  
be  
in  
the  
low  
30s,  
and  
that's  
really  
where  
we  
think  
we  
will  
operate,  
plus/minus  
a  
little  
bit

here

or

there

depending

on

the

quarter.

We

think

the

intrinsic

strength

of

the

brand

allows

us

to

operate

there

and

allows

us

to

make

sure

that

we

are

doing

this

while

we



support

the

brand

at

optimum

levels.

And

so

that's

really

our

construct.

We have outstanding funding the growth program, which looks at every non-value adding cost

that

we

have.

And

on

average,

in

any

given

year

we

get

about

5%

of

our

net

sales

being

taken  
out  
of  
the  
system  
as  
non- value  
adding ,  
which  
is  
really  
help ful  
and  
which  
is  
wha t  
actually  
help s  
us  
to  
keep  
the  
margins  
at  
the  
level  
that  
we  
are  
at.  
In  
fact,  
Jacob

will  
speak  
about  
this.  
Our  
price  
growth  
over  
the  
last  
little  
while  
has  
actually  
been  
quite  
muted.  
It's  
not  
pricing  
that's  
driving  
this  
margin,  
it's  
actually  
efficiency  
that's  
driving  
this  
margin.

M.S. Jacob:

Yes. To add to that, we will continue to invest behind our products. As you heard earlier, we have

enhanced

the

quality

and

efficacy

of

our

products.

We

just

relaunched

our

Strong

Teeth,

which

is

a

flagship

sub-brand.

And

we

have

upgraded

the

other

products

over

the

last

couple

of

years.

And

we  
will  
continue  
to  
look  
for  
opportunities  
to  
take  
it  
to  
the  
next  
level.  
So,

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those are all going to be cost-effective, but we will look to cover it through the efficiencies that

Prabha  
mentioned.  
And  
at  
the  
same

time,  
there  
would  
be  
some  
level  
of  
pricing  
that  
will  
be  
coming  
through.  
But  
net  
of  
it,  
we  
expect  
to  
be  
in  
the  
range  
of  
wha t  
you  
are  
seeing  
over  
the  
last  
year

or

so.

Amit Sachdeva:

Great. Thank you so much, Jacob. But just one last bit on, since you mentioned that comparative

spends

and

the

trade,

is

it

specific

to

a

particular

channel,

like

quick

commerce

or

something?

Or

is

it

pervasive

across

DT

as

well?

And

given

that,

I

was

just

hearing

a

news

flow,

I

do

not

know

how

relevant

or

how

signific ant

that

is,

but

there

was

some

sort

of

random

news

flow

on

Mahar ashtra

Distribut or

Union,

kind

of

making

some



noise

about

price

discrimina tion

in

the

various

channels

and

they

are

unhapp y

about

it.

And

is

there

some

resolution

to

it

or

is

it

just

a

sort

of

random

news

flow

that

comes

in  
and  
there's  
no  
truth  
to  
it?  
So  
if  
you  
can  
comment  
on  
that  
situation  
as  
well.  
Maybe  
I  
am  
just  
relating  
back  
two  
and  
two  
together,  
maybe  
they  
are  
not,  
but  
if

you

can

just

sort

of

clarify

that

bit?

Prabha

Narasimhan:

To the first question on where the trade investment is going, actually the trade investment is going

more

in

general

trade.

General

trade

continues

to

be

about

three

quarters

of

this

market;

and

without

general

trade,

there

is

actually  
no  
business.  
So  
if  
you  
see  
any  
number  
move  
at  
a  
company  
level,  
it  
will  
be  
driven  
by  
general  
trade  
as  
it  
is  
for  
us.  
Just  
because  
you  
mentioned  
e-commerce  
and  
quick

commerce  
and  
all  
of  
this,  
I  
think  
we  
need  
to  
keep  
in  
perspective  
that  
while  
the  
channel  
grows,  
it  
is  
still  
a  
very  
small  
percentage  
of  
our  
business.  
E-commerce  
is  
about  
5%  
to

6%

of

our

business.

We

continue

to

look

to

drive

a

portfolio

in

e-commerce

that

is

new,

different,

and

premium.

Max

Fresh

Sensorials

being

the

comment.

And to your specific question on the distributors, we are really fortunate as Colgate, we have a

2,000

strong

distributor

network,

many

of

whom

have

been

with

us

for

many,

many

years.

And

actually

similar

to

the

relationship

with

dentists,

we

pride

ourselves

on

the

quality

of

the

relationship

that

we

have

with

these

distributors

across

the  
country.  
And  
there  
is  
always  
dialogue  
in  
terms  
of  
how  
we  
can  
ensur e  
that  
we  
grow  
their  
business  
as  
much  
as  
we  
grow  
our  
business.  
And  
it's  
an  
utterly  
symbiotic  
relationship,  
and



that

continues

to

be

the

case.

Moder ator:

Thank you. We will take the next text ques tion from Arnab Mitra from Goldman Sachs. And the

ques tion

is,

wha t

is

the

outlook

for

gross

and

EBITDA

margins

for

FY

'26?

Do

you

bene fit

from

lower

input

cost?

Or

will

the

high

competitive

intensity

lead

to

some

headwinds?

As

a

company,

do

you

want

to

further

enhance

EBITDA

margins

from

the

current

32%

to

33%

plus

levels?

M.S. Jacob:

Yes. Arnab, I think we did touch on this question in the last little while. So as we mentioned, our

priority

would

be

doing

the

right  
things  
to  
deliv er  
top-line  
growth,  
both  
as  
a  
categ  
ory  
level  
and  
also  
for  
us  
as  
a  
compan y.  
We  
will  
do  
all  
the  
right  
things  
requir ed,  
making  
sure  
we  
are  
compe titive  
in

trade,  
our  
products  
are  
superior ,  
our  
communication  
is  
superior  
and  
it's  
at  
the  
right  
level.  
So  
all  
those  
things  
are  
going  
to  
be  
critical.  
So  
we  
are  
not  
targeting  
any  
particular  
level  
of

gross  
margin  
or  
EBITDA  
increase.

It  
will  
be  
a  
result  
of  
doing  
all  
the  
right

Page

14

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17

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things. And our objective would be to drive that top-line, both volume and value, and what  
is

required

to

deliver

that.

So,

I

wouldn't

give

guidance

on

any

particular

level

at

this

point.

Moderator:

Thank you. The next question is from Jai Doshi from Kotak. And the questions are, we have witnessed

significant

discounts

on

MT

or

e-commerce

platforms,

how

are

you

managing

channel

conflicts

between

GT

and

emerging

channels?

And

the

second

one  
is,  
wha t  
was  
the  
contribution  
of  
premiumiz ation  
mix  
to  
value  
growth  
in  
FY  
2025?  
And  
wha t  
could  
be  
the  
contribution  
of  
premiumiz ation  
of  
your  
revenue  
CAGR  
over  
the  
next  
two  
years  
to

three

years?

Prabha

Narasimhan:

So

on

the

first

one,

on

MT

and

e-comm

pricing ,

actually

there

are

two

or

three

things

that

we

are

looking

to

do

or

we

continuously

do.

Firstly,

to



ensur e  
that  
there  
is  
a  
degr ee  
of  
parity  
pricing  
across  
all  
of  
the  
channels,  
because  
it's  
import ant  
for  
us  
that  
all  
of  
the  
channels  
grow,  
and  
wher ever  
the  
consumer  
goes  
she  
gets  
the

right

price

for

the

right

product.

The

second

thing

I

think

is

that

there

is

a

significant

opportunity

for

us

in

modern

trade

and

e-commerce

to

move

consumers

to

the

more

premium

products

and  
the  
more  
premium  
part  
of  
our  
portf olio,  
and  
we  
have  
started  
making  
a  
signific ant  
difference  
over  
there.  
Over  
half  
our  
portf olio  
now  
in  
e-commer ce  
is  
the  
entire  
premium  
range,  
as  
opposed  
to

our  
core  
business,  
which  
is  
the  
bulk  
of  
our  
general  
trade  
business.

So  
the  
combination  
of  
these  
two  
things,  
which  
is  
the  
right  
portfolio  
in  
the  
right  
channel,  
and  
then  
of  
course  
the

right  
pricing  
across  
the  
channels,  
is  
how  
we  
intend  
to  
manage  
this,  
because  
genuinely  
there  
is  
an  
opportunity  
for  
every  
single  
channel  
to  
drive  
growth.  
And  
only  
when  
every  
single  
channel  
drives  
growth,

we  
as  
a  
company  
get  
the  
maximum  
benefit  
of  
driving  
overall  
growth.

I think to the second question, we tend not to comment on the share of premiumization, but more

what  
we  
expect  
that  
premium  
would  
grow  
at.

You  
would  
recall  
that  
in  
previous  
conversations

I  
have  
talked  
about

how

premium

should

be

at

least

2x

faster

than

the

rest

of

our

portf olio.

That

was

at

a

time

wher e

mark et

growth

was

looking

really

positiv e

and

quite

high.

Now

that

the

mark et

growth  
is  
slowing ,  
actually  
we  
continue  
to  
hold  
our  
premium  
growths  
and  
therefore  
the  
target  
is  
for  
it  
to  
be  
4x,  
which  
is  
really  
wha t  
we  
are  
currently  
deliv ering ,  
and  
we  
expect  
that



we  
will  
only  
acceler ate  
this  
more  
and  
more  
as  
we  
go  
through  
the  
year.  
Jacob,  
you  
want  
to  
build  
on  
this?  
Moder ator:

Thank you. The next text ques tion is from Priyank Chheda from Vallum Capit al. And the ques tion

is,  
pricing  
mix  
growth  
for  
FY  
'25  
was  
missing

despit e

premiumiz ation

focus

for

the

full

year.

Wha t

is

the

mix

impr ovemen t

on

total

price

growth

expect ed

ahead?

M.S.

Jacob:

So on price growth, as we men tioned, we have been investing in trade for the last year or so,  
so

that

has

impact ed

the

pricing

growth.

Going

forward,

as

I

men tioned,

we

will

continue

to

invest

behind

brand

superiority ,

sup

erior

communic ation.

And

we

do

expect

it

will

continue

to

be

quite

intense

out

there,

but

we

expect

it

will

kind

of

stabiliz e

a

bit.

We  
cannot  
call  
out  
a  
number ,  
but  
we  
do  
expect  
going  
forward  
pricing  
will  
be  
a  
componen t  
of  
the  
sales  
growth.

Moder ator:

Ther e are multiple ques tions around this area, the ques tion is to under stand volume growth  
for

the  
recen t  
quart er?

Page

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17

Colgate-Palmolive

(India)

Limited

May

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2025

M.S.

Jacob:

In terms of volume growth, as we mentioned, our pricing did not contribute to it. So we actually

had

slightly

negative

pricing ,

so

volume

was

flat

in

the

last

quarter.

Moderator:

Thank you. We will take the next audio question which will be the last question for today from

Disha

Seth

from

Anvil.

Please

go

ahead.

Disha Seth:

Good morning , sir. Sir, we wanted to check that in the press release you mentioned that there

is

lower

urban

demand,

does

that

mean

that

the

customer s

have

down-tr aded

themselv es

like

from

a

Colg ate

Total

to

a

normal

Colg ate?

Has

that

impact ed

our

sales?

And

yes,

we

can

go

ahead

with

that

ques tion

and

then

I

will

add

the

second

ques tion.

Prabha

Narasimhan:

I think we are not actually seeing down-trading in the market. And the reason for the slowing

volume

growth,

our

under standing

is,

actually

consumer s

titrate

the

amoun t

of

toothpas te

that

they

use.

So

it's

neither

that

consumer s

drop

out

of

the

category.

So

the

overall

pene tration

of

the

toothpas te

category

remains

at

its

near

univ ersal

level,

it

does

not

wobble.

Consumer s

do

not

stop

buying

toothpas te.

Consumer s

do

not



stop

using

toothpaste.

And maybe I can remind you of some of the stats that we have in this country, which is that 80%

of

urban

India

brushes

their

teeth

only

once

a

day

and

50%

of

rural

India

brushes

daily .

And

therefore,

the

way

to

adjust

how

much

you

spend

on

this  
category  
is  
actually  
by  
adjusting  
how  
much  
toothpaste  
you  
put  
on  
your  
tube.  
And  
therefore,  
the  
titration  
downwards  
of  
that  
usage  
is  
what  
leads  
to  
a  
decline  
in  
volume.  
It's  
not  
consumers

either  
stepping  
down  
brands  
or  
in  
terms  
of  
stepping  
out  
of  
the  
category.  
Neither  
of  
those  
are  
we  
seeing.  
And  
certainly ,  
stepping  
out  
of  
the  
category  
usually  
does  
not  
happen  
either .

Disha Seth:

So you are saying that, so what I understand is, you are saying that people are using less

paste

on

the

brush

rather

than

anything

else,

correct?

Prabha

Narasimhan:

Yes, they just titrate their usage in a given period of time and make a given SKU last a little bit

longer.

Disha

Seth:

Longer, okay. And second, in terms of competition, when you said the other competitors are giving

more

trade

or

more

dealer

margin

and

everything ,

but

we

have

a

higher

mind

recall.

So  
why  
would  
a  
customer  
go  
to  
any  
other  
brand  
than  
a  
Colgate  
when  
we  
have  
a  
higher  
mind  
recall?  
The  
dealer  
pushing  
shouldn't  
affect  
the  
brand  
sales,  
when  
we  
are  
investing  
so

much

on

a

brand.

Or

correct

me

if

my

under standing

is

wrong,

please?

Prabha

Narasimhan:

So, I think nothing is ever about the black and white, right? Colgate is by far the single strongest

brand

in

the

oral

health

category,

for

sure.

However,

when

consumer s

go

to

buy

Page

16

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17

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products, not all 100% of them are asking for the brand by name. So to give you an example, when

a

Rs.

10

consumer

or

a

consumer

who

wants

to

buy

a

Rs.

10

SKU

goes

to

a

store

and

asks,

85%

of

the

time

they

will

tell

you

the

brand

that

they

want

to

buy.

So

give

me

a

Colgate

Strong

Teeth,

Rs.

10.

So

they

know

the

brand,

the

Colgate

Strong

Teeth

Rs.10

then

gets



handed

over.

In

the

remaining

15%

of

the

time,

the

consumer

says,

give

me

a

Rs.

10

toothpaste.

And

therefore,

for

you

to

be

the

most

attractive

Rs.

10

toothpaste

at

that

moment

is  
actually  
quite  
important.  
And  
attractiveness  
is  
a  
combination  
of  
both  
your  
rate  
as  
well  
as  
the  
velocity  
of  
your  
product.  
And  
that's  
the  
combination  
that  
gets  
managed  
to  
make  
sure  
that  
we

hold  
the  
kind  
of  
levels  
of  
distribution  
that  
we  
are  
lucky  
to  
enjoy  
given  
the  
strength  
of  
our  
brand.  
So  
it's  
a  
little  
bit  
a  
combina tion  
of  
having  
a  
strong  
brand  
and  
driving

the  
branded  
purchase,  
which  
we  
do  
a  
really  
good  
job  
of.  
And  
making  
sure  
that  
in  
the  
minority  
cases  
where  
the  
brand  
is  
not  
mentioned,  
that  
it  
is  
as  
advantageous  
for  
trade  
to

give

your

brand

as

any

other .

Moder ator:

Thank you. Ladies and gentlemen, we will now conclude the ques tion-and-ans wer session. I now

hand

the

conference

back

to

Ms.

Prabha

Narasimha

for

closing

commen ts.

Thank

you,

and

over

to

you,

ma'am.

Prabha

Narasimhan:

Thank you all for joining us this morning. We look forward to seeing you six mon ths from now.

Thank

you

again

for

your

time.

Moderator:

Thank you, members of the management. We now conclude today's Colgate-Palmolive analysts

conference

meeting.

And

we

thank

you

all

for

your

participation.

Thank

you.

Page

17

of

17

Call: May 2026

May

28,

2026

The

Secretary

BSE

Limited

P.J.Towers-

25

th

floor

Dalal

Street

Mumbai-

400001

Scrip

Code:

500830

The

Manager

—

Listing

Department

National

Stock

Exchange

of

India

Limited

Symbol:

COLPAL

Exchange

Plaza,

C-1,

Block

–

G

Series:

EQ

Bandra

–

Kurla

Complex

Bandra

(East),

Mumbai

400

051

Dear

Sir(s),

Sub:

Investor/Analyst

Meet

-

Transcript

In

terms

of

Regulation

30

of

the

SEBI



(Listing  
Obligations  
and  
Disclosure  
Requirements)  
Regulations,  
2015,  
please  
find  
enclosed  
the  
transcript  
of  
the  
Analyst  
conference  
call  
for  
financial  
results  
for  
the  
fourth  
quarter  
and  
financial  
year  
ended  
March  
31,  
2026  
held  
on

May  
22,  
2026.

The  
aforesaid  
transcript  
is  
also  
available  
on  
the  
website  
of  
the  
Company  
at  
the  
link  
mentioned  
below:

<https://www.colgateinvestors.co.in/presentation-to-analyst/presentation-details-2026>

Kindly  
take  
the  
same  
on  
record.  
Thanking  
you,  
Yours

Sincerely,

For

Colgate-Palmolive

(India)

Limited

Jaikishan

Shah

Company

Secretary

and

Compliance

Officer

Membership

No:

A34948

Encl:

a/a

M  
ANAGEMENT  
:

M  
S  
.

P  
RABHA

N  
ARASIMHAN

—

M  
ANAGING

D  
IRECT OR

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C  
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O  
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C  
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Page

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Colgate-Palmolive

(India)

Limited

May

22,

2026

Moderator: Ladies and gentlemen, good day and welcome to the Colgate-Palmolive India Ltd.

Analyst

Conference

Call

for

the

Financial

Year

2025-26.

As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity

for

you

to

ask

questions

after

the

presentation

concludes.

At

that

time,

participants

on

the

webcast

may

click

on

the

Ask

a

Video

Ques tion,

which

will

be

enabled

belo w

the

media

player.

Alterna tively,

you

may

also

post

your

ques tions

on

the

Ask

a

Ques tion

tab

available

on

your

screen.

Participan ts

connect ed

via

telephone

may

enter

"1"

and

"1"

on

their

phone

to

ask

their

ques tion.

I

now

hand

over

the

proceedings

to

Ms.

Neethi

Nair

—

Director

(Commer cial,

Finance

&

Investor

Relations)

at

Colg ate-Palmoliv e

India

Limit ed.

Thank

you,



and  
over  
to  
you,  
ma'am.  
Neethi  
Nair:

Thank you, Rutuja. Everyone and welcome to the Colgate-Palmolive India Analyst Meeting for the

year  
ended  
31st  
March  
2026.

We  
have  
here  
today  
with  
us  
Ms.  
Prabha  
Narasimhan

—  
MD  
and  
CEO  
of  
our  
organization  
and  
Mr.  
M.

S.

Jacob

–

CFO.

We

will

start

the

session

with

a

brief

presen tation

from

Prabha

and

Jacob.

This

will

take

appr oxima tely

40

minut es

and

then

we

will

open

up

for

Q&A .

Before

we

start,

I

would

like

to

point

out

that

some

of

the

statements

made

in

today's

meeting

may

be

forward-looking

and

a

disclaimer

to

that

effect

has

been

included

in

the

presentation.

I

would

now

request

Prabha

to

share

her

thoughts.

Thank

you

and

over

to

you,

Prabha.

Prabha Narasimhan:

Thank you very much, Neethi. Good evening , everyone and thank you for joining us at this  
Colgate-Palmolive

(India)

Analyst

Conference

Call

on

this

May,

Friday

evening.

I

want

to

start

with

a

quick

summary

of  
what  
Jacob  
and  
I  
will  
cover  
over  
the  
next  
little  
while.

Here's the picture of our current business:  
We have seen over the last quarter a significant acceleration in net sales growth for Q4, our domestic

growth  
now  
at  
9.2%.  
We  
continue  
to  
be  
focused  
on  
the  
key  
pillar  
of  
this  
category.  
We  
are  
the

bulk  
of  
this  
Oral  
Care  
category,  
and  
we  
continue  
to  
be  
focused  
on  
driving  
consump tion.

Our margin profile remains resilien t and superior to peer s and a sour ce of great strength for us.

We  
continue  
to  
invest  
behind  
the  
best-in-class  
oral  
health  
technology .

Through  
this  
year,  
we  
have  
invested

across

our

entire

Core

portf olio

as

well

as

a

whole

slew

of

new

products

in

the

Premium

portf olio.

We have acceler ated investmen ts behind Premiumiz ation and that's giving us some incredible

joy,

and

we

are

particularly

seeing

a

lot

of

elasticity

on

advertising

on

the

Premium

portf olio.

And

we

have

a

strong

founda tion

in

place

to

drive

consis tent

long-t erm

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20

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growth and as we enter the Calendar Year 2026, we feel a renewed sense of optimism and confidence

in

terms

of

wha t

this

business

can



deliv er.

So,

this

is

the

agenda

for

today.

We will talk briefly about the performance, recap our strategy which I hope is familiar to mos t

of

you,

then

get

into

the

financial

performance

which

Jacob

will

cover,

finally

ending

with

a

quick

summar y.

So, starting with the perf ormance:

For the quart er, we have deliv ered a top line of Rs. 1,583 crores which represen ts a 9% year-on-year

growth.

Our

domes tic

growth

was

sligh tly

ahead

of

this

at

9.2%.

We

have

seen

broad-based

growth

across

all

parts

of

our

portf olio,

Core

and

Premium,

Toothpas te,

Toothbrush,

as

well

as

Personal

Care.

Gross

margins

continue

to

be

strong

at

69.6%

and

EBITD A

margins

continue

to

be

absolut ely

best

in

class

at

a

shade

over

32%.

The

number

belo w

that,

which

is

our

brand

investmen ts,

just

a

shade

under

Rs.

200

crores

represents

a

significant

step

up

from

the

same

quarter

the

previous

year

at

10%

increased

investment.

And

like

I

have

mentioned

earlier,

this

is

something

that

we

are

seeing

significant

elasticity

behind.

Profitability ,

therefore,

NPAT

is

at

Rs.

353

crores.

And

without

the

one-of f,

growth

of

NPAT

is

in

line

with

the

growth

of

the

overall

top

line.

If you take a look at the full year, the number s look a little bit more muted. As you would remember ,

we

have

had

a

couple

of  
tough  
quarters  
in  
the  
previous  
calendar  
year.

So,  
the  
overall  
year  
is  
flat.

The  
margin  
performance  
remains  
roughly

in  
line  
with  
what

you  
are  
seeing

for  
Q4.

And  
profitability  
also  
remains  
slightly

challeng ed

given

that

the

top

line

growth

has

been

flat.

We

are,

however,

seeing

a

signific ant

step

up

in

the

second

half

of

the

financial

year

over

the

first

half,

the

second

half

growing

at

shade

over

5%.

The key thing which drives our business is obviously the strength of the brand Colgate. And we

are

really

happy

to

see

that

we

are

continuing

to

have

either

stable

or

slightly

increasing

brand

health

across

all

the

key

measures

that

we

track,



which

is:

Top-Of -Mind Awareness – when you think of Toothpaste, what is the first brand that comes to

mind

is

that

number .

Dentists Recommend – Our partnership with the profession spans almost the entire nine decades

that

we

have

been

in

this

country

and

continues

to

be

a

great

source

of

pride

and

strength

for

us.

And

we

build

upon

this  
relationship  
year-on-year  
and  
so  
seeing  
consumer s  
respond  
to  
our  
brand  
as  
being  
the  
leading  
dentist-recommended  
brand  
is  
very  
heart ening.

And Oral Care Expertise – Ther e is no Compan y on this plane t that spends more mone y on Oral

Care  
resear ch  
than  
Colg ate.  
And  
therefore,  
the  
best  
“  
Oral  
Care  
Expert ”

being  
endorsed  
at  
85%  
by  
consumers  
is  
therefore  
not  
surprising.

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One of the things that during this quarter we have doubled down on to continue to build on the  
exceptionally  
strong  
Colgate  
brand  
is  
really  
to  
amplify  
our  
brand

love.

For

nine

decades,

Colgate

has

led

the

Oral

Care

category

in

this

country.

It

is

our

mission

to

help

every

single

Indian

have

better

oral

health.

And

to

that

end,

we

have

a  
brand-ne w  
advertising  
idea,  
which  
is  
really  
about  
real  
people  
telling  
us  
the  
real  
stories  
which  
have  
real  
impact  
behind  
their  
real  
smiles.  
And  
instead  
of  
my  
laboring  
the  
poin t,  
I  
am  
going

to  
play  
a  
couple  
of  
the  
most  
recent  
films.  
Colgate  
Brand  
Love  
films.

The two outstanding examples of how there is always Colgate behind every smile.  
Before I move into the Company's strategy, I want to just talk briefly about what's actually  
happening

in  
the  
market.  
The  
last  
time  
we  
spoke,  
we  
were  
having  
a  
conversation  
about  
how  
the  
rural  
markets

were

significantly

outpacing

the

urban

markets

and

actually

continuing

to

rise,

while

urban

markets,

particularly

at

the

bottom

half

of

the

pyramid,

were

continuing

to

see

pressure.

That

has

changed

over

the

last

little  
while.  
And  
if  
you  
look  
at  
the  
green  
line  
on  
the  
right  
side  
of  
the  
screen,  
you  
will  
see  
that  
the  
urban  
markets  
are  
now  
beginning  
to  
pick  
up  
in  
terms  
of



growth,  
while  
there  
is  
a  
sligh t  
slowdown  
in  
rural,  
the  
two  
of  
them  
beginning  
to  
converge.  
We  
do  
expect  
that  
the  
urban  
mark ets  
will  
continue  
to  
see  
a  
little  
bit  
of  
growth  
coming

as  
they  
do  
off  
a  
relatively  
soft  
base.  
And  
we  
do  
expect  
that  
rural,  
while  
it  
will  
grow  
faster  
than  
urban,  
will  
continue  
to  
be  
maybe  
not  
as  
much  
ahead  
as  
it  
was

through  
the  
whole  
of  
2025.  
Net-net,  
the  
overall  
market  
is  
flat-to-increasing.  
And  
in  
this  
year,  
given  
the  
impact  
of  
GST  
on  
pricing  
from  
September-October  
of  
last  
year,  
we  
really  
do  
need  
to  
take

a  
continuous  
look  
at  
volume  
growth  
because  
the  
value  
growth  
pickup  
that  
you  
get  
in  
Nielsen  
will  
be  
quite  
distorted,  
given  
that  
MRP  
pricing  
has  
actually  
gone  
down.

In this context of what's happening in the market, our strategy remains absolutely consistent.

Our  
first  
pillar

always

has

been,

it

is

our

accountability ,

it's

our

responsibility ,

and

actually

it's

our

privilege

to

lead

the

growth

of

the

Toothpaste

category

and

to

drive

consumption,

and

doing

that

by

driving

our

Core

brands.

Our

second

pillar

is

to

transforma tively

acceler ate

Oral

Care

Premiumiz ation.

And

this

has

actually

seen

a

step

chang e

since

the

last

time

that

we

were

here

having

this

conversation.

The

third

one

is

for

us

to

continue

to

lead

category

growth

and

win

in

Toothbrushes.

And

of

course,

the

fourth

one

is

to

continue

to

build

the

little

jewel

in

our

crown,

which

is

Palmolive

and

the

Personal

Care

business.

And

all

of

these

are

underpinned

by

the

enablers

that

you

see

below,

and

we

will

talk

through

all

of

them.

Starting first with leading Toothpaste category growth:

Our first pillar, our first joy, "Driving Consumption" and we do this across a whole slew of activities.

The

first

one

being



the  
"Brigh t  
Smiles,  
Brigh t  
Future"  
pro  
gram.  
Now  
in  
its  
fifth  
decade,  
we  
have  
reached  
over  
a  
crore  
childr en  
just  
in  
the  
Year  
of  
2025,  
across  
10  
states,  
80  
districts,  
and  
more  
than  
35,000

schools.

This

program,

since

its

inception,

has

actually

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touched about 190 million children. It remains the absolute cornerstone of what we do in order

to

drive

consumption,

because

teaching

children

the

habit

of

how

to

brush,

when

to  
brush,  
and  
good  
habits  
in  
terms  
of  
the  
replacemen t  
of  
your  
Toothbrush,  
and  
avoiding  
tobacc o  
becomes  
really  
import ant  
when  
you  
do  
it  
in  
their  
founda tion  
years.

The area wher e we have stepped up beyond BSBF is governmen t partner ship. We now have  
tie-up s

with  
eigh t  
states,  
and

we  
are  
working  
with  
the  
governmen t,  
including  
the  
health  
minis try,  
to  
see  
how  
we  
can  
mak e  
oral  
health  
a  
national  
policy  
priority .  
Oral  
health  
educ ation,  
of  
course,  
comes  
from  
caregivers  
and  
teacher s.  
And

to  
that  
extent,  
we  
have  
tied  
up  
with  
the  
National  
Nursing  
Associa tion,  
or  
the  
Trained  
Nurses  
Associa tion  
of  
India,  
the  
(TNAI)  
that  
you  
see  
on  
the  
slide  
there,  
school  
teacher s  
across  
these  
35,000-plus

schools

that

we

reach,

and

in

certain

states,

working

with

Anganwadi

workers

to

mak e

sure

that

we

can

reach

out

to

the

mos t

vulner able

with

the

right

Oral

Care

educ ation.

As I men tioned earlier , the profession has always been a key part of wha t we do, and partner ship

with

them

is  
one  
more  
privilege  
that  
we  
have.  
We  
continue  
the  
work  
that  
we  
started  
with  
the  
oral  
health  
movement  
by  
now  
having  
a  
dentist  
appear  
on  
every  
single  
pack  
of  
ours,  
and  
the

opportunity

for

any

consumer

who

buys

any

pack

or

actually

who

scans

the

QR

code

to

get

an

absolut ely

“Free

Dental

Check up”

.

This

is

now

appearing

across

500

million

pack s,

and

we



have  
already ,  
as  
we  
speak,  
it's  
only  
been  
in  
the  
mark et  
six  
to  
eigh t  
weeks,  
we  
already  
have  
close  
to  
a  
million  
people  
who  
have  
availed  
of  
this.  
And  
the  
more  
we  
can

get  
consumer s  
to  
think  
proactiv ely  
about  
their  
oral  
health,  
and  
the  
more  
we  
build  
their  
partner ship  
with  
dentists,  
the  
more  
we  
deliv er  
to  
our  
mission,  
and  
the  
more  
we  
deliv er  
towards  
driving  
the

category.

The second thing that we have done is to take a long , hard look at wha t we can do in terms of

“  
Driving

Rural

Consump tion  
”

and

we

have

done

a

pilot

in

Uttar

Pradesh

wher e

we

have

taken

multiple

interventions,

including

wall

pain tings,

very

local

wall

pain tings

that

use

the

people

in

that  
particular  
village,  
street  
plays,  
as  
well  
as  
our  
BSBF  
program.  
And  
in  
combination  
of  
these  
four,  
tried  
different  
initiatives  
to  
see  
what  
gives  
us  
the  
best  
outcome.  
And  
what  
we  
found  
out

of  
this  
is  
that  
we  
are  
significantly  
able  
to  
move  
attitude  
by  
about  
7%,  
get  
7%  
delta  
in  
terms  
of  
people  
brushing  
once,  
and  
a  
significant  
delta  
in  
terms  
of  
claimed  
brushing  
twice.

And  
wha t's  
interesting  
is  
that  
while  
these  
are  
claimed  
results,  
and  
only  
some  
of  
it  
will  
transla te  
into  
beha vior,  
as  
we  
all  
know  
the  
best  
intentions  
don't  
always  
transla te  
into  
action.  
The  
more

we  
do  
this,  
the  
more  
we  
think  
that  
this  
will  
actually  
become  
part  
of  
the  
daily  
life  
of  
everybody .  
And  
this  
becomes  
another  
pillar  
that  
we  
will  
use  
through  
this  
year  
in  
order

to

drive

consumption

in

rural

India.

I move then to the second part of the first pillar of our strategy,

which is really to grow competitively

on

the

Core,

starting

with

our

flagship

brand,

Colgate

Strong

Teeth.

At

about

roughly

this

time,

or

slightly

earlier

this

time

last

year,

we

relaunched



Colgate

Strong

Teeth

with

our

best

ever

formula tion,

a

formula tion

that

was

compe tition

beating

across

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everybody that we tested against. And this product continues to be powered by arginine plus

calcium

boos t,

which

now

has

a

clinic al

performance

against

it,

which

I

will

talk

about

briefly.

We

then

revamped

the

concep t

going

back

to

wha t

was

our

heartland

concep t

and

the

space

on

which

Colg ate

Dental

Cream,

as

it

was

called,

was

built,

which

is

really

“  
Superior

Cavity

Prot ection  
” ,

and

“  
24

Hours

Cavity

Prot ection  
” .

And

we

now

have

this

running

across

both

urban

and

rural

India

with

a

bespok e

film

for  
urban  
India,  
which  
talks  
about  
a  
young  
child  
who's  
talking  
about  
the  
cavities  
that  
he  
has,  
and  
then  
a  
rural  
film,  
which  
is  
much  
harder  
and  
much  
more  
single-minded.  
And  
I  
would

like

to

play

both

of

those

for

you

in

just

one

minute.

Before I go there, "Clinical Superiority" is something that we pride ourselves on. We have recently

done

a

test

of

Colgate

Strong

Teeth

versus

another

commonly

available

Toothpaste

in

India.

And

what

we

find,

as

you

look

at

the

graph

on

the

right

side,

is

that

Strong

Teeth

is

8.5x

more

effectiv e

at

re-miner alizing ,

which

is

really

wha t

prevents

you

from

getting

cavities

and

building

the

strength

of

your

enamel

than

the

compe tition.

This

is

like

hot

off

the

press

new

informa tion

that

we

have

just

receiv ed.

And

this

is

some thing

that

we

intend

to

take

forward

in

the

mark et

very,

very

soon.

Colgat e

Strong

Teeth

Film.

Doubling down on the idea that Colg ate Strong Teeth is really the first and last word in cavity protection,

the

partner

of

the

mother

as

she

seek s

to

protect

her

childr en

from

cavities

and

the

pain

that

they

cause.

I

am

moving

from

our

biggest



brand

to

our

second

biggest

brand,

which

is

“

Colgate

Max

Fresh

”.

I

would

have

mentioned

in

the

past

that

this

has

been

our

fastest

growing

franchise

in

the

last

few

years.

It

continues  
to  
be  
our  
fastest  
growing  
franchise,  
underpinned  
by  
two  
very  
strong  
things.  
Firstly,  
a  
superior  
product.  
And  
secondly ,  
a  
differentiated  
offering  
in  
terms  
of  
the  
only  
brand  
in  
the  
country  
that  
actually

has  
cooling  
crystals,  
which  
drive  
this  
freshness  
deliv ery.  
This  
year,  
it's  
summer .  
It's  
been  
one  
of  
the  
hottest  
summer s  
that  
the  
country  
has  
experienced.  
And  
therefore,  
a  
great  
opportunity  
for  
us  
to  
leverage

the  
blue  
version  
of  
Colgate  
Max  
Fresh,  
equating  
the  
blue  
to  
being  
significantly  
fresher  
delivery,  
which  
it  
actually  
is  
even  
in  
consumer  
testing.  
Colgate  
Maxfresh  
Film.

And with all of this, the superiority that we have on our Core brands, it's not surprising that the  
consideration  
for  
all  
of  
our

sub-brands

continues

to

be

either

flat

or

increasing

from

their

original

levels.

I move now to the second pillar, which is where it says "Transformatively Accelerate Oral Care

Premiumization

.

And

this

is

perhaps

where

the

largest

transformation

of

what

we

have

done

over

the

last

little

while

has

happened.

And

I

am

going

to

start

by

talking

about

Colgate

Total.

Colgate

Total

is

the

most

patented

Toothpaste

brand

in

the

world.

It

has

advanced

technology

powered

by

“

Dual

Zinc

and  
Arginine”  
and  
sits  
on  
the  
platform  
of  
active  
prevention  
that  
solves  
dental  
problems.  
We  
have  
attempted  
to  
put  
Colgate  
Total  
into  
popular  
culture  
by  
linking  
it  
to  
the  
fact  
that  
“  
Better  
Oral

Health

Deliv ered

by

Colg ate

Total

Gives

You

Peak

Performance  
”.

This

is

actually

an

idea

that

was

coined

by

Hansi

Flick

,

who

is

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of

20

Colgate-Palmolive

(India)

Limited

May

22,

2026



the coach of Barcelona, who made every one of his players take an Oral Care test. Because some times

when

you

are

at

peak

performance,

the

little

margin

of

difference

between

you

and

the

next

person

can

be

the

difference

between

winning

and

losing.

We

have

taken

that

idea,

brought t

it  
to  
life  
by  
one  
of  
the  
mos t  
credible  
sports  
people  
in  
India,  
which  
is  
Rahul  
Dravid,  
and  
then  
taken  
that  
on  
to  
being  
used  
in  
the  
IPL.  
Hard  
work  
and  
the  
prevention

of  
dental  
problems  
seems  
like  
a  
really  
good  
combina tion.  
Colgat e  
Total  
Film

I move from Colg ate Total to our other key Premium brand, which is really Colg ate Visible Whit e.

As  
you  
would  
know,  
Colg ate  
pioneer ed  
the  
whit ening  
segmen t  
in  
India  
a  
few  
years  
ago,  
starting  
with  
the  
Visible

White  
base.  
We  
then  
added  
Visible  
White  
Purple  
about  
18  
months  
ago  
to  
stupendous  
success.  
This  
has  
been  
by  
far  
Colgate's  
most  
successful  
innovation  
in  
the  
history  
of  
Colgate.  
An  
outstanding  
product  
which

is  
differentiated  
and  
sits  
in  
a  
niche  
space  
where  
42%  
of  
Indians  
actually  
want  
whiter  
teeth.  
And  
a  
category  
segment  
that  
is  
growing  
4x  
faster  
than  
the  
overall  
Toothpaste  
category.  
The  
idea  
of

Colgate

Visible

White

Purple

is

actually

very,

very

simple.

Sitting

on

the

color

wheel

,

Purple

Cancels

Yellow,

Giving

You

Whiter

Teeth

.

A

really

simple

idea

brought

to

life

by

two

of

India's

biggest  
beauty  
arbiters,  
“  
Kriti  
Sanon  
and  
Abhishek  
Sharma  
”,  
who  
both  
tell  
you  
why  
Visible  
White  
is  
part  
of  
their  
routine.  
And  
again,  
like  
with  
Colgate  
Total,  
this  
has  
been  
taken  
to  
larger

than

just

one

television

asse t.

It

goes

across

digit al

in

man y,

man y

different

ways,

making

sure

that

we

are

reaching

across

almos t

the

entire

popula tion

of

SEC

A,

B

consumer s

in

India.

And



the  
bulk  
of  
the  
incremental  
investment  
that  
you  
see  
on  
advertising  
has  
actually  
gone  
behind  
these  
two  
brands.  
Colgate  
Visible  
White  
Film

Between these two brands, there have been about 600 million impressions reached just in this

quarter  
alone,  
about  
1.2  
billion  
impressions  
across  
both  
of  
these

brands

with

over

hundreds

of

creators

working

on

them

and

giving

their

interpretation

of

this

idea.

The third leg to our Premium portfolio is really our therapeutics portfolio driven by PerioGuard.

Unfortunately,

60%

of

Indians

suffer

from

some

form

of

gum

problems.

Only

about

3%

of

them

actually

treat

it.

And

while

man y

people

imagine

that

bleeding

gums

or

swollen

gums

are

actually

normal,

actually

they

are

not

and

they

do

requir e

treatmen t.

And

the

PerioGar d

gum

system

sits

squar ely

in

this

need

space,

working

with

the

profession

to

mak e

sure

that

we

are

getting

incremen tal

prescrip tions

for

seeing

and

then

treating

the

gum

problem.

We

have

an

entire

regimen

under

PerioGar d,

which  
includes  
a  
Toothpaste,  
a  
Mouth wash,  
and  
a  
Toothbrush,  
all  
of  
which  
are  
doing  
really  
well.  
And  
this  
franchise  
actually  
is  
doubling  
year-on-year.  
The  
PerioGuard  
brand  
has  
also  
been  
recently  
recognized  
by  
the

“  
Indian  
Society  
of  
Periodontology  
”.

Quite  
a  
mouthful,  
but  
really  
the  
experts  
who  
are  
on  
gum  
care  
in  
India.

And  
now  
this  
brand  
carries  
the  
seal  
of  
that  
society  
as  
the  
answer  
to

better

gum

health.

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20

Colgate-Palmolive

(India)

Limited

May

22,

2026

Moving from Toothpaste to Toothbrush:

A significant growth opportunity in India. We play across the entire spectrum of value tier, mid-tier ,

Premium

tier,

and

kids.

Toothpaste

represents

a

significant

growth

opportunity

because

on

average,

the

urban

consumer

replaces

his

or

her

Toothbrush

once

in

six

mon ths.

Rural

consumer s

replace

their

Toothbrush

as

slowly

as

once

in

15

mon ths.

And

a

new

Toothbrush

cleans

95%

better

than

an

old,

frayed,

flared

Toothbrush.



So,  
a  
significant  
opportunity  
for  
us  
both  
to  
get  
incremental  
consumption  
of  
Toothbrushes  
as  
we  
nudge  
people  
to  
replace  
their  
Toothbrush.  
And  
as  
you  
can  
see  
from  
the  
price  
ladder ,  
Toothbrushes  
start  
all

the  
way  
from  
Rs.  
10  
and  
go  
up  
to  
Rs.  
350  
a  
pack  
or  
Rs.  
200  
roughly  
per  
handle,  
making  
it  
a  
significant  
opportunity  
for  
expansion  
and  
driving  
people  
up  
the  
value  
pyramid.

And what we do in this space, we make sure that we have absolutely the best offering in starting

from

the

value

tier,

which

is

the

bottom

of

the

pyramid.

Over

here,

we

are

by

far

the

market

leader ,

1.7x

our

nearest

competitor.

In

the

Premium

segment,

we

have

launched

a

series

of

new

brushes,

including

two

ranges

of

brushes

on

Colgate

Total,

a

Base

Range

and

a

Premium

Range

on

Colgate

Total.

As

discussed,

we

have

a

PerioGuard

brush.

We

have

a

sensitiv e

brush.

We

have

a

full

range

of

brushes

that

sit

here,

and

we

are

seeing

signific ant

growth

in

this

segmen t.

And

of

course,

if

whit ening

as

a

segmen t

is

growing

in

Toothpas te,

there

is

most

definitely

an

opportunity

for

whitening

as

a

brush

segment.

So,

we

have

a

visible

white

brush

that

complexes

the

regimen

of

the

visible

white

paste

and

a

more

mass tige

brush

that

is

“

Brilliant

Star

”.

In addition to this, we also have seen opportunities by de-a veraging India and seeing  
whe ther

there

are

pock ets

of

opportunity

for

a

harder

bristle

full

head

brush

in

some

parts

of

the

country,

and

the

fact

that

there

was

an

opportunity

for

a  
Rs.  
10  
brush  
in  
other  
parts  
of  
the  
country  
wher e  
consumer s  
were  
looking  
for  
an  
entry  
price  
poin t  
that  
was  
lower  
than  
anything  
else  
that  
we  
had.  
GST  
provided  
us  
a  
real



opportunity

to

mak e

sure

that

we

could

do

the

Rs.

10

brush,

and

we

have

capitalized

on

it.

The last pillar , building Personal Care and the Little Mini Jewel that we have called "Palmoliv e".

As

we

have

men tioned

before,

the

focus

of

Palmoliv e

is

to

play

in

Hand

Wash

and

Body

Wash.

In

the

Body

Wash

category,

we

have

had

a

signific ant

inno vation

last

year

through

the

“

Momen ts

Range

”,

which

talks

about

driving

wakefulness

when

you

want

to

be

awake,  
sleep  
when  
you  
want  
sleep,  
and  
ener gy  
when  
you  
want  
ener gy.  
Our  
foaming  
Hand  
Washes  
continue  
to  
be  
the  
absolut e  
Premium  
Hand  
Wash  
and  
growing  
very,  
very  
strongly  
across  
the  
entire  
portf olio

at  
double  
digit  
across  
channels.  
For  
Body  
Wash,  
we  
are  
also  
seeing  
an  
opportunity  
to  
be  
significantly  
more  
digital  
first  
in  
this  
year,  
and  
we  
have  
a  
partnership  
that  
will  
allow  
us  
to

take  
this  
in  
a  
more  
digital  
first  
way  
to  
consumer s  
,  
so  
watch  
this  
space  
as  
far  
as  
Palmolive  
is  
concerned.

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8  
of  
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Colgate-Palmolive  
(India)  
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I am moving now from the strategy pillar s to the enabler s. Starting with the one that  
perhap s

underpins  
the  
resur gent  
performance  
of  
the  
Compan y,  
which  
is  
driving  
superiority  
across  
product  
and  
pack aging.

Our products are now 100% superior to compe tition across the core, so every single brand has

a  
formula tion  
that  
is  
superior  
to  
its  
eyeball  
compe tition  
as  
decided  
by  
consumer s,  
not  
as  
decided

by  
technic al  
testing.  
We  
are  
also  
superior  
on  
all  
our  
key  
offerings  
in  
the  
Toothbrush  
category,  
and  
similarly  
across  
all  
of  
our  
pack aging ,  
so  
from  
a  
strength  
of  
mix  
perspectiv e,  
this  
is  
the

strongest

that

we

have

ever

been.

All

our

products

are

underpinned

by

best

in

class

science,

whether

it

be

the

Colgate

strong

teeth

offering ,

which

is

underpinned

by

arginine

plus

calcium

boost,

which



is  
like  
we  
showed  
you  
the  
clinics,  
the  
“  
best  
in  
cavity  
protection  
”,  
or  
it  
is  
the  
“Ultra-Freeze  
Technology ”  
of  
Max  
Fresh,  
or  
the  
“  
Zinc  
Citrate  
Plus  
Fluoride  
Technology ”  
of  
the  
PerioGuard  
bundle

that  
works  
for  
your  
gum.

And we have futur e forward inno vations that we have put in this year, using the opportunity  
of

the  
digit al  
shelv es

to  
mak e  
sure

that  
we  
can  
mak e  
brushing

for  
kids  
more

fun  
through  
the

“  
Kids  
Squee zy  
”

and  
making  
mouth wash,

which  
we  
were

hearing  
from  
consumer s  
is  
quite  
an  
on-the-g o  
need,  
or  
an  
in-of fice  
need,  
putting  
the  
sticks  
out  
there  
that  
can  
be  
carried  
in  
a  
purse  
or  
kept  
in  
a  
drawer,  
or  
go  
with  
you

on-the-go.

Not

stopping

there,

we

are

very

excited

about

our

next

innovation

in

this

area.

“

Harry

Potter”

is

one

of

those

things

that

cuts

across

kids

and

adults,

and

seeing

a

real

resurgence

with  
the  
new  
cereal  
that's  
planned.  
So,  
we  
have  
a  
Harry  
Potter  
range  
that's  
going  
to  
hit  
shelves  
very,  
very  
soon,  
so  
this  
is  
a  
sneak  
peek,  
not  
yet  
available.  
A  
“  
Magical

Clean

for

Witches,

Wizards,

and

Muggles

”

I

love

that

line.

And

we

have

the

extension

of

the

“

Max

Fresh

Sensorials”

range,

which

you

will

recall

have

the

rainbo w

varian t

and

the

watermelon

varian t

now

also

have

a

berr y

varian t,

all

powered

by

the

ultra-freeze

technology

that

defines

Max

Fresh.

And all of this great inno vation, great pack aging , great product, great advertising really needs

to

work

by

making

sure

that

we

are

getting

it

to

mark et

and

to

shelv es

every  
single  
day.  
And  
therefore,  
an  
update  
on  
our  
execution.  
Our  
execution  
has  
always  
been  
exceptionally  
strong.  
We  
reached  
1.7  
million  
outlets  
directly .  
We  
added  
2  
lakh  
more  
stores  
to  
our  
overall  
reach



in  
2025.  
Distribution  
inventory  
continues  
to  
be  
exceptionally  
well-manag ed,  
and  
we  
actually  
keep  
decr easing  
it  
as  
we  
get  
more  
efficien t  
and  
as  
forecasting  
gets  
more  
efficien t,  
allowing  
us  
to  
mak e  
sure  
that  
we

are

not

having

inventory

just

lying

around

with

our

distributors.

The “Smile Store Program”, which has been running now for a shade over three years, is the single

engine

that

powers

our

assortment,

telling

us

what

SKU,

what

store,

at

what

frequency ,

and

is

really

doing

well

to

make

sure  
that  
we  
are  
driving  
assortmen t  
constantly,  
and  
the  
who  
le  
Smile  
Store  
algorithm  
being  
aided  
now  
by  
AI  
to  
get  
even  
stronger  
and  
even  
more  
predictiv e.

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From a modern trade perspective, we have enhanced planograms where our share of the shelf

is

working

significantly

harder

to

drive

competitive

growth

for

us.

Visibility

has

been

stepped

up,

and

the

quality

of

our

visibility

now

mirrors

the

quality

of

the

overall

pack aging

design,

and

we

are

expanding

our

promot er

footprin t

consis tently

quart er

on

quart er.

Some impr essions of wha t our premium Toothpas tes look like as they get taken to mark et,  
and

even

if

we

look

back

over

the

last

three

years,

we

feel

like

there

has

been

a

step

chang e

in

this

and

a

step

chang e

in

how

attractiv e

the

brand

look s

at

the

momen t

of

truth,

which

is

on

the

shelf .

And

it's

not

just

the

physical

shelf;

it's

also

the  
digit al  
shelf  
wher e  
we  
have  
made  
a  
signific ant  
difference.  
Our  
product  
content  
has  
got  
signific antly  
more  
desir able,  
our  
advertising  
has  
got  
signific antly  
more  
desir able,  
and  
our  
placemen t  
has  
got  
signific antly  
more  
appr opria te.

And I think all of these are combining to make sure that e-commerce as a channel is growth-accrutive,

margin-accrutive,

share-accrutive,

premiumization-accrutive

for

us,

which

is

absolutely

fantastic

because

as

e-commerce

grows,

we

tend

to

do

better

and

better,

especially

on

our

premium

portfolio.

And

of

course,

no

conversation

these

days



would  
be  
complete  
without  
talking  
about  
data  
and  
AI.  
We  
are  
partners  
with  
Google  
globally ,  
and  
we  
have  
the  
entire  
suite  
of  
Google  
AI  
technology  
available  
to  
every  
single  
person  
in  
this  
organization,

right

up

and

down

and

in

a

hugely

democratic

way,

and

using

this

to

drive

“

Effectiveness,

Efficiency ,

And

Capability ”.

We are building capability . I think everybody is learning. It's an exciting space. We are doing a

lot

of

effort

to

make

sure

that

we

are

building

capability .

Of

course,  
everybody  
realiz es  
that  
if  
you  
are  
not  
using  
it  
and  
you  
are  
not  
figuring  
out  
AI,  
then  
you  
are  
going  
to  
be  
a  
fossil  
or  
a  
dinosaur  
very  
soon.  
So,  
we  
have

a  
near  
universal  
adoption  
of  
AI  
within  
the  
company.  
We  
have,  
as  
with  
everybody  
else,  
a  
lot  
of  
agents.  
We  
are  
spending  
time  
using  
AI  
to  
reduce  
our  
time  
to  
market  
in  
terms

of  
us  
under standing  
consumer s,  
the  
product  
that  
gets  
created,  
the  
prototyping ,  
and  
then  
those  
prototypes  
hitting  
the  
mark et.  
And  
that  
entire  
process  
is  
getting  
much  
short er.  
And  
from  
an  
impact  
perspectiv e,  
we  
are

also

able

to

make

what

used

to

be

fairly

drudg e

processes

like

artw orks,

etc.,

signific antly

faster

and

signific antly

more

error-free.

A couple of examples.

Our plan ts now get tracked automa tically by the digit al twin, wher e there is a twin that runs alongside

the

main

plan t

and

allows

us

to

be

proactiv e

in

terms

of  
our  
actions  
and  
also  
make  
sure  
that  
efficiency  
and  
throughput  
remain  
at  
the  
top  
of  
the  
pile.  
And  
RGM,  
this  
is  
a  
real  
aid  
in  
helping  
us  
on  
making  
sure  
that  
we

are  
getting  
pack  
price  
architecture,  
the  
utility  
of  
our  
gross  
to  
net  
or  
trade  
spends.  
All  
of  
these  
now  
get  
analyzed  
on  
a  
much  
more  
frequent  
basis.  
And  
the  
reams  
of  
data  
that



exist

can

be

utiliz ed

much

better.

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of

20

Colgate-Palmolive

(India)

Limited

May

22,

2026

And like I told you, using it for inno vation allows us to harness the power of the entire interne t

and

all

of

the

things

that

we

are

reading

and

seeing

to

short en

both

the  
time  
cycle  
to  
innovation  
and  
improvement  
the  
quality  
of  
what  
we  
deliver.  
And  
then,  
of  
course,  
underpinning  
all  
of  
this  
is  
the  
people  
who  
work  
for  
this  
organization.  
I  
have  
been  
here

at  
Shade  
over  
three  
years,  
and  
I  
truly  
believe  
that  
people  
are  
one  
of  
the  
absolute  
strengths  
of  
this  
organization,  
both  
in  
terms  
of  
the  
capability  
that  
they  
have  
and  
the  
culture  
that

has  
been  
built  
over  
the  
nine  
decades  
that  
this  
organization  
has  
existed.  
And  
we  
are  
continuing  
to  
build  
capability  
as  
a  
competitive  
advantage.  
We  
have  
functional  
academies  
which  
are  
building  
technical  
expertise  
up

and  
down  
the  
organization,  
whe ther  
it  
is  
sales,  
whe ther  
it's  
our  
professional  
field  
force,  
whe ther  
it  
is  
supply  
chain,  
it  
doesn't  
matter.  
You  
name  
the  
function;  
we  
have  
a  
functional  
academ y.

We are helping our leader s grow into being bigger and better leader s as all of us have  
learned

to

get  
to  
leader ship  
positions.  
Key  
strategic  
priorities,  
including  
omni-demand  
gener ation,  
the  
profession,  
and  
AI  
become  
like  
peak  
poin ts  
for  
driving  
capability  
building.  
And  
we  
have  
the  
best  
partner s  
to  
work  
with,  
whe ther  
it's

Whart on

or

IIM

Ahmedabad

or

INSE AD

to

ensur e

that

the

right

people

are

actually

making

sure

that

our

teams

are

futur e

ready .

And

this

is

married

with

the

fact

that

we

are,

in

gener al,  
a  
very  
caring  
cultur e  
and  
driving  
well-being  
and  
best-in-class  
practices  
that  
allow  
us  
to  
be  
inclusiv e  
as  
an  
organization  
is  
really  
in  
our  
DNA  
and  
some thing  
that  
we  
continue  
to  
do.

With that, I am going to hand it over to Jacob to talk through the financial performance.



M.S. Jacob:

Good evening , everybody . Our basic financial model stays the same, deliv ering oper ating profits.

And

this

will

be

deliv ered

through

driving

top-line

growth,

both

sales

and

volumes,

and

leveraging

our

best-in-class

margin

profile,

optimizing

overheads,

and

investing

in

brands

to

deliv er

this

top-line

growth.

You saw the results that came out a little while ago. Quart er 4, we are up 9% at Rs. 1,583 crores.

Here,

it's

Rs.

5,984

crores,

which

is

flat.

Margin

69.6%

for

the

quarter,

69.3%

for

the

full

year.

Shade

lower

than

the

prior

periods,

but

still

industry-leading

margins.

Advertising

at

12.6

in

Q4.

And  
you  
saw  
in  
Prabha's  
slides,  
it's  
up  
10%  
in  
absolute  
terms.  
Full  
year,  
13.7%.

And  
we  
are  
seeing  
good  
elasticity  
on  
the  
investments.

We  
are  
moving  
to  
premium.

And we should continue to see this will be the trend. In terms of profitability , excluding the one-of fs,

which  
is

really  
the  
restructuring  
cost,  
the  
cost  
on  
GST,  
the  
tax  
refunds  
in  
the  
prior  
periods,  
and  
the  
labor  
code  
costs.  
So,  
excluding  
that,  
we  
are  
up  
9%  
and  
for  
the  
full  
year,  
down.

The  
GST  
IDS  
impact  
will  
be  
an  
ongoing  
thing  
and  
will  
come  
through  
every  
quart er.  
Margin  
profile,  
as  
I  
men tioned,  
continues  
to  
be  
best  
in  
class.  
And  
despit e  
all  
the  
headwinds  
of  
commodity

and  
currency ,  
we  
continue  
to  
deliv er  
very  
good  
margins.

And  
this  
has  
be  
en

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achie ved through the Funding the Growth Program, which is a program which seek s to find  
efficiencies

in  
the  
cost.

Procur emen t  
and  
manuf acturing  
leads

this  
area,  
but  
we  
continue  
to  
leverage  
automa tion  
initia tives  
and  
find  
local  
sour cing  
opportunities.

All  
this,  
we  
reinvest  
in  
product  
superiority .

And  
you  
also  
hear d  
the  
re-launches  
we  
have  
made.

All  
our  
products

now

are

vastly

superior

than

they

were

even

a

few

years

back.

In terms of top line, we adopt what we call a revenue growth management strategy. So, this is

about

strategic

pricing ,

affluent

and

premiumization.

In

fact,

the

premiumization

mix

is

up

35%

over

the

past

two

years.



And  
this  
is  
about  
driving  
penetration

in  
price  
point  
packs.

And  
to  
the  
right,  
you  
can  
see  
we  
are  
now  
offering

more  
value,

16  
grams

to

20

grams,

for

the

Rs.

10

strong

teeth

pack.

And

in

Max

Fresh,

we

have

gone

from

17

grams

to

20

grams.

And the last pillar on revenue growth management is efficient promotional spend. And we continue

to

use

AI

to

analyze

spending

and

the

responses

and

get

more

efficiencies

in

that

area.

Brand

investmen t,

as

I

men tioned,

10%

up

in

Q4-26.

And

a

lot

of

it

is

growing

behind

the

premium

sub-br ands

like

Total

and

Visible

Whit e.

At

the

same

time,

Core

continues

to

receiv e

a

fair

share

of

media

support.

Operating profit: EBITDA margin for the full year, FY'25-26, is 31.2%. And it includes an 80-bps

impact

from

the

GST

IDS

impact.

And

for

the

quarter,

32.2%.

And

this

also

includes

the

160

bps

of

the

IDS

impact.

So,

these

are

definitely

industry-leading

margins.

And

despite

the

headwinds

we

are

seeing

and

the

currency

challenges,

we

continue

to

expect

we

will

deliver

very

good

levels

of

gross

margin,

while

EBITDA

will

be

calibrated

depending

on

the  
advertising  
support  
and  
the  
response  
we  
are  
getting  
on  
that  
spending.

Enhancing shareholder value: Cash is an area we continue to do well. So, despite the profitability

challenges  
and  
the  
working  
capital  
blocked  
in  
GST  
last  
year,  
our  
cash-in  
was  
much  
better  
than  
the  
prior  
years,

as  
you  
see,  
Rs.  
1,806  
crores.  
Our  
return  
on  
capital  
emplo yed  
continues  
to  
be  
at  
very  
high  
levels,  
121%.  
And  
we  
have  
today  
declar ed  
the  
second  
interim  
dividend,  
which  
takes  
it  
to  
about

RS.  
48,  
and  
follows  
our  
strategy  
of  
paying  
out  
virtually  
100%  
of  
the  
NPAT  
as  
dividend.

Lastly,  
a  
slide  
on  
ESG.

So, on recyclable tubes, we moved from the 80% you have seen last year to now fully on recyclable

tubes.

And  
the  
last  
of  
the  
small  
tubes  
have  
also  
moved



into  
recyclable  
tubes.  
And  
we  
are  
offering  
this  
technology  
free  
to  
anybody  
who  
would  
want  
to  
use  
this.  
In  
terms  
of  
renewable  
energy,  
we  
have  
also  
moved  
from  
40%  
to  
60%.  
And  
this

is  
an  
area  
we  
will  
continue  
to  
progress  
going  
forward.  
In  
terms  
of  
BSBF ,  
the  
school's  
program  
and  
initia ting  
them  
into  
dental  
awareness,  
at  
an  
early  
age,  
we  
have  
covered  
11  
million  
kids.

Plastic  
neutrality,  
which  
is  
the  
plastic  
waste  
management  
piece,  
we  
are  
at  
101%.

And  
in  
terms  
of  
recyclable,  
reusable,  
and  
compostable  
packaging ,  
we  
are  
at  
95%.

Water  
positive  
now  
at  
a  
country

level.

We

have

also

replenished

water

at

460

million

liters

since

full

year

2019.

And

all

our

plans

continue

to

be

zero

waste

certified.

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With that, I hand it over to Prabha for the summary.  
Prabha

Narasimhan:

So, just briefly, I want to keep the summary fairly simple. Our focus continues to be to build category

consumption

and

therefore

drive

volume

on

our

core,

driving

premiumization.

We

are

seeing

a

lot

of

joy

in

doing

this.

And

that

continues

to

be

a

large

focus.

Steadfast

focus

on

strong

governance

and

value

creation.

That

is

like

the

corner stone

of

this

organization

and

something

that

we

value

and

will

remain

the

focus.

We

are

seeing

significant

elasticity

on

stepped  
up  
investmen t  
and  
we  
intend  
to  
continue  
to  
step  
up  
investmen t  
to  
further  
drive  
growth.  
Thank  
you  
very  
much  
for  
your  
attention.

With that, we would be happ y to take any ques tions that you may have.  
Moder ator:

Thank  
you  
very  
much.  
We  
will  
now  
begin  
the

ques tion

and

answer

session.

Anyone

who

wishes

to

ask

a

ques tion

on

webcast

may

click

on

the

ask

a

video

ques tion,

which

will

be

enabled

belo w

the

media

player.

Alterna tively,

you

may

also



post

your

ques tions

on

the

ask

a

ques tion

tab

available

on

your

screen.

Participan ts

connect ed

via

telephone

may

enter

a

star

and

one

on

their

phone

to

ask

their

ques tions.

Ladies

and

gentlemen,

we

will

wait

for

a

moment

while

the

question

queue

assemblies.

The first question is from the line of Abneesh Roy from Nuvama Wealth. Please go ahead.  
Abneesh

Roy:

Yes,

thank s

and

congrats

on

good

recovery.

I

have

two

questions.

My

first

question

is

when

the

analyst

meet

had  
happened,  
say  
around  
six  
quarters  
back,  
you  
were  
doing  
a  
big  
pilot  
project  
of  
connecting  
with  
the  
dentist  
where  
the  
QR  
code  
was  
put  
wherein  
customers  
could  
connect  
to  
the  
local  
dentist.

If  
you  
could  
update  
us  
how  
that  
has  
helped  
with  
the  
premiumization  
in  
terms  
of  
growth,  
etc.,  
because  
all  
this  
happens  
with  
some  
level  
of  
lag.  
And  
related  
question  
is  
on  
the  
B2B

sales

to

the

dentist

in

terms

of

the

specializ ed

product.

If

there

is

some

upda te

you

can

shar e

in

the

last

few

years,

how

is

the

movemen t?

That

is

the

first

ques tion.

Prabha

Narasimhan:

Firstly,

hi.

It's

nice

to

hear

from

you

again.

Talking

about

the

oral

health

movemen t

project,

which

you

are

referencing ,

which

we

did

about

six

quart ers

ago,

that

project

actually

was

a

tremendous

success.

We

spent

significant

money

behind

it

and

got

four

and

a

half

million

people

in

India

to

take

the

scan.

Our

estimate

is

about

20%

of

those

consumers

actually

went

to

the  
dentist.  
Almost  
a  
million  
people  
went  
to  
the  
dentist.  
When  
you  
think  
about  
the  
fact  
that  
only  
9%  
of  
India  
goes  
to  
the  
dentist,  
this  
is  
actually  
quite  
a  
significant  
number  
in



terms  
of  
the  
movemen t.  
A  
real  
win-win  
partner ship  
between  
us  
and  
the  
dentist  
and  
the  
consumer  
because  
the  
consumer  
gets  
better  
oral  
health,  
the  
dentist  
gets  
more  
patients,  
and  
for  
us  
better  
oral

health  
is  
absolut ely  
a  
win.  
And  
this  
is  
why  
we  
are  
doing  
that  
project  
again  
this  
time,  
the  
oral  
health  
movemen t.

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The dentists come in a sligh tly different forma t because one of the pieces of feedback that  
we

got  
from  
consumer s  
was  
that  
not  
everybody  
lives  
within  
their  
ability  
to  
travel  
to  
a  
dentist  
in  
their  
vicinity .  
And  
therefore,  
we  
have  
used  
technology  
to  
mak e  
the  
dentist  
visit  
virtual.  
So,  
now

the  
500  
million  
pack s  
that  
I  
talked  
about  
that  
carry  
the  
QR  
code  
allow  
you  
to  
scan  
it  
and  
set  
up  
an  
absolut ely  
free  
dentist  
appoin tmen t.

And again, we are grateful to the 50-odd thousand dentists and the Indian Dental  
Associa tion

for  
partnering  
with  
us  
to  
ensur e

that

they

so

generously

give

their

time

to

do

these

consultations.

How

does

this

help

us?

Firstly,

4.5

million

people

have

entrusted

us

with

high-quality

data

on

what

is

their

oral

health,

what's

the  
kind  
of  
indic ations  
that  
they  
could  
potentially  
have,  
along  
with  
wha t  
are  
their  
lifestyle  
habits  
that  
impact  
that  
oral  
health,  
whe ther  
it  
be  
tea,  
coffee,  
consump tion,  
and  
stains,  
or  
it  
be  
their

having  
diabetes  
or  
not  
having  
diabetes,  
et  
cetera.  
So,  
this  
data  
has  
been  
invaluable  
to  
us  
in  
terms  
of  
the  
products  
that  
we  
create  
in  
terms  
of  
how  
we  
use  
this  
data  
to

create  
look alike  
audiences  
that  
we  
can  
then  
target  
in  
terms  
of  
solving  
for  
the  
issues  
or  
building  
on  
the  
opportunities  
that  
they  
have.  
And  
that's  
exactly  
why  
we  
are  
repeating  
the  
program  
as



we

speak.

In

terms

of

the

sales

to

the

profession,

that

channel

is

doing

exceptionally

well.

We grow on average over a two-year CAGR of close to 50-60%. We have feet on the street now

of

about

a

shade

over

150

people,

and

we

do

intend

to

augment

that

field

force.

And

again,

that

channel

help s

us.

Of

course,

it

does

B2B

sales,

but

that's

just

one

part

of

it.

It

help s

us

to

cemen t

our

relationship

with

the

dentist.

It

enables

the

two-way  
dialogue  
between  
us  
and  
the  
dentist  
in  
terms  
of  
wha t's  
new  
and  
wha t's  
inno vation  
and  
wha t  
have  
we  
learned  
in  
the  
oral  
care  
world  
while  
we  
learn  
from  
the  
dentist  
wha t  
is

happening

with

patients

in

India

and

what

is

the

need

where

we

could

perhaps

plug.

So,

a

really

critical

channel

for

us,

relatively

small,

growing

very

rapidly ,

really

critical,

and

something

that

we

intend

to

double

down

on

as

we

mak e

the

entire

therapeutics

play

much

bigger.

Abneesh

Roy:

Thank s.

My

second

ques tion

has

two

subparts.

One

is

your

Visible

Whit e

Toothpas te,

really

very

inno vative

product,

indus try-first

product

clearly .

Now

we

are

seeing

compe titors

launch

an

extremely

similar

kind

of

product,

which

look s

almos t

like

a

Xerox

copy

in

terms

of

the

product

and

maybe

even

the

pack aging.

So,

does

that

expand

the

market?

And

how

has

your

product

done?

Second

subset

question

will

be,

there

have

been

a

few

D2C

companies,

startup

companies

in

the

toothpaste

and

broader

oral

care

space.

Any

learning

from

there?

Any

mark et

shar e

loss

which

has

happened

for

the

legacy

players?

And

is

that

a

long-t erm

threat

for

you

all?

Prabha

Narasimhan:

So,

thank s.

On

Visible

Whit e

Purple,

I



guess

imitation

is

the

best

form

of

flattery,

I

guess.

But

wha t

we

are

seeing

is

that

the

segmen t

is

expanding

quite

drama tically,

and

we

continue

to

be

the

absolut e,

like

massiv ely

lion's

share  
of  
that  
segment.

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And we are not at the moment seeing a slowdown. In fact, we are seeing an acceleration in the  
rate  
of  
growth  
of  
Visible  
White  
Purple  
and  
actually  
the  
overall  
whitening  
play  
that  
we  
have.  
From

a  
D2C  
perspective,  
most  
of  
the  
D2Cs  
currently  
are  
still  
small.  
So,  
are  
we  
seeing  
any  
share  
loss?  
No.  
In  
fact,  
our  
digital  
share  
continues  
to  
actually  
improve,  
and  
our  
shares  
in  
Quick

Commerce

actually

tend

to

be

ahead

of

our

shares

in

the

rest

of

e-commerce,

and

overall

e-commerce

tends

to

be

ahead

of

our

overall

business.

So,

we

tend

to

get

better

and

better

as

that

chain

evolves.

Moder ator: Thank you. The next ques tion is from the line of Mihir Shah from Nomur a Wealth.

Please

go

ahead.

Mihir Shah: Hi, thank you for taking my ques tion. My first ques tion is on the pricing growth. The

press

release

says

that

the

volume

and

pricing

were

balanced

for

the

fourth

quart er.

Wanted

to

under stand

when

the

price

hike

was

taken?

Was

it

at

the

beginning ,

middle,

or

the

end

of

the

quart er?

Also ,

it

seems

the

price

hikes

related

to

the

inflation

seen

post

the

West

Asia

crisis

have

yet

to

be

taken.

Can  
you  
share  
what  
is  
the  
inflation  
that  
you  
are  
seeing  
due  
to  
this?  
That's  
my  
first  
question.

M.S. Jacob: Yes. So, the pricing that you are seeing , so first of all, the growth is balanced between

pricing  
and  
volume.  
It's  
almost  
halfway.

And  
all  
the  
pricing  
is  
the  
pricing  
we

have  
taken  
after  
the  
Q1  
calendar  
last  
year.  
So,  
this  
is  
just  
anniv ersary  
pricing.  
As  
you  
know,  
post-GST,  
we  
haven't  
taken  
any  
pricing.  
And  
this  
is  
all  
old  
pricing.  
So,  
in  
terms  
of



wha t

we

are

seeing

in

terms

of

inflation,

we

have

visibility

into

the

next

two

quart ers.

And

we

belie ve

margins

will

be

in

the

range.

Ther e

are

some

headwinds

in

terms

of

commodities

and  
also  
the  
currency  
coming  
through.

But  
the  
funding ,  
the  
growth  
program  
is  
deliv ering  
good  
savings.

And  
we  
are  
also  
getting  
a  
favorable  
mix,  
et  
cetera.

So,  
we  
do  
expect  
it  
would  
be

in  
the  
range  
in  
the  
next  
two  
quarters.  
We  
are  
actively  
assessing  
pricing  
opportunities.  
And  
we  
do  
expect,  
we  
have  
actually  
put  
some  
pricing  
through.  
And  
it  
should  
be  
coming  
to  
the  
market

over  
the  
next  
few  
weeks.

Mihir Shah: Can you highlight the level of pricing that is expected in the next few weeks?  
And

the  
margin  
range  
you  
mentioned  
would  
be  
around  
30-32%

over  
the  
next  
two  
quarters.

Would  
that  
be  
a  
fair  
understanding?

M.S. Jacob: I need to correct that. The gross margin will continue to be in the range. So, the EBITDA

margin  
will  
be  
a  
factor

of  
the  
level  
of  
advertising.

And  
we  
have  
been  
alluding  
to  
that  
through  
our  
presen tation

that  
we  
have  
been  
seeing  
good  
elasticity

to  
the  
increase  
in  
advertising.

And  
so  
that  
piece  
will  
continue.

So,  
12.6%  
that  
you  
saw  
in  
Q4  
is,  
Q4  
is  
normally  
the  
lowest.  
So,  
we  
would  
see  
a  
step  
up  
from  
those  
levels.  
And  
so  
that  
would  
start  
eating  
into  
EBITD A.  
But  
gross

margins

would

stay

in

the

range

is

what

I

wanted

to

communicate.

And

the

second

question

is

pricing.

Different

categories

will

see

different

pricing.

Depends

on

the

cost

increases

we

are

seeing.

But

it  
will  
be  
in  
the  
low  
single  
digit.

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Mihir Shah: Got it, clear . Secondly , on volumes, how should one think about volumes going forward?

As  
the  
base  
quarters  
going  
forward  
will  
have,  
would  
have  
seen  
volume  
decline.



Unlik e  
4Q  
wher e  
the  
base  
quart er  
was  
flat  
on  
volumes.  
So,  
can  
one  
expect  
optical  
volume  
growth  
to  
be  
higher  
going  
forward?

M.S. Jacob: Our endea vor is to deliv er a balanced growth between volume and pricing. So,  
similar

to  
wha t  
we  
saw  
in  
Q4,  
that's  
the  
kind

of  
volume  
we  
are  
looking  
at  
going  
forward  
to,  
and  
not  
relying  
on  
pricing  
as  
much  
as  
we  
have  
probably  
done  
in  
the  
past.  
But  
also,  
not  
relying  
too  
much  
on  
volume  
like

we  
have  
done  
for  
a  
couple  
of  
years.  
So,  
a  
balance  
between  
the  
two  
is  
wha t  
we  
are  
seeking  
to  
deliv er.  
Got  
it.

Prabha Narasimhan: I just wanted to add that as our premium mix gets larger and larger, we also

get  
the  
bene fit  
of  
the  
mix  
going  
into  
this

growth.

Mihir Shah: Got it, Prabha. That's clear . Thank you for that. And lastly, any thoughts around bringing

the

international

brands

or

subcategories

within

India,

any

work

around

that?

If

you

can

just

highlight

any

few

things

around

those.

Thanks.

That's

all

from

my

side.

Prabha Narasimhan: So, I can tell you that we are doing some work around taking a look at our

portfolio

and

what  
would  
be  
relevant  
for  
this  
market.  
Nothing  
that  
we  
can  
share  
at  
this  
moment  
in  
this  
public  
forum,  
but  
work  
definitely  
on.

Moderator: Thank you. The next question is a video question. It is from the line of Percy Panthaki.

Percy Panthaki: Yes. Hi, Prabha and team. Just wanted to understand when you talk about premium,

first  
is  
how  
do  
you  
define

it  
internally?  
And  
secondly ,  
if  
you  
can  
share  
some  
data  
in  
terms  
of  
what  
was  
the  
contribution  
of  
premium,  
let's  
say,  
a  
couple  
of  
years  
ago  
and  
what  
it  
stands  
today  
to  
your

overall

sales?

Prabha

Narasimhan:

So,

we

define

premium

as

anything

that

is

over

the

130-140

price

index

to

our

base

and

really

in

brand

terms,

that

is

outside

of

Colgate

Active

Salt,

Max

Fresh,  
Strong  
Teeth  
and  
Cibac,  
mos t  
of  
our  
portf olio  
or  
almos t  
entirely  
all  
of  
our  
portf olio  
sits  
in  
premium.  
The  
growth  
of  
premium  
has  
been  
actually  
six  
times  
the  
toothpas te  
category  
growth.  
It



has  
accelerated  
to  
double  
the  
growth  
that  
we  
had  
last  
year.  
And  
if  
you  
remember  
on  
Jacob's  
slide,  
actually ,  
the  
contribution  
has  
increased  
by  
35%  
over  
the  
two-year  
period.  
So,  
on  
any  
measure

that  
you  
see,  
premium  
is  
actually  
accelerating.

The  
rate  
of  
growth  
of  
premium  
is  
accelerating.

And  
the  
amount  
of  
money,  
as  
we  
have  
mentioned,  
on  
advertising  
and  
support  
that  
we  
are  
spending  
on

this  
portf olio  
is  
also  
increasing.  
And  
our  
feet  
on  
the  
street  
in  
terms  
of  
building  
a  
therapeutic  
business  
are  
also  
increasing.  
So,  
this  
is  
a  
critic al  
pillar  
of  
our  
strategy,  
one  
that  
currently

is  
giving  
very,  
very  
good  
results,  
and  
one  
that  
we  
intend  
to  
double  
down  
on  
absolutely.

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Percy Panthaki: So, sorry, premium is 35% of sales currently? Did I get that right?

Prabha Narasimhan: 35% delta over where we started two years ago.

Percy Panthaki: So, that's a 35% growth in that portfolio. Is that what you mean?

Prabha Narasimhan: It's a 35% increase in its contribution to our business.

Percy Panthaki: Okay. And roughly, what would be the premium contribution to business currently?

Would  
you  
be

able

to

share

that?

Prabha Narasimhan: We tend not to give the split up between all of our brands.

Percy Panthaki: Okay, understood. Secondly, I just wanted to understand in terms of the demand

environment,

how

is

that

panning

out

and

what

has

driven

this

sales

growth?

One

way

to

look

at

it

is,

of

course,

to

look

at

the

two-year

CAGR  
growth,  
because  
there

are  
base  
effects.

If  
I  
look  
at  
the  
two-year

CAGR  
growth,  
that  
in

Q4  
is  
similar  
to

what  
we  
saw  
in  
Q3.

So,  
this  
acceleration

that  
we  
are  
seeing ,

is  
it  
just  
a  
base  
effect  
phenomenon?  
Or  
is  
the  
acceleration  
here  
to  
stay?  
And  
if  
it  
is  
here  
to  
stay,  
is  
it  
on  
account  
of  
some  
changes  
in  
the  
overall  
consumption  
environment?

Or  
is  
there  
some  
other  
reason  
for  
that?

Prabha Narasimhan: If I break up your ques tion into two parts, we are feeling optimis tic  
about

the  
growth  
that  
we  
are  
seeing  
in  
our  
business.

Ther e  
are  
two  
or  
three  
key  
fundamen tals  
that  
we  
belie ve  
have  
chang ed  
as  
we  
take



a  
look  
at  
it.  
The  
first  
one  
is  
the  
performance  
of  
our  
core  
brand.  
We  
invested  
behind  
product  
superiority  
last  
year  
on  
our  
flagship  
brand,  
Strong  
Teeth.  
It  
takes  
time  
for  
consumer s  
to

try  
that  
product  
and  
then  
to  
come  
back  
to  
that  
product  
as  
increased  
retention  
rates  
and  
increased  
share  
of  
requirement,  
which  
is  
what  
we  
are  
seeing  
now.  
So,  
that's  
on  
a  
good,  
strong

trajectory.

And

we

are

adding

households

to

Colgate's

Strong

Teeth,

which

really

augurs

well

as

a

lead

indicator

of

future

performance.

Max

Fresh

continues

to

be

exceptionally

strong,

the

fastest

growing

brand

in

the  
portfolio,  
continues  
to  
be  
so,  
and  
accelerates  
because  
the  
segment  
itself  
also  
grows  
quite  
rapidly .  
So,  
that's  
on  
the  
core.  
And  
then  
like  
we  
have  
discussed,  
and  
maybe  
I  
am  
laboring  
the

point,

but

we

are

excited

about

it,

so

let

me

labor

it.

Our

premium

brands

are

really

responding

to

the

inputs

that

have

been

given

to

those

premium

brands

in

terms

of

the

amount  
of  
money  
on  
media  
and  
the  
way  
that  
that  
media  
has  
been  
deployed,  
which  
I  
think  
has  
been  
extremely  
intelligent  
in  
terms  
of  
having  
ideas  
that  
come  
through  
from  
the  
company  
and

which  
then  
get  
amplified  
by  
influencer s  
and  
key  
opinion  
leader s.  
I  
think  
the  
team  
has  
done  
an  
outs tanding  
job  
of  
deliv ering  
a  
campaign  
on  
both  
of  
these  
brands.  
So,  
these  
are  
the  
two

big  
things  
that  
have  
shift ed,  
giving  
us  
optimism  
that  
this  
is  
not  
a  
base  
effect.

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Percy Panthaki: Righ t. And last quick ques tion on EBITD A margins. For the full year, you have done

31.2%  
this  
year.  
And  
how



do

I

look

at,

I

know

there

will

be

quarterly

variations

on

ad

spends

and

all

that,

but

if

I

want

to

look

at

it

on

a

full

year

basis,

do

you

think

that  
the  
current  
level  
of  
margin  
is  
healthy  
enough?  
Or  
would  
you  
say  
that  
there  
would  
be  
some  
gradual  
margin  
expansion  
on  
this  
base  
as  
well?  
And  
particularly  
for  
FY27,  
keeping  
in  
mind

the  
cost  
inflation,  
etc.,  
and  
more  
generally  
speaking  
over  
a  
two,  
three-year  
period,  
would  
you  
sort  
of  
build  
in  
a  
margin  
expansion  
or  
retain  
at  
these  
levels?

M.S. Jacob: As I mentioned, gross margins, we will continue to keep pushing it with funding the  
growth  
program  
and  
getting  
more

efficiencies

out.

EBITD A,

we

are

not

looking

at

any

particular

level

or

any

particular

level

of

expansion.

For

us,

as

I

men tioned,

we

are

seeing

good

response

to

the

step

up

in

advertising ,

and  
that  
would  
be  
a  
key  
variable.  
So,  
we  
will  
continue  
to  
calibr ate  
between  
top-line  
growth  
and  
volume-driv en  
top-line  
growth,  
which  
would  
be  
a  
huge  
priority  
and  
which  
will  
also  
be  
supporting  
premiumiz ation.

And  
the  
EBITD A.  
So,  
we  
are  
not  
looking  
to  
specific ally  
drive  
a  
percentage  
EBITD A  
here.  
Top-line  
growth  
driven  
by  
volume  
and  
moving  
the  
absolut e  
level  
of  
profit  
would  
be  
the  
key  
priority .

Moder ator: Thank you. The next ques tion is a video ques tion, which is from the line of Harit

Kapoor .

Harit

Kapoor:

Hi,

good

evening.

So,

just

two

ques tions.

One

was,

if

I

look

at

the

last

couple

of

quart ers,

the

pricing ,

the

optical

pricing

growth

was

probably

depr essed

a

little

bit

due  
to  
higher  
promotional  
intensity  
as  
well.  
Would  
we  
say  
that  
this  
Q4  
has  
seen  
the  
kind  
of  
real  
impact  
of  
the  
pricing  
initia tives  
that  
we  
had  
taken  
through  
this  
year?  
And  
does



this  
also  
signal  
that  
to  
some  
extent;  
promotional  
intensity  
has  
been  
lower  
in  
Q4?  
And  
is  
there  
any  
kind  
of  
trend  
or  
trajectory  
to  
make  
of  
it?  
That's  
my  
first  
question.

M.S. Jacob: We are not seeing any let up in promotional intensity . The market continues to be

quite

compe titive.

And

we

have

been

calibr ating

in

the

sense

we

have

used

the

revenue

growth

manag emen t

process

and

now

started

emplo ying

AI

tools

to

keep

culling

promotions.

But

we

are

redeplo ying

it

back.

So,

honesty,

we

are

not

seeing

the

let

up

that

you

are

asking

about.

So,

we

expect

in

the

short

term,

it

will

continue

to

be

at

this

level.

Harit

Kapoor:

Got

it.

And

because

I

was

just

trying

to

reconcile

between

the

higher

pricing

growth

in

Q4

versus

the

maybe

Q2,

Q3

quarters.

I

think

one

variable

was

that

maybe

promotional

intensity

may

be

a  
bit  
different.  
So,  
that  
was  
the  
sour ce  
of  
my  
ques tion,  
the  
second  
one  
was  
on  
this  
inverted  
duty  
structur e  
bit.  
So,  
you  
men tioned,  
I  
think,  
80  
basis  
poin ts  
for  
the  
year,  
if

I  
am  
not  
wrong,  
and  
160  
basis  
points  
for  
the  
quarter.  
Is  
it  
fair  
to  
assume  
that  
one  
has  
to  
absorb  
this  
impact  
into  
the  
margins,  
even  
going  
into  
the  
FY27?  
Or  
do

we

believe

that

we

can

have

a

pricing

offset

against

the

inverted

duty

structure,

which

in

turn

protects

the

profitability?

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M.S. Jacob: So, when the GST change happened, we passed through the entire gross saving, which

is  
about  
11%.  
So,  
the  
bulk  
of  
our  
products,  
GST  
rates  
moved  
from  
18%  
to  
5%,  
we  
didn't  
pass  
it  
on  
netting  
off  
the  
IDS.  
So,  
that  
stays  
in  
the  
baseline.  
We  
are



approaching

it

in

multiple

ways.

One

is

there

are

ways

to

be

more

efficient

here.

And

for

example,

there

are

transporters

who

move

to

18%,

but

there

are

transporters

on

5%.

So,

there

are  
different  
ways  
you  
could  
find  
to  
offset  
a  
part  
of  
it.  
And  
then  
we  
are  
also  
making  
representation  
to  
the  
government,  
to  
the  
industry  
chambers,  
to  
requesting  
that  
we  
be  
allowed  
to

get  
a  
refund  
from  
all  
the  
non-manuf acturing  
states.  
As  
you  
under stand  
today,  
you  
are  
allowed  
to  
claim  
refund  
in  
the  
states  
wher e  
the  
plan ts  
are  
presen t  
and  
not  
the  
other  
pure  
warehouse  
and

distribution

states.

So,

that's

the

other

piece

we

are

looking

at.

And

the

third

piece

is

some

of

our

key

supplier s

are

also

represen ting

to

the

governmen t

to

lower

the

rate,

input

rate

on  
their  
material.  
If  
they  
are  
supplying  
at  
18%,  
they  
are  
saying  
they  
are  
supplying  
primarily  
to  
the  
oral  
care  
industry,  
which  
has  
duties  
at  
5%  
and  
they  
should  
not  
be  
charged  
18%.

So,  
multiple  
ways  
we  
are  
looking  
at  
it.  
We  
stay  
optimis tic  
that  
we  
will  
find  
a  
more  
reasonable  
solution  
to  
this.

Moder ator: Thank you. The next ques tion is from the line of Latika Chopr a.  
Latika

Chopr a:

Two  
ques tions,  
quick  
ones.  
First  
was  
during  
the  
quart er,  
did

the

volume

growth

see

any

benefit

from

grammar

increases

for

your

low

unit

packs?

Was

that

something

which

was

material?

Prabha

Narasimhan:

So,

maybe

I

can

take

that

one.

As

Jacob

mentioned,

Latika,

we  
have  
put  
through  
some  
grammaging  
increases  
as  
part  
of  
the  
changes  
in  
GST  
and  
passing  
on  
benefits  
to  
consumers.

And  
actually ,  
we  
have  
put  
through  
more  
than  
11%  
on  
a  
few  
of



the  
pack s.  
However,  
given  
the  
pipelines  
of  
all  
of  
these,  
this  
is  
not  
the  
reason  
for  
the  
balanced  
volume  
and  
price  
growth.  
That's  
not  
the  
underlying  
reason.  
That's  
taking  
time  
to  
get  
there.

I  
think  
even  
of  
our  
latest  
estimate  
in  
March,  
only  
about  
30-40%  
of  
those  
SKUs,  
which  
are  
already  
just  
a  
small  
part  
of  
our  
business,  
are  
with  
higher  
grammage.  
So,  
we  
are  
not

seeing  
that  
as  
the  
reason  
for  
the  
volume  
growth,  
if  
that's  
where  
the  
question  
is  
coming  
from.  
Latika  
Chopra:  
No,  
not  
entirely.  
I  
just  
thought,  
was  
that  
a  
material  
contribution?  
But  
I  
got

the  
sense  
that  
it  
was  
immaterial.

The  
second  
bit  
was  
as  
you  
look  
at  
FY27,  
and  
you  
have  
talked  
about  
a  
lot  
of  
initiatives  
that  
we  
are  
putting  
under way,  
is  
it  
fair  
to

assume

that

there's

a

fair

bit

of

comfort

that

earlier

we

used

to

target

and

talk

about

a

mid-single-digit

volume

growth

in

the

business?

And

is

that

some thing

that

you

think

is

a

fair  
growth  
outlook  
for  
your  
business  
for  
the  
next  
few  
years?

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of  
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Colgate-Palmolive  
(India)  
Limited  
May  
22,  
2026

M.S. Jacob: So, we obviously are looking to grow this company fast. Top-line growth remains a huge priority, and the balance between volume and

pricing  
would  
be  
the  
key  
one.  
So,  
beyond  
that,  
Latika  
won't  
be  
able  
to  
give  
an  
indic ation  
of  
wha t  
that  
number  
is  
that  
we  
are  
targeting.  
But  
obviously  
we  
are  
looking  
at  
high

number s,

and

we

are

looking

at

a

balance

of

volume

and

pricing

that

should

give

you

an

idea

of

wher e

we

expect

to

land.

Latika

Chopr a:

All

right.

And

the

last

one

was



on  
e-commerce  
and  
quick  
commerce  
channels.  
Clearly  
this  
is  
a  
margin-accrutive  
and  
a  
market-share-accrutive  
channel  
for  
you.  
I  
just  
wanted  
to  
understand,  
in  
FY26,  
what  
were  
the  
feelings  
of  
this  
particular  
channel  
or

as

you

exited

the

year?

Thank

you.

Prabha

Narasimhan:

So,

Latika,

the

channel

is

roughly

about

10%

of

our

business

now.

And

like

I

said,

yes,

it

grows

faster,

it

gains

share,

it

drives

premiumization,

it

drives

margin.

So,

it's

a

channel

that

is

completely

in

sync

with

the

second

pillar

of

our

strategy,

which

is

to

drive

premiumization.

Moderator: Thank you. Thank you very much. Ladies and gentlemen, that was the last question

for

today.

I

will

now

hand

it

over

to

Ms.

Neethi

Nair

for

her

closing

remarks.

Neethi Nair: Thank you, everyone. With this, we come to the end of our Analyst Meeting. Many thanks

for

your

participation

and

your

time.

The

playback

of

this

event

will

be

available

on

our

company

website

later

on.

Good

evening

and

have

a

nice

Weekend.

Moder ator: Thank you. Ladies and gentlemen, on behalf of Colg ate-Palmoliv e India Limit ed,  
that

concludes

this

conference.

Thank

you

for

joining

us

and

you

may

now

disconnect

your

lines.

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